



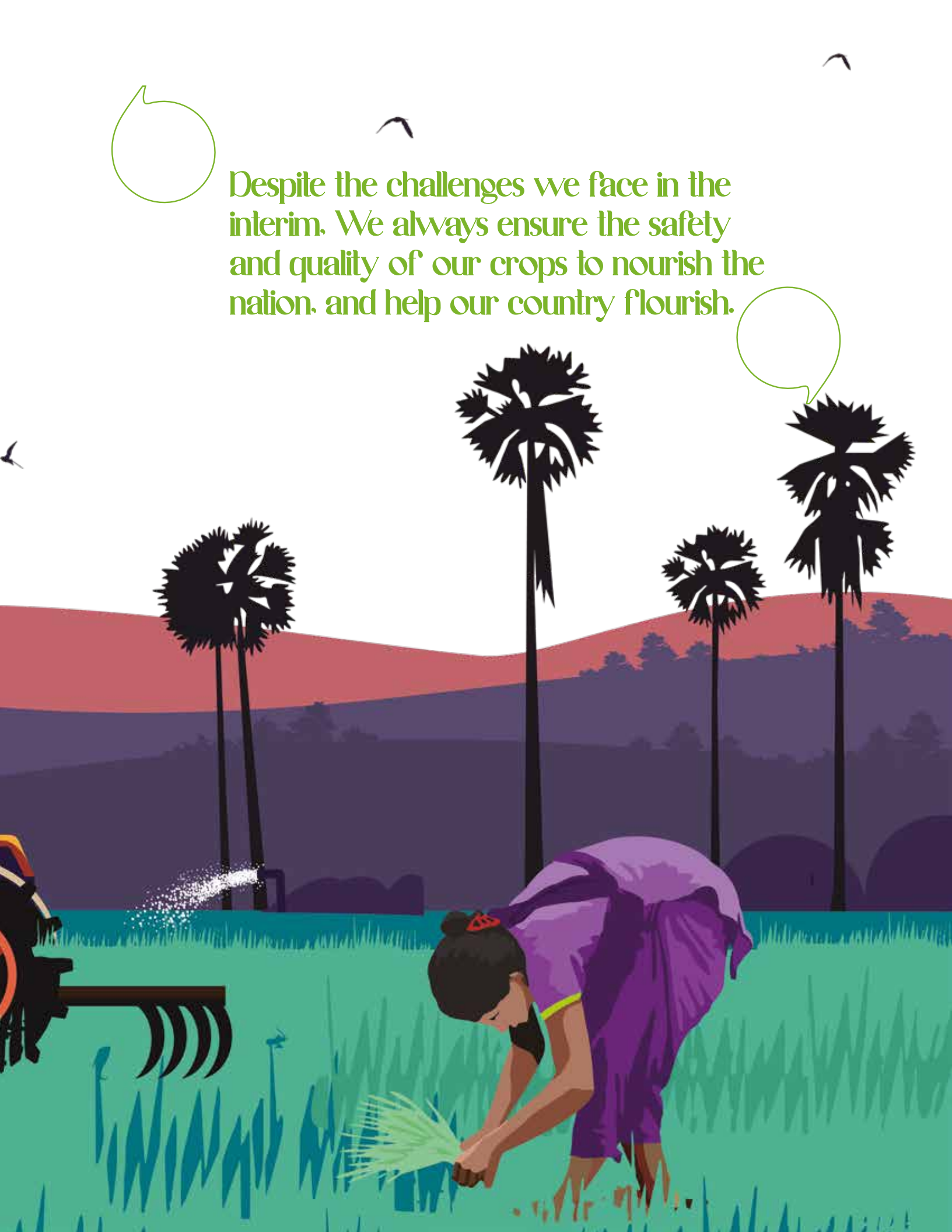
AGSTAR PLC | ANNUAL REPORT 2021/22

SUCCESS

through

SUSTAINABILITY





Despite the challenges we face in the interim, We always ensure the safety and quality of our crops to nourish the nation, and help our country flourish.



Scan this QR Code with
your smart device to view a
version of this annual report
online at <https://agstaragri.lk>

SUCCESS through SUSTAINABILITY

As we face circumstances that compromise our potential and output, our endeavours are immensely sustained by our cohesion and capabilities. We use our expertise and experience to provide hope and endurance to our community. We call ourselves the Agents of Prosperity because we are always proactive, adaptive and dynamic. The pursuit of this philosophy has given us great opportunities to achieve success through sustainability.

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IBC

IBC Corporate Information

VISION

To be the one-stop agent of prosperity for Sri Lanka's farmer community and a gateway to the world for exotic local produce.

MISSION

To provide the best-in-class products, services and guidance our farmers need to reap prosperity by harnessing state-of-the-art technology, global best practices and inspirational leadership.

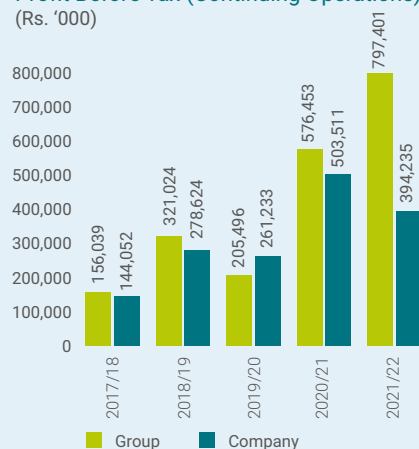


FINANCIAL HIGHLIGHTS

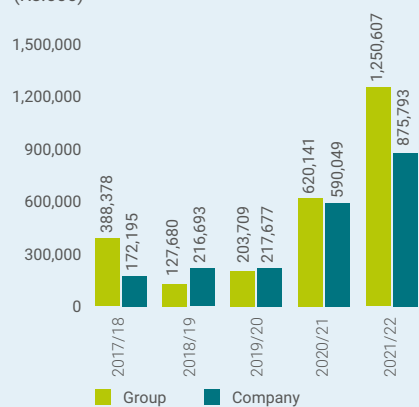
Year ended 31st March		2022	2021	Change
OPERATING RESULTS				
Group revenue (continuing operations)	(Rs'000)	5,992,282	3,611,145	66%
Gross profit (continuing operations)	(Rs'000)	2,108,545	1,004,202	110%
Net finance income/(costs) (continuing operations)	(Rs'000)	(830,717)	(34,880)	-2282%
Profit before tax (continuing operations)	(Rs'000)	797,401	576,453	38%
Profit for the year (continuing operations)	(Rs'000)	606,727	492,375	23%
Profit for the year (continuing & discontinued operations)	(Rs'000)	606,863	475,131	28%
Profit attributable to owners of the company	(Rs'000)	618,916	476,259	30%
Profit attributable to non-controlling interests	(Rs'000)	(12,053)	(1,128)	100%
FINANCIAL POSITION				
Stated capital	(Rs'000)	2,007,857	1,204,094	67%
Non controlling interests	(Rs'000)	30,645	42,698	100%
Property, Plant & Equipment (continuing operations)	(Rs'000)	3,299,488	2,403,080	37%
Current assets	(Rs'000)	6,292,468	5,919,747	6%
Total assets	(Rs'000)	9,782,807	8,449,778	16%
Non current liabilities	(Rs'000)	764,714	448,483	71%
Current liabilities	(Rs'000)	3,340,098	4,312,671	-23%
Total equity	(Rs'000)	5,677,995	3,688,625	54%
FINANCIAL INDICATORS				
Basic earnings per share	(Rs)	1.52	1.19	28%
Dividend per share paid during the year	(Rs)	0.20	-	100%
Dividend per share proposed	(Rs)	-	0.20	-100%
Dividend payout proposed	(%)	-	13.65	-100%
Net assets per share	(Rs)	11.58	11.22	3%
Return on equity	(%)	10.96	13.06	-16%
Return on total assets	(%)	6.20	5.62	10%
Gross profit ratio	(%)	35.19	27.81	27%
Net profit ratio (continuing operations)	(%)	10.13	13.63	-26%
Current ratio	(Times)	1.88	1.37	37%
Liquidity ratio	(Times)	1.20	1.17	3%

FINANCIAL HIGHLIGHTS

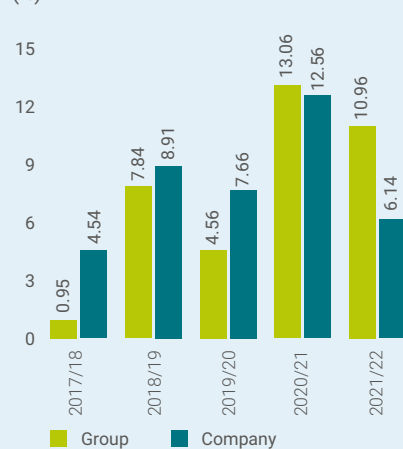
Profit Before Tax (Continuing Operations)
(Rs. '000)



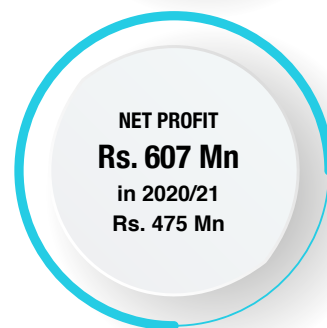
Total Comprehensive Income
(Rs.000)



Return on equity
(%)



10.96%
Return on equity



6.20%
Return on total assets



35%
Gross profit ratio

NET ASSETS
PER SHARE

Rs. **11.58**  **550** 



Distributors

INCOME
FROM GREEN
ENERGY

Rs. **37**  **Mn** **160** 

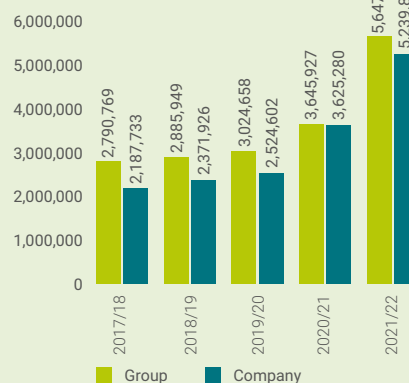


Staff
Strength

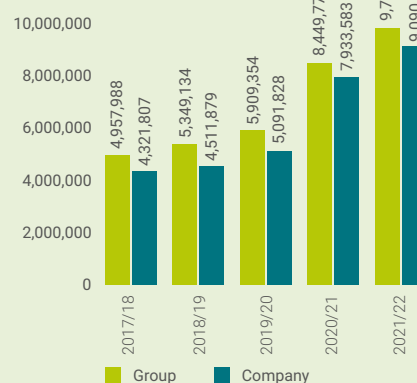


Rs. **220**  **Mn**
Machineries

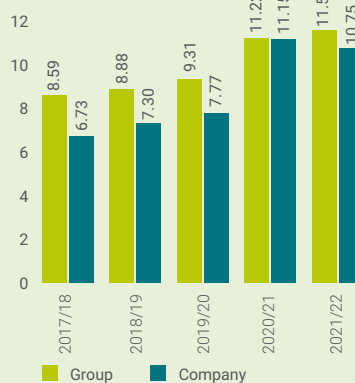
Net Assets
(Rs.000)



Total assets
(Rs.000)



Net assets per share
(Rs.)



CHAIRPERSON'S MESSAGE



Net profit (Rs. Mn)

607

Return on equity

10.96%

It gives me pleasure to welcome you to the Twentieth Annual General Meeting of AgStar PLC and to place before you the Annual Report and Audited Financial Statements for the year ended 31st March 2022. The nation has witnessed unprecedented challenges over the last three years but the events that unfolded in 2021 were by far the most devastating for the agricultural sector.

The resultant unsustainable turn of events had a compounding effect due to the economic and political instability which combined to weaken food security in Sri Lanka. Despite challenges of such great magnitude prevailing through

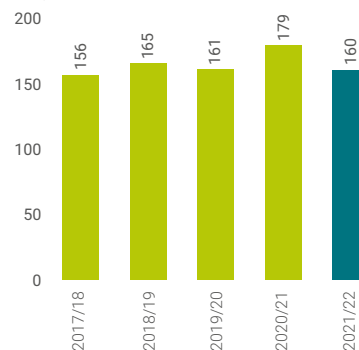
the year, I am proud to say that AgStar PLC was one of the first Agri related businesses to step up and provide practical and speedy solutions to the farming community. The overnight import ban on agrochemicals in May 2021 was detrimental to the farming community which had been relying on inorganic fertilizers for decades, and felt the immediate effects of such an unplanned drastic action with no ready alternatives being provided. By offering these communities sustainable alternatives and more importantly, technical knowhow and moral support and encouragement, AgStar PLC was a true partner for hundreds who rely on agriculture for their livelihoods.



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Staff Strength
(Rs.Mn)

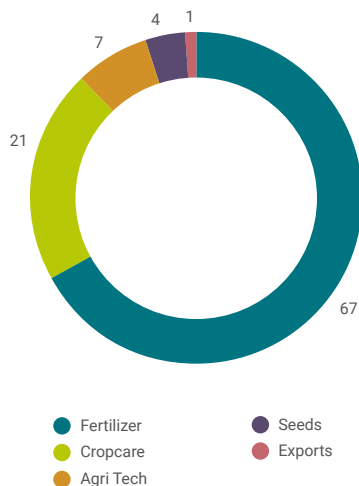


Financial Performance

Delivering a sound performance, AgStar PLC recorded a growth in turnover by as much as 66% amidst the volatile macroeconomic conditions. Gross profit rose from Rs. 1,004 Mn in 2020/21 to Rs. 2,109 Mn in the 2021/22 financial year. Meanwhile Profit after tax recorded strong growth of 28%, rising from Rs. 475 Mn in 2020/21 to Rs. 607 Mn. This is one of the most hard-won financial results delivered by the Group considering that its main business areas - fertilizers and cropcare - were crippled under the import ban.

CHAIRPERSON'S MESSAGE

Group Revenue (%)



The devaluation of the rupee against the US dollar from Rs. 202 in December 2021 to Rs. 299 by end March 2022 adversely impacted further imports. In addition, the Group is still awaiting the subsidy amount of Rs. 3 Bn by the government - a much-needed inflow for the Group.

During the last quarter of 2021/22, LOLC Holdings PLC Group became the majority shareholder of the Company. With the backing of the LOLC Group, the Company is adopting strategies for the short to medium term with a clear focus to strengthen itself in the face of the crisis by leveraging on its core strengths built over the years. Considering the volatile state of the market and the deterioration in the economy, the company will rationalise its operations and drive resource optimisation to mitigate risks to the Company's sustainability during this turbulent period. As such, the management recommends that no dividends be declared during the year.

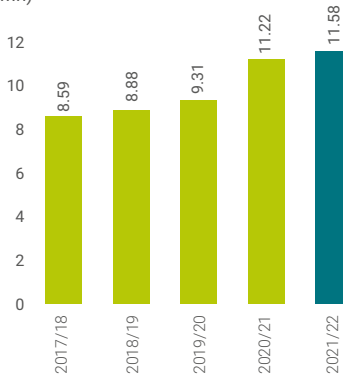
Navigating Challenges Successfully

As a first mover in the industry, AgStar had already commenced operations on organic fertilizer formulations in partnership with the Department of Agriculture in solid, liquid and granular form, which helped the Company to market its organic fertilizers. The Company had also brought down a large consignment of inorganic fertilizer prior to the ban being announced, which meant AgStar was one of the few companies with access to inorganic fertilizer paving the way to sustainable business results during the year.

Future prospects

AgStar PLC, now a subsidiary of Browns Investments PLC and with LOLC Holdings PLC as its ultimate parent, has strong synergies with LOLC's investments in plantations and agro related businesses which AgStar can leverage on in the future. Considering LOLC's agri financing experience in the MSME sector, the Group will focus

Net Asset per share (Rs.Mn)



The Company is optimistic about entrenching its footprint in the new sectors it has forayed into, namely, animal nutrition, pet care and green energy.



on consolidating its business while mitigating risks arising from foreign exchange shortage, rise in raw material costs and other challenges.

The Company is optimistic about entrenching its footprint in the new sectors it has forayed into, namely, animal nutrition, pet care and green energy.



20

years of Existence

Committed to its parent's sustainability principles, AgStar invested in a rooftop solar system which will benefit the community and the country at a time when the nation is facing power cuts and fuel shortages. Once the external pressures ease, we expect to see immense potential for AgStar to expand its presence countrywide backed by the solid credentials of LOLC.

Acknowledgements

I wish to thank the outgoing Directors for their valuable support in the past and welcome the new board who joined the remaining Directors. The company's achievements were a result of the

excellent teamwork by the AgStar staff, led by the Managing Director, the senior management and staff who delivered strong results in a challenging year.

I appreciate the confidence placed in us by our shareholders and stakeholders, including customers, suppliers, bankers and business partners.

The overwhelmingly positive feedback from farmers who are the backbone of the economy inspires us to continue to innovate and provide solutions that strengthen the nation's agricultural sector.

S. Kotakadeniya

Non-Executive Chairperson

30 August 2022



Gross profit (Rs. Mn)

2,109

Return on total assets

6.2%

The financial year 2021/22 began on an optimistic note with all indications of returning business confidence and an uptick in the economy. However, the subsequent waves of COVID-19 and ensuing lockdowns served to dampen growth prospects for Sri Lanka's economy. Although the agricultural activities continued through the period, the overnight policy decision by the government to ban chemical fertilizers and agrochemicals caused a severe blow to the growth momentum of the sector. The uncertainty stemming from the announcement resulted in both farmer agitation and a huge shortage of fertilizer affecting the planting season and the reduction in extent being cultivated during

the year. This ad hoc decision to ban both chemical and agrochemical fertilizer had a dramatic effect on the economic and social upheaval amongst the farmer and agri related community, thereby creating potential food insecurity in the country.

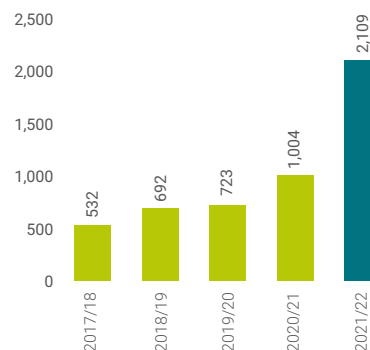
Operating against this dramatic backdrop, AgStar PLC was compelled to make the best of a worse situation and seize opportunities as they emerged. However, it was difficult for the Company to sustain the strong growth trajectory achieved in the previous year.



Operating against this dramatic backdrop, AgStar PLC was compelled to make the best of a worse situation and seize opportunities as they emerged.



Group Gross Profit (Rs.Mn)



As an organisation committed to be an agent of prosperity amongst the farming community, we remain hopeful that such policies which impact livelihoods and food security should be taken only after extensive consultations with stakeholders to prevent adverse consequences.

Financial Performance

Group turnover increased from Rs. 3,611 Mn in 2020/21 to Rs. 5,992 Mn in the period under review, reflecting a growth of almost 66%, while profit before interest and tax grew from Rs. 611 Mn in the previous year to Rs. 1,628 Mn in 2021/22, demonstrating a 166% increase.

MANAGING DIRECTOR'S REVIEW



The Company was able to sell its products at non-subsidized prices resulting in the turnover increase.



Further, profit after tax, which recorded Rs. 475 Mn in 2020/21, rose to Rs. 607 Mn in the year under review, marking a 28% increase. An appreciation of Rs. 774 Mn was recorded after revaluation of the Group's assets.

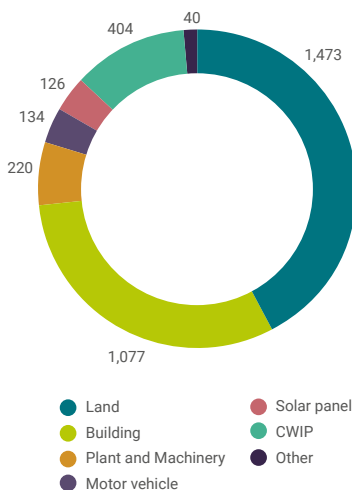
The AgStar Group went through a challenging year with two of its main business areas fertilizers and cropcare suffering under an import ban imposed by the government in May 2021. Adapting to the evolving situation, the Group took steps to sell existing stock of fertilizers and agrochemicals while exploring new avenues for growth such as organic fertilizers to offset losses from its two main business lines.

The situation was aggravated by the devaluation of the Rupee against the US dollar from Rs. 202 in December 2021, to Rs. 299 by end March 2022 while the continued delay in the overdue subsidy payments by the government stood at Rs. 3 Bn.

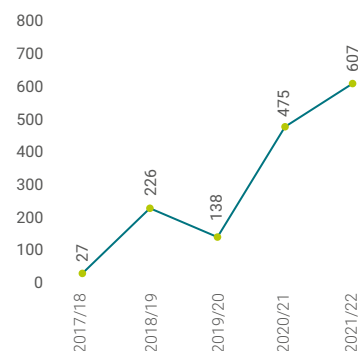
Although the ban on chemical fertilizers was eventually lifted, it was too little too late as the drastic rupee devaluation had caused a huge scarcity of dollars in the country, making it impossible to facilitate imports. Although value-wise the turnover reflects an increase, volumes however did not increase. With the removal of subsidy, the Company was able to sell its products at non-subsidized prices resulting in the turnover increase.

Nevertheless, the Group managed its bottom line by ensuring required margins helped by the fact that its company had already produced an organic fertilizer, sales of which showed an upward trend during the period under review.

Group Assets
(Rs. Mn)



Group net profit growth
(Rs. Mn)



AgStar also brought in Rs. 803 Mn through a rights issue in 2021/22 which will be deployed to restructure working capital.

Operational Performance

Fertilizer

After enjoying one year of strong sales in the 2020/2021 year, the fertilizer segment once again was dealt a blow in the period under review with an import ban from May 2021 to December 2021. The turnover of the business unit increased by 49%, growing from Rs. 2,661 million in the previous year to Rs. 3,959 Mn in 2021/22 and recorded profit before interest and tax of Rs. 1,115 Mn from Rs. 505 Mn in the previous year, an almost 121% increase. Unfortunately, due to the interest cost and high devaluation in currency the fertilizer company ended up a 39% decline in profit before tax from Rs. 480 million in the previous year to Rs. 291 Mn in 2021/22. Fertilizer sales dropped from 102,500 metric tons in the previous year to 44,900 metric tons in the period under review. Moreover, due to the interest cost and the drastic devaluation in the currency, the Company had to incur interest cost and exchange losses amounting to Rs. 824 Mn.

Although the ban was lifted in the second half of the financial year, by then the shortage of dollars in the country made it almost impossible to secure foreign exchange for imports. Going forward, it is of concern to see how the government will facilitate imports while paying to AgStar the overdue subsidy of Rs. 2.8 Bn.

As a result of the import ban, the land extents cultivated also declined during the year – with farmer protests taking place around the country about the shortfall in the yield due to lack of fertilizer. Nevertheless, the company leveraged on organic fertilizer in its product portfolio and marketed them strongly due to the vacuum created by the import ban on chemical fertilizers. It is still to be seen how the government plans to balance chemical and organic fertilizers in the market.

Revenue Growth

66%

Cropcare

Facing the import ban, the cropcare segment underwent severe challenges to growth during the year. The turnover growth recorded of 141% and profit after tax increase of 509% was largely due to sales of existing stocks of cropcare products coupled with organic products. Subsequent to the reversal of the ban, the Company has moved ahead with

identification and registration of new products to augment its portfolio in time to come. The scarcity of dollars remains a key challenge to the vibrancy of this unit as well.

Mahaweli

The company was agile enough to quickly leverage on the government's organic fertilizer drive by focusing on organic agri products. As a result, turnover increased by 110% and profit after tax recorded a 622% increase in the year under review.

Seeds

Agstar Seeds

Turnover declined by 15% in 2021/22, mainly due to the ban of agro chemicals and fertilizers due to which there was a drastic reduction in maize and paddy cultivation, which resulted in a drop in turnover. Profit after tax improved by 567% due to the reduction in bad debt provisions and finance cost compared to 2020/21. If fertilizers and agrochemicals are not available for farmers then the future will be extremely challenging as farmers will not invest in seeds unless they are certain about the availability of agri inputs.

Prith Seed

The import ban on fertilizers proved challenging for agri related business and Prith Seeds too was impacted by the same. Although turnover increased by 15% and profit after tax by 46%, this reflects a value increase rather than a volume increase. The company is currently researching new seed varieties which will be rolled out to the market soon.

Exports

The gross margins in the exports division increased to acceptable levels as turnover too went up by 29%. Opportunities are being evaluated for exporting vegetable and other items to the Middle East and the Maldives. The export unit has enhanced its capacity for packaging of creamer, sugar and other items in sachets for which there is a higher demand. More importantly, this unit holds all the important quality certifications for exporting fruits and vegetable including the ISO, HACCP and USDA certifications which reflect the company's stringent standards. Considering the importance of export oriented businesses in the current macroeconomic context, the Company plans to enhance export volumes going ahead.

Agritech

The agritech business witnessed an 89% increase, with profit after tax rising by as much as 214%. Within the last two to three years, the Company has built a comprehensive product range of agritech products from harvesters, sprayers to tractors. The company offers harvesters for a number of crops including paddy, maize and sugarcane, along with two prominent tractors brands - Kartar and Arbos. The product portfolio also contains an array of planting machinery in a bid to offer a one-stop shop solution for farmers. The company covers 10 districts presently and recorded strong corporate sales during the year. The future of this business unit is dependent once again on the ability of the company to be able to access foreign currency to import the products.



However, the success achieved so far reflects the gap its products and services are fulfilling for automating the agriculture sector.

Eurasia Tea

As a state-of-the-art operation, this facility has the capability to fulfil all kinds of packaging requirements for teas including sachets, tea bags, caddies, gift boxes, bulk backs, canisters under our own brand or for a private label. Aggressively promoting its services, the business unit has forged partnerships with distributors in Poland, Latvia, Israel, Azerbaijan, China, Europe, Africa and Asia.

We see immense potential for this business going ahead as it has all the capabilities and is backed by a professional team of tea experts committed to providing fresh Ceylon Teas to the world. Already the company has registered 3 brands in target

markets, owns a duty free shop at the airport, and caters to tourists in Sri Lanka through its sachets by supplying to local hotels and restaurants.

Animal Nutrition

Focused on diversifying into related businesses animal nutrition is a new avenue of business in which the company has made inroads - signing on to distribute and markets products. The Company has successfully partnered with four recognised leading international animal nutrition producers and registered almost 26 products. The business unit commenced operations amidst the economic downturn and although sales volumes were recorded, the lack of foreign exchange in the market will prove to be challenging in sustaining an uninterrupted supply.

This business segment will be further expanded and a few more companies interested in establishing their presence in Sri Lanka have been shortlisted.



The Group is focused on addressing hurdles on the way to performing to its potential.



The Company has commenced negotiations with them on distributor partnerships. As an off-shoot, plans have been drawn up to foray into the pet industry, which is a very vibrant and growing industry.

Future Outlook

The Group is focused on addressing hurdles on the way to performing to its potential and one of the main steps would be to accelerate exports so as to generate foreign currency substantially for funding fertilizer and agrichemical imports. The Company's exposure to these two categories is high and steps have to be taken to streamline imports to meet market demand, further hampered by rising finance costs due to interest rate hikes.

Overall, we remain optimistic about the Group more so that it has been acquired by Sri Lanka's most profitable entity, the LOLC Group. AgStar hopes to leverage on synergies within the LOLC Group in agri related businesses such as plantations and Agri Machineries.

The Group has moved into its new premises and centralised staff in one location to further streamline operations and enhance cost efficiency. As part of its expansion plans, AgStar has completed 95% of the new warehouse in Ekala and has begun construction on an additional warehouse with a state-of-the-art laboratory facility in Polonnaruwa.

Appreciation

I would like to thank the Chairman and the Board of Directors for their valuable contribution and guidance over the past year, and all members of the AgStar staff for their continued support and valuable contribution in this challenging year.

I would also like to thank our valued shareholders for their constant support and confidence in us as well as our wider stakeholders - our customers, suppliers, bankers, and business partners - for placing their trust in us to create a new paradigm for Sri Lanka's agricultural sector.



A. P. Weerasekera

Managing Director

30 August 2022

BOARD OF DIRECTORS



MRS. S. KOTAKADENIYA

Non-Executive Chairperson

Appointed to the Board on 11th March 2022.

Sunjeevani is a fellow member of the Chartered Institute of Management Accountants (UK), Chartered Global Management Accountant (USA) and holds a Masters in Business Administration from the University of Colombo. A senior Finance professional with extensive experience in General Management and in Finance and Financial management practices in the financial services sector and other industries. More than twenty years of senior management experience holding key positions in the Financial services industry, Insurance, Finance Companies, Factoring, Fund Management, Unit Trusts and Stock broking.

Her exposure into the Non-financial services sector spans from Leisure, Trading, Manufacturing, Construction, Agriculture and Plantations to the IT services industries. She holds several board positions representing these industries. Sunjeevani is a catalyst in change management, restructures, mergers, acquisitions and project

management. She has taken leadership in strategic change, driving organisations to leading positions.

Currently holds the position of Chief Financial Officer, LOLC Group overseeing finance functions for the group locally and internationally. Further performing the overall business management role for Browns Investments PLC and its subsidiaries. Holds Director positions in several LOLC Group companies including regulated and listed entities.



MR. A. P. WEERASEKERA

Managing Director

Mr. Pasad Weerasekera is a Fellow of the Chartered Institute of Management Accountants of the United Kingdom, Fellow member of Chartered Global Management Accountants (CGMA - USA), a Fellow of the Certified Management Accountants of Sri Lanka, a Fellow of the Institute of Public Accountants Australia, and a Member of the Certified Practising Accountants Australia, with over 30 years of industry experience. He was a founding director of AgStar PLC, serving first as Head of Finance and then as Chief Operating Officer. He has made significant contributions to the Company becoming a viable business entity.

Mr. Weerasekera previously worked at CIC Agri Business as Finance Manager and gained extensive experience in the management of agribusiness activities. Mr. Weerasekera is also serving as the Managing Director of AgStar group subsidiaries and Sapase (Pvt) Ltd.



MRS. S. N. WICKRAMASINGHE
Independent Non-Executive Director

Mrs. Siromi Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka and a Fellow of the Chartered Management Institute (UK). She is a Senior Banker with 35 years of experience and has held many positions in financial institutions including the post of DGM - Hatton National Bank PLC, GM / CEO Lankaputhra Development Bank, Director - Commercial Bank of Ceylon PLC, Chairman of HDFC Bank and Director - Sri Lanka Banks' Association (Guarantee) Ltd. She was also a Commission Member of the Securities and Exchange Commission of Sri Lanka (SEC) and the Chairman of Ceybank Asset Management (Pvt) Ltd which is an Associate Company of Bank of Ceylon.

Mrs. Wickramasinghe is presently a Director of HNB Assurance PLC and Head of the Credit Counselling Centre.



MR. D.S.K. AMARASEKERA
Non-Executive Director

Mr. Kamantha Amarasekera is a member of the Institute of Chartered Accountants of Sri Lanka and is an Attorney-at-Law of the Supreme Court of Sri Lanka. He also holds a degree in Business Administration from the University of Sri Jayewardenepura and began his career in the year 1998. Mr. Amarasekera is an eminent Tax Consultant and the Senior Tax and Legal Partner of M/s. Amarasekera & Company, a leading tax consultancy firm in the country. Other key appointments: Director - Kelani Tyres PLC, Lanka Milk Foods (CWE) PLC, Madulsima Plantations PLC, Balangoda Plantations PLC, Eden Hotel Lanka PLC, Ceylon Hotels Corporation PLC, Palm Garden Hotels PLC, Sierra Cables PLC, Serendib Hotels PLC, Dolphin Hotels PLC, Hotel Sigiriya PLC, Hapugastenne Plantations PLC, Udapussellawa Plantations PLC and several other subsidiaries of Browns Investments Group.



MR. R. K. A RANAWEERA
Independent Non-Executive Director

Mr. Athula Ranaweera is a fellow Member of the Institute of Chartered Accountants of Sri Lanka and the Institute of Certified Management Accountants of Sri Lanka and holds an Honors degree in Business Administration from the University of Sri Jayawardenapura. He is the managing partner of Ranaweera Associates (Chartered Accountants) and also the Managing Director of Assent Advisory Partners (Pvt) Ltd. He counts over 40 years of experience in Auditing, Financial Reporting and Taxation.

In addition, he is an Independent and Non-Executive Director of Agalawatte Plantations PLC and act as a member of the Finance Committee and chairs the Audit Committee of the same.

BOARD OF DIRECTORS



MR. P. WEERASINGHA

Executive Director

Mr. Weerasingha is an alma mater from S.Thomas' College, Mt. Lavinia and holds an MBA from University of Los Angeles, California. He has more than 25 years of experience in proven leadership roles and has previously worked with companies such as Ceyoka (Pvt) Ltd, BASF Lanka (Pvt) Ltd, Brown & Company PLC, Singer (Sri Lanka) PLC, Lanka Walltiles PLC, Nivasie Developers and International Construction Consortium. He has also been providing consultancy services to mercantile institutions. Panduka is a strategist with a proven track record for change management in the Corporate world in Sri Lanka. He is the CEO of Browns Investments PLC and an Executive Director of Sierra Cables PLC. He is also the CEO / Executive Director of Iconic Trust (Pvt) Ltd and an Executive Director of its subsidiaries namely, Sierra Ready Mix (Pvt) Ltd, Sansun Boutique Hotels Ltd, Sierra Developments Ltd and Tiasa Construction (Pvt) Ltd. He is also a Director of LOLC Geo Technologies (Pvt) Ltd, Browns Metal & Sands (Pvt) Ltd and Browns Properties (Pvt) Ltd.



MRS. T.A.P. WEERASINGHE

Non- Executive Director

Holding a Bachelor's of Science in Management from the University of London, Mrs. Tashali Perera Weerasinghe counts more than 15 years' of experience in the construction sector whilst being attached to Sierra Holdings (Pvt) Ltd from the year 2006 to 2021. She is a Non-Executive Director of Sierra Cables PLC. She is also a Director of Iconic Trust (Pvt) Ltd and its subsidiaries namely, Tiasa Construction (Pvt) Ltd, Sansun Boutique Hotels Ltd, Sierra Ready Mix (Pvt) Ltd and an Executive Director of Sierra Developments Ltd.



MR. E.A.D.N.J. PERERA

Non- Executive Director

Prior to being a part of the Iconic Trust group of Companies, Mr. Nimesh Perera counts for over 12 years of experience in construction, manufacturing and hotel sectors whilst being attached to Sierra Holdings (Pvt) Ltd from the year 2009 to 2021. He is an Executive Director of Iconic Trust (Pvt) Ltd and its subsidiaries namely, Sierra Ready Mix (Pvt) Ltd, Tiasa Construction (Pvt) Ltd, Sierra Developments Ltd and Sansun Boutique Hotels Ltd.



MR. W.K.D.T. ABEYRATHNE

Executive Director

Dynamic corporate professional, Mr. Danesh Abeyrathne serves the LOLC Group as Director/ Chief Executive Officer of LOLC Advanced Technologies (Pvt) Ltd, the Research and Innovation arm of the renowned LOLC Group. He is the former Chief Operating Officer of Brown and Company PLC and at present serves as an Executive Director on its Board. The young professional with his proven track record in the fields of Engineering, Manufacturing, Plantation, Agriculture, Marketing and Research & Development, is also serving on some noteworthy foreign boards.

Mr. Abeyrathne also serves on the Boards of LOLC Advanced Technologies (Pvt) Ltd, Ceylon Graphene Technologies (Pvt) Ltd, Gal Oya Plantations (Pvt) Ltd, Gal Oya Holdings (Pvt) Ltd, Browns Agri Solutions (Pvt) Ltd, BI Commodities & Logistics (Pvt) Ltd, Grey Reach Investment Ltd, Sunbird Bioenergy Ltd (Sierra Leone), Tropical Island Commodities (Pvt) Ltd, Fortigrains (Pvt) Ltd, Sun Yield Bio Ingredients (Pvt) Ltd and several other subsidiaries of the Group.

Mr. Abeyrathna holds a Bachelor's of Science (Hons) in Engineering from the University of Ruhuna. He is a Fellow Member of the Chartered Institute of Management Accountants (UK) and Chartered Global Management Accountants (CGMA - USA), an Associate Member of the Chartered Institute of Marketing (UK) and the Institute of Engineers (SL).

BOARD OF DIRECTORS



DR. (MRS.) A.D.N DE ZOYSA

Independent Non-Executive Director

Dr. (Mrs.) de Zoysa has been a member of the Board of AgStar PLC since 28 June 2019. She was the former Secretary to the Ministry of Plantation Industries from 2014 to 2015, the former Secretary to the Ministry of Productivity Promotion from 2013 to 2014, the former Secretary to the Ministry of Fisheries and Aquatic Resources Development from 2010 to 2013. Dr. de Zoysa is a Class I Special Grade officer of the Sri Lanka Planning Service and had her initial period of career at the National Planning Department of the Ministry of Finance and Planning where she served in different capacities after leaving the University for 31 years until reaching the Director General positions of the Department of Development Finance from 2006 to 2010 and the Director General of the Department of Fiscal Policy from 2005 to 2006.

Dr. (Mrs.) de Zoysa holds a B.A (Hons.) Degree in Economics (Statistics) from the University of Peradeniya, M.Sc. Degree in Agricultural Development Economics from the Australian National University, Canberra, M.A. Degree in Economics from the Ohio State

University, USA and Ph.D. Degree in Agricultural Economics from the Ohio State University, USA.

Dr. (Mrs.) de Zoysa currently serves as a Director of Central Finance Company PLC since 2017, member of the Education Services Committee of the Public Service Commission and Member of the Board of Studies of the Post Graduate Institute of Management.

She has previously served as a Director of DFCC Bank PLC, Lankaputhra Development Bank, and Sri Lanka Savings Bank. She also served as the ex officio member on the Board of Sri Lanka Ports Authority and member on the Board of Ceylon Petroleum Storage Terminal Ltd (CPSTL). She also served as a Consultant to the CHEC Port City Colombo (Pvt) Ltd project from 2015 to 2020. She has been appointed as the Chairperson of the Cabinet Appointed Standing Procurement Planning Committee for Fertilizer in 2013.



MR. M. S. GUNAWARDANA

Non-Executive Director

Mr. Gunawardana counts over 25 years in Research and Innovation in various subject areas including Nano technology, Advanced Material & Engineering. He started his career as an electronics engineer and specialized in military electronics. Mr. Gunawardana has worked in some of the Sri Lanka's leading engineering companies such as TOS Lanka Co Pvt Ltd and Orange Electric as a Director Engineering and Head of Research responsible for product development and research management. He served as the CEO at CIC Precision Agriculture (Pvt) Ltd, Head of Research & Innovation at CIC Holdings PLC and pioneered Precision Agriculture Technologies based on drone applications in Sri Lanka.

Mr. Gunawardana has worked as a principal Research Engineer at MAS Holdings, Sabre Technologies and was responsible for Real time system design. Currently he is the Group CEO of the Research and Innovation arm of LOLC as well as a Consultant Senior Research Scientist/Director at Sri Lanka Institute of Nano Technology (SLINTEC).

Also, his contribution in unveiling Sri Lanka's pristine graphite to world is so far is remarkable being the pioneer and founder of Ceylon Graphene Technologies Pvt Ltd (CGTL), Sri Lanka's first graphene and advanced material company and he currently serves as CEO /Director. Mr. Gunawardana is the winner of multiple international awards including three Geneva Innovation Congress Gold Medals and one Silver Medal. He has also twice won the national title as the Best Inventor in Sri Lanka. Mr. Gunawardana is also a Director of LOLC Advanced Technologies (Pvt) Ltd, Ceylon Nano Diagnostics (Pvt) Ltd, Associated Battery Manufacturers (Ceylon) Limited, Browns Agri Solutions (Pvt) Ltd, Browns Pharma Limited and BI Holdings (Private) Limited.

LEADERSHIP TEAM



MR. DAYA JAYASEKARA
Director - Technical



MR. ATHULA GUNARATHNE
Director - Sales and Marketing



MR. RUWAN MARAMBAGE
Director - Crop Care



MR. ASHAN RATWATTE
Director - New Business Development



MRS. UMA SHANMUGANATHAN
General Manager - HR and Administration



MR. ARUNA KUMARASINGHE
SBU Head - Agstar Seeds and Prith Seeds



MR. LAKMAL DASANAYAKE
General Manager - Mahaweli Fertilizer



MR. BUDDIKA WEERASEKERA
General Manager - Tea Business



MR. DHANUSHKA DE ZOYSA
Assistant General Manager - Corporate Sales and Agri - Technologies



MR. SAMAN RAJAPAKSHE
Assistant General Manager - Fertilizer



MR. SUMEDHA BANDARA
Assistant General Manager - Crop Care



MR. CHANDANA UDAWELA
Sales Manager



MR. ASELA INDIKA
Sales Manager - Vegetable Seeds



MR. LAHIRU WEERARATHNA
Manager - Financial Controls



MR. MOHAMED RIZNY
Accountant

MANAGEMENT DISCUSSION & ANALYSIS



AgStar's fertilizer business recorded an impressive increase in turnover by 42% against the budget while growing operational profitability by as much as 140%.



During the year under review, the growing of rice, fruits, vegetables, other perennial crops, rubber and other beverage crops such as coffee, cocoa, etc., contracted during the year. Even though Agriculture activities recorded an expansion, the lack of relevant nutrients and agrochemicals prevented it from reaching its full potential particularly during the second half of the year. The paddy sector recorded a high level of production in 2021, with a bumper harvest during the 2021 Yala season. Conducive weather conditions and an increase in the net extent harvested contributed to the increased production during the year.



Despite the overall improvement in production during the year, the paddy yield per hectare during the 2020/2021 Maha season and 2021 Yala season decreased, raising concerns about the sufficiency of supplies of inputs, including fertiliser and other agrochemicals, and poor soil and crop management practices.

The ban on the importation of chemical fertilisers, pesticides and herbicides imposed in May 2021 only served to destabilize the agricultural sector which will have a domino effect on food security, drop in livelihoods and so on.

Fertilizer

The fertilizer segment faced enormous challenges during the year review with the import ban on inorganic fertilizers being enforced by the government in May 2021. Notwithstanding these challenges, AgStar's fertilizer business

recorded an impressive increase in turnover by 42% against the budget while growing operational profitability by as much as 140%. This performance despite the challenges was due to the fact that the Company had already embarked on developing organic fertilizers several years earlier and was ready with a range of organic fertilizers approved by the Department of Agriculture. As a result, when the ban was announced suddenly, the Company was in a position to bring its range of organic fertilizers to the market without delay.

In addition, the Company had already secured an inorganic fertilizer shipment prior to the import ban, and thus was able to fill the market vacuum as its products saw rapid uptake among stakeholders following the removal of government subsidy.

Market Capitalization

OVER
3.2_{Bn}

Investment in Green Energy

Rs.
133_{Mn}

Even though the operational profits increased compared to previous year, profit before tax was severely impacted by foreign currency exchange losses due to rupee depreciation and high interest costs due to delay in subsidy settlement.

Under the organic range, the Company provides solid organic fertilizer and granular composites along with a liquid product to suit different requirements. Apart from supplying organic fertilizers, the Company educated end with technical knowledge to gain the maximum yield from the organic products. AgStar was able to stand out as a key partner for the farming community during the tough time experienced during the year.

Mahaweli

Mahaweli brand consists of the Group's organic and inorganic fertilizers. Considering all the setbacks in terms of fertilizer bans and restrictions, the Company turned its focus to organic

fertilizers, driving a growth of 110% in the overall fertilizer business and recording handsome growth in profitability as well.

Cropcare

The cropcare division delivered value to all its stakeholders during the year under review as revenue rose by 141% while Profit after Tax grew by 509% in 2021/22. AgStar Cropcare (Pvt) Ltd is fully owned by Agstar PLC, which was a significant contributor to the revenue and profits of the parent. One of the main reasons for growth amidst challenging conditions was the company's ability to adjust to the evolving market conditions. Despite limited stocks of agrochemicals, the Company was able to strategically align its existing stocks to reach the hands of farmers.

AgStar supplied government tenders amidst the trying times and sustained the company with limited stocks in inorganic fertilizer, granular fertilizer and agro chemicals. Resisting the need to increase prices for the end user on top of challenges they were already facing, the Company instead minimized the margins of intermediates. In a situation of scarce agri inputs, the goal was to protect the farmer community which was already reeling under the import ban.

As well as being dynamic in the sales and distribution of organic fertilizer and agrochemicals, the Company achieved 509% profitability growth, a source of pride for the team. The impact of the ban on inorganic agri inputs was devastating for the farming community and the agricultural sector as they have been historically relying on inorganic agrochemicals for cultivation purposes. The repercussions of the ban will linger for many more months to come even though the ban has since been reversed.

The prevailing scarcity of foreign exchange to import inorganic chemicals implies that the Company will have to switch to survival mode in the next financial year to sustain operations. The forthcoming Yala planting season promises to be bleak for Sri Lankan agriculture as most farmers chose to withdraw from farming rather than use organic fertilizers and cropcare inputs due to resulting low yields.

Despite this situation, the Company's efforts to partner the farmers will continue. Although farmers historically hold a poor perception about organic manure in liquid and solid form, the Company on its own initiative conducted groundwork to educate farmers about organic inputs even if it may not have the expected nutrient levels. The staff is educating farmers in Polonnaruwa and Anuradhapura and will continue to provide the technical knowledge and support necessary.

Sri Lanka has never faced a food crisis like this in its history and so the months ahead will be critical for the agricultural sector as well as for the people of the country.

Seeds

Prith Vegetable Seeds (PS)

Compared to the previous year, this year we achieved 15% growth in turnover and recorded a 46% profit despite the shrinking market. The company is currently in the process of registering a range of new products with the Department of Agriculture in view of expanding its product portfolio for the next financial year.

MANAGEMENT DISCUSSION & ANALYSIS

AgStar Vegetable Seeds

The overall vegetable seed business increased its turnover by 27% from the previous year while profitability increased by 61%. A majority of sales was derived from the upcountry and the northern region as a result of increased marketing activities undertaken in these areas. The Company has successfully maintained its market leadership in capsicum, cabbage and beans this year too. The beans and cabbage category seeds grew well compared to the previous year. A local hybrid chilli variety developed by the Department of Agriculture was introduced last year and showed a volume growth of 7% over the previous year. We are confident about the seeds business as the company is well stocked with a comprehensive range of products for the next financial year.

Maize Seeds

Maize seeds are an important product and holds much potential. Unfortunately, the drop in extent of cultivation as a result of the import ban on agri inputs meant sales of maize seeds were slow during the period. A 41% drop was seen in sales of maize compared to the year before which impacted profitability adversely.

Seed Paddy

Seed paddy sector was also directly impacted by the fertilizer and the agrochemical ban as turnover of this business dropped by 15% compared to the year before. The Company was unable to produce the seed paddy quantities budgeted because of the shortage of registered seed paddy quantities granted by the government leading to the company's production dropping by 33%. The target was to sell 60,000 bushels of seed paddy, but due to the low quantities accessible, sales too were lower.

These unfavourable developments hindered the company's preparations over the last two years to position itself as the highest quality seed paddy producer in the nation. After having established high quality standards, it became increasingly difficult to source products that met the company's quality standards. As a result, this segment was unable to record expected profitability.

Undeterred, the Company remains committed to helping farmers increase yields. Our entire team was trained at the Rice Research Institute, updating their knowledge on new technologies and



Our entire team was trained at the Rice Research Institute, updating their knowledge on new technologies and growing paddy to its full potential



growing paddy to its full potential with special emphasis on how to increase yields with organic agri inputs.

Agritech

The turnover of 2021/22 increased by 89% compared to 2020/21 and the budgeted bottom line of 2021/22 was achieved by 132%. Overall, this segment recorded 214% profit growth compared to the previous year and is only the second full year of operations for Agritech.

During the year, the business was consolidated as a sustainable operation, supplying end-to-end agritech solutions to the nation.





Signing a Memorandum of Understanding (MoU) with the Bank of Ceylon was significant as it was the first ever company to sign a working agreement with BOC within a very short time of launching its products. This lends credibility to the brand and its comprehensive portfolio of products and services positioned to elevate the agriculture sector to its next phase of growth. This partnership offers easy financial access for farmers to avail of AgStar's products and services.

As a newcomer to the market, the agritech unit has achieved many milestones, proving to be a challenging competitor in the market within a very short period. The company has carved out a sizeable market share in of agri machineries despite being present in only 10 districts. Its distribution network was further increased within the year. The Company succeeded in penetrating the 10 districts in a comprehensive manner by offering quality products, new technologies and superior customer services.

In terms of products and services this year was critical for the company as it did extensive research and analysis to select products which are suitable to

Sri Lankan conditions. As a result, all its products have been overwhelmingly accepted in the industry. 2021/22 was an important year for the agritech business as new technologies such as a third-generation combined harvester, low weight Italian origin Arbos tractor and a range of small tiller products were introduced. The Company operated with limited resources and exercised stringent cost controls which helped achieve many milestones.

The Company is further committed to serve the nation with state-of-the-art technologies to ensure farmer well-being and secure nation's food security. Along with launching technologies such as transplanter, seeders and drones in the near future, it is also training end users to be comfortable in adopting these new technologies as automation will be the driving force for the recovery of the agriculture sector.

Exports

In the year under review the Exports arm recorded a 29% increase in turnover over the previous year, reversing a loss in the last financial year to retain profits. Sales revenue of local operations rose by 117% against the previous year, while sales of

spice exports grew by 181% compared to the previous year. Local operations helped sustain the company through the year. In the outlook for the upcoming financial year, the Company is expecting to increase export revenue by exporting fruits and vegetables to new markets such as Middle East, Maldives and Fiji.

Animal Nutrition

In line with its ambition to expand and diversify, the Group expanded into the animal nutrition industry as this is an aggressively growing segment and has built strong connections with key suppliers in the industry. The Company has successfully partnered with four recognized leading international animal nutrition producers and registered almost 26 products. Two major consignments were imported amidst all the restrictions as product introduction and mini launch of the new solutions. The business unit commenced operations amidst the economic downturn and although sales volumes were recorded, the lack of foreign exchange in the market will prove to be a challenge in sustaining an uninterrupted supply in the months ahead.

This business segment will be further expanded as a few more companies with interests in the Sri Lankan market have been shortlisted for future partnerships and local expansions. As an off-shoot, plans have been drawn up to foray into the pet industry, which is a very vibrant and growing industry.

As is evident from the Group's move towards innovation and technology, it remains committed to enter new frontiers of agri related businesses that will add value to the nation and usher in the latest technology to improve yields for farmers while attracting fresh talent into the sector as a result.

MANAGEMENT DISCUSSION & ANALYSIS



Euro Asia Tea

The Company has a wide range of value-added tea products to comply with every taste, culture, mood, and moment under F&S, SABRO, FAVOR and Tet A Tea brands.

The Company is fully focused in marketing its own tea brands whilst maintaining their values, vision and image. The branded teas come in diverse forms of packets, tea bags, metal tins, gift items, canisters containing a variety of black and green teas ranging from regular, flavoured, fruit, specialty blends and infusions which covers all main market segments such as Retail, whole sale, HORECA and online platforms. The Teas are packaged in vibrantly colourful, innovative, and attractive packs which are unique to the company.

The company undertakes to pack for Private Label Brands too where the team provide services to the respective clients from the design stage to the final product. Also, the company supplies expertly blended and original garden teas for shipment in bulk form to blenders and packers worldwide who prefer to work with superior quality teas. When it comes to quality, the company has obtained the required certifications for its state-of-the-art production facility such as ISO 22000:2018, HACCP, GMP, ISO14001:2015 and Organic certifications [USDA, EU & JAS]

Given the prevailing global situation, social media platforms were leveraged to show a presence in the market. The company has established ties with distributors and buyers in Europe, Far East and Middle Eastern countries. The operation is being headed by a team of experienced professionals from the tea industry and is expected to become a major contributor to the Group in time to come.

FINANCIAL REVIEW

Recording an impressive performance in the 2021/22 financial year, Group Turnover increased by 66% from Rs. 3,611 Mn in 2020/21 to Rs. 5,992 Mn, while operational profit increased by 166%, from Rs. 611 Mn in the previous year to Rs. 1,628 Mn. AgStar Group profitability increased by 28% from Rs. 475 Mn in the previous year to Rs. 607 Mn in the current financial year, with a significant contribution from the fertilizers, cropcare and vegetable seeds businesses.

As a result of the delay in subsidy payment, the Group had to pay a high interest cost, and due to rupee depreciation against the USD, the Group incurred a foreign currency exchange loss of Rs. 666 Mn during the year, compared to a foreign currency exchange gain of Rs.33 Mn recorded last year. At the end of the financial year, the government's subsidy receivable balance was Rs. 3 bn, which was more than the stipulated settlement period.

By way of a right issue, the Board of Directors approved the issuance of 153,763,155 voting shares in the proportion of one new ordinary voting share for every two ordinary voting shares held at an issue price of Rs. 5/- per share and 8,736,845 non-voting shares in the proportion of one new non-voting share for every two non-voting shares held at an issue price of Rs. 4/- per share on January 13, 2022. Because of this, the share capital has increased from Rs. 1.2 Bn to Rs. 2 Bn, and the number of shares has increased from 325 Mn to 487.5 Mn, including voting and non-voting shares.

Basic earnings per share increased to Rs. 1.52 from Rs. 1.19 previous year after right issue adjustments and the return on shareholders' equity was 10.96%, compared to 13.06 % in 2020/21. The Group's total asset base increased by 16%, and return on assets increased to 6.2%, up from 5.6% the previous year.

Shareholder Information

AgStar PLC was listed on the Colombo Stock Exchange on 16/02/2012. As per the Listing Rules, the Company has submitted the unaudited interim financial statements to the Colombo Stock Exchange (CSE) within 45 days of each quarter.

Financial Calendar

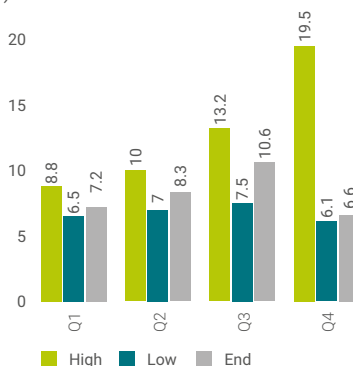
Year ended 31st March	2022
Financial year end	31st March 2022
Announcement of results	
1st quarter ended 30th June 2021	14th August 2021
2nd Quarter ended 30th September 2021	13th November 2021
3rd Quarter ended 31st December 2021	15th February 2022
4th Quarter ended 31st March 2022	31st May 2022

Share Prices

The highest voting share price recorded during the financial year was Rs. 19.50 (Non-voting - Rs. 6.2), while the lowest was Rs. 6.10 (Non-voting - Rs. 4). During the financial year under review, the share price fluctuated significantly, eventually ending at Rs. 6.60 per share (Non-voting - Rs. 5) on March 31, 2022. The graph table depicts the price trends of AgStar voting shares over the course of the year

Voting share price

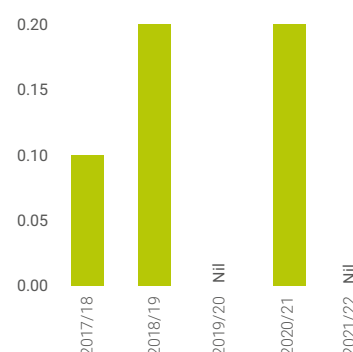
Share price (Rs.)



Dividends

Considering the volatility of the market and the deterioration of the economy, the Company will rationalize its operations and drive resource optimisation to mitigate risks to its sustainability during this turbulent period. As a result, management recommends that no dividends be declared this year.

Dividend per share (Rs.)



SUSTAINABILITY REPORT



OUR APPROACH

As a key contributor to the nation's agricultural sector, AgStar PLC offers an array of agriculture related products and services. The Group's status as an end-to-end agri solutions provider is benefiting people employed in the sector. The Company is delivering sustainable farming solutions by formulating organic fertilisers even before the ban on importing inorganic fertilizers was enforced. Our sustainability approach aims to create a better future for stakeholders by generating economic, environmental and social value for both internal stakeholders, such as Employees, and external stakeholders such as Farmers, the Community and the Environment.

EMPLOYEES

Employees are the Company's most valuable asset and the Group implements measures to ensure occupational health and safety. The Company continues to invest in its employees to ensure a high performing workforce. In order to be well-equipped to take on the responsibility of educating and training, staff undergoes technical training along with soft skills training in adopting a customer-centric

mindset. In addition, now that the Company has a new ultimate parent, the reputed conglomerate LOLC Group, employees are assured of synergistic opportunities.

Workplace culture

Employee diversity and inclusion is one of the core tenets of our sustainability mindset. At AgStar, employees experience a workplace they feel part of, where they can contribute to the greater good, and where they are trusted, respected and given the ability to make decisions.

Continuous Learning

During the year, training programmes were conducted related to ISO certification. Unfortunately due to a rise in COVID-19 in 2021, training programmes could not be held. However, a motivational training programme was organised with the assistance of motivational speakers to boost employee morale. In addition, new product knowledge training sessions were held regularly to better equip staff to operate in the field. Knowledge sharing and imparting technical inputs are key to the Company's close relationships with



AgStar PLC offers an array of agriculture related products and services.

The Group's status as an end-to-end agri solutions provider is benefiting people employed in the sector.



farmers to help circumvent challenges posed by inclement weather conditions and ad hoc policymaking.

Employee welfare and well-being

Employees are treated with respect, tolerance, dignity and without prejudice to create a mutually respectful and positive working environment. A welfare scheme offers myriad benefits to employees including an allowance to be paid in the case of natural disasters; a gift allowance at the time of marriage of the employee and at the birth of first child. An annual sports day is held every year to promote sportsmanship and teamwork.



FARMERS

Farmers are at the heart of the Company's products and services. Committed to develop self-sufficiency for the nation, AgStar staff shares technical knowledge with farmers to enhance yields and other cultivation methods. The Company's new line of business - agritech - is offering modern machinery to automate traditional cultivation methods in the sector. The Company believes the automation of the industry will alleviate generational challenges being faced amongst the farming community so as to retain the younger generation in farming.

DEALERS AND DISTRIBUTORS

The Company's distributor network reaches the far corners of the country's heartland – giving farmers in remote regions access to AgStar's products. The Company maintains robust relationships with distributors and regularly encourages them through incentives to drive sales.

Extension officers have been appointed in Anuradhapura, Batticaloa and Polonnaruwa to engage with farmers in addition to the existing dealer network.

CUSTOMERS

Committed to fulfilling its product responsibility, AgStar releases products into the market only after ensuring quality levels and by making sure its packaging gives the right information and ingredients about each products. This is part of its customer centric approach to business. Moreover, customer feedback and suggestions are encouraged to improve products and services. Any complaint is redressed immediately through a formal mechanism.

COMMUNITY

Agstar is deeply connected to local communities at the grassroots and to build further trust it engages in impactful Corporate Social Responsibility (CSR) projects to generate value amidst communities. Although the pandemic

situation and economic crisis hindered travel and access to communities, AgStar managed to conduct the following CSR initiatives:

- Training programmes for the farmer community including farmer pocket training classes, product launches and induction programmes
- Door-to-door field visits to farmers
- Demonstrations and training programmes about special features and proper usage of harvesters
- Special training programmes for organic fertilizer usage amongst the farmer community in several locations.

ENVIRONMENT

Demonstrating its concern for the environment, one of the highlights of its future strategies is to focus on developing eco-friendly crop care products. Water and energy consumption and emissions are monitored to remain



SUSTAINABILITY REPORT



AgStar is also pioneering home-grown research and development in promoting and marketing locally developed MICH Hybrid chilli breed developed by the Department of Agriculture and grown by local farmers in the Central Province. The Company aims to expand its locally produced range of seeds in order to become a significant player in the hybrid seed sector.



AgStar has always been uncompromising on key sustainability issues and has promoting organic fertiliser and cropcare products for sustainable farming practices.



within acceptable norms. The Group has also forayed into renewable energy by adopting the rooftop solar initiative. The AgStar Group invested Rs.133 Mn in renewal energy to generate 1.29 MW power in 4 locations and now supplies to the national grid.

SUSTAINABLE FUTURE

AgStar is driven to create value for all its stakeholders both internal and external. By ensuring end-to-end solutions for agricultural needs, the Group is leading the market in partnering farmers and to benefit the sector by encouraging sustainable practices in industries and communities. Its strategy is to expand the Company's influence in partnering the farming community to increase yields and technology inputs and achieve productivity.

CORPORATE GOVERNANCE

General Governance Policy

The concept of corporate governance covers the entire accountability framework of an organisation. It encompasses aspects of both corporate and business governance and is based on the premise that a good governance policy alone cannot make an organisation successful. It is only by having in place good corporate governance practices, which are strategically linked to performance management that an organisation is able to focus on the key drivers of the business. This concept emphasizes the dual role of the Board of Directors in ensuring conformity to good governance and strategic management for value creation.

It is the firm belief of the Board of Directors that an effective self-regulatory framework is vital to pursue stakeholder

confidence in the context of increasing trends in deregulation and lack of regulations in certain areas.

AgStar PLC ("AgStar") has continued its commitment to maintain high standards of corporate governance in order to ensure the integrity, accountability and transparency of all transactions as well as to ensure equal importance to business performance in order to ensure value creation.

AgStar's Adoption of Corporate Governance

Being a listed company committed to maintaining ethics and professionalism in every sphere of activity, AgStar adheres to high standards of corporate governance.

It defines governance as the set of processes, customs, policies, laws and institutions affecting the way in which the corporation is directed, administered and controlled.

Key aspects of the corporate governance framework established by the Company are described below.

In keeping with its vision and mission and with the continued goodwill and confidence of customers very much in mind, the Company is careful not to undertake any business activity that might adversely affect the welfare of the community and the environment.

Detailed description of compliance with Corporate Governance rules is given below.

Corporate Governance Principle	Principle No.	Level of Compliance
Directors		
The Board	A.1	The Board provides the leadership in realizing business objectives, value creation and risk management while promoting a culture of transparency and integrity in carrying out the Company's business functions. Frequency of Board Meetings Four Board Meetings are scheduled to evaluate the performance and to discuss strategy and other matters of the company. Ad-hoc meetings are scheduled to deal with specific matters which require the attention of the Board between scheduled meetings. The table below depicts the attendance of Directors at the Board and Committee meetings held during the year.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance				
Directors						
The Board	A.1	Name of Director	Board Meetings	Audit Committee Meetings	Remuneration Committee Meetings	Related Party Transactions Review Committee Meetings
		Mrs. S. Kotakadeniya*	-			
		Mr. D. N. N. Lokuge (ceased to be a director from 17th March 2022)	4/4		1/1	
		Mr. A. P. Weerasekera	4/4			
		Mr. W. A. P Perera (ceased to be a director from 26th January 2022)	3/4			
		Mr. D. S. K. Amarasekera	3/4			
		Mr. R.K. Athula Ranaweera	3/4	3/3	1/1	3/3
		Dr. (Mrs.) A.D.N. de Zoysa	4/4	3/3		3/3
		Mrs. S. Wickramasinghe	4/4	3/3	1/1	3/3
		Mr. W. K. D. T. Abeyrathne*	-			
		Mr. E. A. D. N. J. Perera*	-			
		Mrs. T. A. P. Weerasinghe*	-			
		Mr. P. Weerasingha*	-			
		Mr. M. S. Gunawardana*	-			
		* appointed w.e.f 11th March 2022				
The Responsibilities of the Board						
The Board is ultimately accountable for ensuring that, as a collective body, it has the appropriate skills, knowledge and experience to perform its role effectively. The Board is responsible for the following:-						
• formulation, implementation and monitoring of strategy • effective systems to secure integrity of information, internal controls and risk management • compliance with laws, regulations and ethical standards • ensuring all stakeholder interests are considered in corporate decisions						
The Board has delegated several functions to Board Committees, while retaining final decision rights pertaining to matters under the purview of the Committees. The composition and the functions of these sub-committees are discussed in detail under the relevant sections of this Report.						

Corporate Governance Principle	Principle No.	Level of Compliance
Directors		
The Board	A.1	Obtaining Independent Professional advice In discharging their duties the Directors are permitted to seek independent professional advice from external parties when necessary at the expense of the Company. Company Secretary The Directors have access to the advice and services of the Company Secretary. The Company Secretary advises on the need to comply with board procedures, relevant statutory obligations and other applicable rules and regulations. Independent Judgment All Directors employ independent judgment in all decisions pertaining to strategy, performance, resource allocation and standards of business conduct and acts free from any undue influence and bias from other parties. Dedication of adequate time and effort to matters of the Board and the Company The Board members dedicate adequate time and effort to fulfil their duties as Directors of the Company and ensure that they are satisfactorily discharged. Newly appointed Directors who do not have previous public company experience at Board level are provided with appropriate training on their role and responsibilities. New Directors participate in a comprehensive and tailored induction program including meetings with members of the senior management. The induction program includes a full review of corporate responsibility. Subsequent training is available on an ongoing basis to meet any particular needs.
Chairman & Managing Director	A.2	A clear division of responsibility is maintained between the Chairman and the Managing Director ensuring that the balance of power and authority is preserved.
Chairman's role	A.3	The Chairman being responsible for the running of the Board facilitates the effective discharge of Board proceedings and ensures that: • Effective participation of both Executive and Non-Executive Directors is secured • All Directors are encouraged to make effective contributions to proceedings • The views of Directors on issues under consideration are ascertained, and • Board is in control of the affairs of the Company and alert to its obligations to all stakeholders
Financial acumen	A.4	The members of the Board possess the necessary knowledge and competence to offer guidance on matters of finance

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance
Board balance	A.5	Composition The Board currently comprises of eleven Directors which include eight Non-Executive Directors and three Executive Directors. Three out of eight Non-Executive Directors are Independent. The Board has an appropriate balance of skills, experience, independence and knowledge to enable it to discharge its duties and responsibilities effectively. The Board considers the Independent Directors as free of any business relationship or other circumstance and independent of management that could materially interfere with or could be reasonably perceived to materially interfere with the exercise of their unfettered or independent judgment. To determine their independence, the Board reviews all Directors' interests that may give rise to a potential or perceived conflict, and any circumstances relevant to their current or ongoing independence as set out in the Rules and Regulations of the Colombo Stock Exchange. Mrs. S. Wickramasinghe, Dr. (Mrs.) A.D.N. de Zoysa and Mr. R.K. Athula Ranaweera meet the criteria for independence specified by Rule 7.10.4 of the Listing Rules of the Colombo Stock Exchange. These Directors have submitted written declarations of their independence as required by section 7.10.2 (b) of the Listing Rules. Mrs. S. Wickramasinghe has completed nine years of service as a Director on 3rd June 2022. The Board is of the opinion that the aforesaid Director is nevertheless independent by taking into account all the circumstances and is satisfied that she is free of material business or other relationship that could interfere with or could reasonably be perceived to interfere with the exercise of her unfettered and independent judgements.
Supply of Information	A.6	The Board is provided with timely information in an appropriate manner enabling it to discharge its duties effectively. In the event the information volunteered by management is not adequate, the Directors make further inquiries. The Chairman ensures all Directors are appropriately briefed on issues arising at Board meetings. The minutes, agenda and connected papers required for a Board Meeting are dispatched to the Directors in advance enabling them with sufficient time to review the papers and request for any additional information or clarifications on matters when necessary.

Corporate Governance Principle	Principle No.	Level of Compliance
Appointments to the Board	A.7	The Board has not established a Nominations Committee for making recommendations on Board appointments. Hence appointments to the Board are made collectively and with the consent of all the Directors. Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange together with a brief resume of the Director which includes; • The nature of his/her expertise in relevant functional area, • Other Directorships or memberships in Board sub committees, • Whether the Director is considered an Independent Director.
Re-election	A.8	In compliance with the Articles of Association of the Company, one third of the Directors retire by rotation at every Annual General Meeting. A Director appointed during the year retires at the next Annual General Meeting of the Company and seeks re-appointment in terms of the Articles of the Company.
Appraisal of the Managing Director	A.9	The Annual appraisal of the Managing Director is carried out by the Board against pre-agreed performance targets.
Disclosure of Information in respect of Directors	A.10	Current Directors' biographical details such as name, qualifications and brief profile are set out on pages 20 to 25 of this Annual Report. These include their main external commitments.
Level and makeup of remuneration	B.2	The level of remuneration for both Executive and Non-Executive Directors is sufficient to attract and retain the Directors to run the Company successfully. The Remuneration Committee compares the levels of remuneration of the Company in relation to other companies in the industry. The Remuneration Committee report appears on page 49 of this Report.
Disclosure of remuneration	B.3	The total remuneration of the Directors' is disclosed in Note 10 to the Financial Statements.
Constructive use of the Annual General Meeting	C.1	The Shareholders of the Company have the opportunity to meet and question the Board at the Annual General Meeting. Each item of business to be considered at the Annual General Meeting is included with the Notice of Meeting which is sent to shareholders at least 15 working days prior to the meeting. The Chairpersons of the Audit and Remuneration Committees are present at the Annual General Meeting to answer any questions raised by the shareholders.
Major transactions	C.3	There were no major transactions during the year as defined by Section 185 of the Companies Act No. 07 of 2007 which materially affect the net asset base of AgStar PLC or Consolidated Group net asset base.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance
Financial and business reporting	D.1	The Board ensures that the quarterly and annual Financial Statements of the Company are prepared and published in compliance with the requirements of the Companies Act No 07 of 2007, Sri Lanka Accounting Standards and the Colombo Stock Exchange. The Statement of Directors' Responsibility in preparation of the Financial Statements is given on page 48 of this Report. The declaration by the Board that the Company is a going concern is given in the Directors' Report on the state of affairs of the Company.
Audit Committee	D.3	The Audit Committee consists of three Independent Directors. The members of the Committee are indicated in the Directors' Report on the state of affairs of the Company. The Committee is empowered to examine and report on the following :- • Review the financial reporting system • Review internal control framework and identify business risks • Review the quality of external and internal audit performance • Review compliance with laws, regulations and professional standards • Recommend the appointment and fees of external auditors The Committee met three times during the year. The Chairman and the Managing Director of the Company attended all meeting by invitation.
Code of Business Conduct and Ethics	D.5	The Directors have adopted and adhered to the Code of Business Conduct and Ethics for Directors. A set of Guidelines for ethical behaviour has also been compiled to help employees to act with responsibility and to, make the right decisions in their daily work. This Code of Conduct explains the principles for dealings with business associates, general partners, colleagues and in the community in which we operate. Thus it supports all employees in acting ethically not only in their dealings with one another but also outside the company.
Institutional and Other Investors		
Shareholder voting	E.1	The company is committed to maintaining good communications with investors. The Chairman conducts a structured dialogue with the shareholders based on the mutual understanding of objectives and ensures that the views of the shareholders are communicated to the Board as a whole. All shareholders are encouraged to participate at meetings of the Company, and a form of proxy accompanies each notice providing shareholders who are unable to attend such meeting the opportunity to cast their vote.

Disclosures Pertaining to Corporate Governance Practices

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.1(a)	Non-Executive Directors (NEDs)	Two or at least one third of the total number of Directors should be NEDs	✓	Corporate Governance Report
7.10.2(a)	Independent Directors	Two or one third of NEDs (whichever is higher) should be independent	✓	Corporate Governance Report
7.10.2(b)	Independent Directors	Each Non-Executive Director should submit a declaration of independence/non- independence in the prescribed format	✓	Corporate Governance Report
7.10.3(a) and (b)	Disclosure relating to Directors	Names of Independent Directors should be disclosed in the Annual Report	✓	Corporate Governance Report
	Disclosure relating to Directors	The basis for determination of independence of NEDs, if criteria for independence is met	✓	Corporate Governance Report
7.10.3(c)	Brief Resume of each Director in the Annual Report	A brief resume of each Director should be included in the Annual Report, including his/ her area of expertise	✓	Profiles of the Board of Directors
7.10.4 (a- h)	Criteria for defining "independence"	Requirements for fulfilling criteria of "Independence"	✓	Corporate Governance Report
Rules relating to Remuneration Committee				
7.10.5(a)	Composition of Remuneration Committee	The Committee shall comprise of Non- Executive Directors, majority of whom shall be independent The Chairman of the Committee shall be a Non- Executive Director	✓	Directors' Report on the state of affairs of the company
7.10.5(b)	Disclosure of the functions of the Remuneration Committee	The Committee shall recommend the remuneration payable to the Executive Directors and Chief Executive Officer	✓	The Remuneration Committee Report

CORPORATE GOVERNANCE

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.5(c)	Disclosure in the Annual Report	The Report should include the names of the Remuneration Committee members, a statement of Remuneration Policy and the aggregate remuneration paid to Executive and Non-Executive Directors	✓	The Directors' Report on the state of affairs of the company and the Remuneration Committee Report
Rules relating to Audit Committee				
7.10.6(a)	Composition of Audit Committee	The Committee shall comprise of NEDs, a majority of who shall be Independent. The Chairman of the Committee shall be a Non-Executive Director. The Chairman or a member should be a member of a recognised professional accounting body	✓	The Directors' Report on the state of affairs of the Company and the Audit Committee Report
7.10.6(b)	Functions of the Audit Committee	Overseeing the preparation, presentation and adequacy of the disclosures in the Financial Statements in accordance with the Sri Lanka Accounting Standards Overseeing compliance with financial reporting related regulations and requirements Overseeing the processes to ensure that internal controls and risk management are adequate Assessing the independence and performance of the external auditors Recommending to the Board the appointment, re-appointment or removal of the external auditors and approving their remuneration and terms of engagement	✓	Audit Committee Report
7.10.6(c)	Disclosure in the Annual Report	The names of the members of the Audit Committee The basis of determination of their independence A report of the Audit Committee as setting out the manner of compliance with their functions	✓	Directors' Report on the state of affairs of the Company, Audit Committee Report

Disclosures Pertaining to Corporate Governance Practices

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
Rules relating to Related Party Transactions Review Committee				
9.2.1	Related Party Transactions Review Committee (RPTRC)	Reviewing of Related Party Transactions except transactions mentioned under rule 9.5 should be carried out by the committee prior to entering into completion of the transaction	✓	Directors' Report on the state of affairs of the Company, Related Party Transactions Review Committee Report
9.2.2	Composition of Related Party Transactions Review Committee	The Committee should comprise a combination of non- executive directors and independent non-executive directors. The composition of the Committee may also include executive directors, at the option of the Listed Entity. One independent non-executive director shall be appointed as Chairman of the Committee.	✓	The Directors' Report on the state of affairs of the Company and the Related Party Transactions Review Committee Report
9.2.4	Frequency of Meeting	The Committee shall meet at least once a calendar quarter. The Committee shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors	Committee met three times during the financial period	Related Party Transactions Review Committee Report
9.2.5	RPTRC access to knowledge, expertise or professional advice	Committee should have access to knowledge or expertise to assess all aspects of proposed related party transactions or obtained appropriate professional and experts' advice.	✓	Related Party Transactions Review Committee Report

REPORT ON RISK MANAGEMENT

A business that does not face any risk cannot be found in the world. Irrespective of the nature and the size of the business, risk is inevitable in doing business. In broad, such risk factors can be two-fold, systematic risk and unsystematic risk. Systematic risk is the risk which cannot be diversified or avoided. On the other hand the unsystematic risk represents

the risk unique to the respective business operation which in turn could be mitigated or avoided with risk management activities.

AgStar PLC and its group companies being an entity that closely engages in agricultural and related products are always open for systematic risks such as adverse weather conditions, impediment

Government rules and regulations in relation to the agro industry. However, the risk management activities of the company which are an intrinsic part of the business processes from the beginning to the end are expected to mitigate the risk of the group. The following are the highlights of the key risks and the associated risk mitigating activities of the AgStar Group.

Description of Risk	Risk Mitigation
Business/ Investment Risks Risk of losses and uncertainties attached to new business investments as the Group continuously looks to diversifying its existing business portfolio	Stringent evaluation of risks associated with each new investment is carried out by in-house expertise and external resources as and when required. Formation of strategic alliances with reputed partners to create synergies and share the investment risk. Address potential adverse ethical, social and environmental factors before venturing into such new projects
Default Risk Default of subsidy component settlements by the Government of Sri Lanka (GoSL)	Currently the likelihood of the default risk is low. However, continuous representative efforts are being carried out in this regard. Constant follow-up with Government authorities to recover the subsidy component within the stipulated time period. Carry out necessary and appropriate representative efforts in this regard.
Economic Risk Risk of an economic downturn negatively impacting the Group's investment and business operations.	Closely monitors domestic and global economic activities that could have an impact on Group's business to take precautions. Maintain sound relationships with relevant stakeholders
Interest Rate Risk Adverse impacts on profitability owing to changes in market interest rates as the Group borrowing are mostly at floating interest rates.	Ensures maximising returns on financial investments and minimising cost borrowing Use of appropriate financial and hedging strategies to minimise interest rate risk. Negotiate for concessionary interest rates using AgStar's strength as a listed Company
Regulatory and Complaints Risk Introduction of new regulation affecting the business adversely and complexity in complying with regulatory requirements	Monitors complaints with regulatory requirements. Participate in representative effort against regulations that could have a negative impact on the business/industry.

Description of Risk	Risk Mitigation
Credit Risk The probability of the loss of income owing to default by the company's debtors	Conduct in-depth analysis of debtors on their performance. Regular follow-up on overdue debtors to minimise potential losses.
Employee Risk Risk arising from the inability to attract, motivate and retain skilled and experienced staff, thus impacting the business competitiveness.	Build strong employer brand. Implement an effective human resource policy and a plan which is reviewed by the remuneration committee. Adopt an open door policy where any employee can speak to the senior management regarding their concerns.
Operational Risk Losses resulting from fraud, human errors, inefficient processes, natural perils and loss of sensitive information.	Conduct periodic internal audit reviews to ensure complaints and the effectiveness of internal control system. Maintain a business continuity plan to ensure disaster preparedness.
Funding / Liquidity Risk Difficulty in obtaining required funding for projects.	Maintain a business continuity plan to ensure disaster preparedness. Use of AgStar's group strength as a listed Company to raise economical funding as and when required.
Lack of Government support Lack of Government support to promote and encourage the private participation in the industry	Maintain constant communication with authorities about policy changes and appropriate representative efforts.
Competition Risk Risk of losses from a decline in company's competitiveness.	Conduct regular analysis on competitor activities and performance. Formulate strategies to enhance AgStar's market share.

STATEMENT OF DIRECTORS' RESPONSIBILITY

This Statement sets out the responsibility of the Directors, in relation to the Financial Statements of the AgStar PLC (the Company). The responsibilities of the External Auditors in relation to the Financial Statements are set out in the 'Auditors' Report' is given on pages 64 to 67.

In terms of Sections 150 (1) and 151 of the Companies Act No. 07 of 2007, the Board of Directors of the Company are responsible for ensuring that the Company keep proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Company as at end of each financial year and of the financial performance of the Company for each financial year and place them before a general meeting.

The Financial Statements comprise of the Statement of Financial Position as at 31st March 2022, the Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Company give a true and fair view of the:

- Appropriate Accounting policies have been selected and applied consistently;
- Financial Statements have been prepared and presented in accordance with Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards(LKAS);

- The Financial Statements provide the information required by the Companies Act and Listing Rules of the Colombo Stock Exchange; and
- Reasonable and prudent judgments and estimates have been made.

The Directors have taken reasonable measures to safeguard the assets of the Company and of the Group and in this regard to give proper consideration to the establishment of appropriate internal control systems with a view of preventing and detecting fraud and other irregularities.

The Directors have a reasonable expectation, that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future and therefore have continued to adopt the going concern basis in preparing the Financial Statements.

Messrs KPMG, Chartered Accountants, the Auditors of the Company, have examined the Financial Statements made available by the Board of Directors together with all relevant financial records, related data, and minutes of Shareholders' and Directors' meetings and expressed their opinion in their Report on page 64 of the Annual Report.

The Directors confirm that to the best of their knowledge, all statutory payments relating to employees and the government that were due on behalf of the Company and the Group as at the date of the statement of financial position have been paid, or where relevant provided for, except as disclosed in Note 34 to the Financial Statements covering contingent liabilities.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board



Mrs. S. Kotakadeniya
Non-Executive Chairperson
Colombo

30 August 2022

REMUNERATION COMMITTEE REPORT

Composition of Committee

The remuneration committee appointed by the Board of Directors consists of two independent non-executive Directors and one non-executive Director. The members of the committee during the year under review were Mr. D N N Lokuge (resigned on 17th March 2022), Mr. R.K.Athula Ranaweera and Mrs. S.Wickramasinghe. Mr. D S K Amarasekara was appointed as the Chairman of the Committee wef 15th August 2022.

Committee Meetings

The committee met once during the year under review as per the table on page 38 of this report and the minutes of the meeting were presented to the Board.

Attendance

The Chairman and the Managing Director attended the meeting of the Remuneration Committee by invitation as the senior executives to discuss the management performance and to make proposals as deemed necessary except where their own remunerations were discussed.

Role of the Committee

The role of the Remuneration Committee is to:

- formulate remuneration policy of the company to attract and retain high calibre personnel and motivate them;
- make recommendations to the Board and monitor the level and structure of remuneration for senior management;
- make recommendations to the Board on the Company's framework of executive remuneration and its cost, and to determine on behalf of the Board specific remuneration packages and conditions of employment (including compensation entitlement) for Executive Directors;

- make recommendations to the Board regarding the content of the Board's Annual Report to the shareholders on Directors' remuneration (including the Company's policy and Executive Director's remuneration, details of individual remuneration and other terms and conditions).

Remuneration to Directors

The remuneration paid to Directors during the year under review is indicated in note 10 to the financial statements.



Mr. D. S. K. Amarasekera

Chairman
Remuneration Committee
Colombo

30 August 2022

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

Adoption of the Code of Best Practices on Related Party Transactions

The Committee functions on behalf of the Board in complying with the Listing Rules of the Colombo Stock Exchange and with the Code of Best Practices on Related Party Transactions ("RPTs") issued by the Securities and Exchange Commission of Sri Lanka.

Purpose of the Committee

The purposes of the Related Party Transactions Review Committee ("the Committee") of AgStar PLC ("Company") is to conduct an appropriate review of all of the Company's related party transactions and to ensure that the Company complies with the rules set out in the Code.

The primary objectives of the said rules are to ensure that the interests of the shareholders as a whole are taken into account when entering into related party transactions and to prevent directors, key management personnel or substantial shareholders taking advantage of their positions.

Composition of the Committee

The Committee consists of three (3) members of Independent Non-Executive Directors. The members of the Committee are:

Name	Position
Mrs. S. Wickramasinghe (Committee Chairperson)	Independent Non-Executive Director
Dr. (Mrs) A.D.N.de Zoysa	Independent Non-Executive Director
Mr. R.K. Athula Ranaweera	Independent Non-Executive Director

Charter of the Committee

The Related Party Transactions Review Committee Charter clearly sets out the purpose, membership, authority and the duties and responsibilities of the Committee. In order to discharge the duties and responsibilities effectively and efficiently the Committee has been authorised to:

- Receive regular reports from the Management, and be provided with any information it requests relating to its responsibilities;
- Establish policies and procedures that provide general pre-approvals to certain classes or types of related party transactions;
- Review and evaluates the terms and conditions, and to determine the advisability of any related party transaction;
- Determine whether the relevant Related Party Transaction is fair, and in the best interests of the Company and its shareholders as a whole;
- Recommend to the Board what action, if any, should be taken by the Board with respect to any Related Party Transaction;
- Obtain the advice and assistance from legal, technical, financial and other advisors from internal or external to the Company as deemed necessary by the Committee in order to carry out its duties; and
- Form and delegate authority to sub-committees consisting of one or more members where appropriate, provided that the decision of such sub-committees shall be presented to the full Committee at its next meeting.

RESPONSIBILITIES

The following key responsibilities have been set out in the Charter:

- Ensure that the company complies with the rules set out in the Code subject to the exceptions given under Section 9 of the Code, the Committee shall review in advance all proposed related party transactions;
- Regularly report to the Board on the Committee's activities.

The committee will share information with the Audit Committee as necessary and appropriate to permit the Audit Committee to carry out its statutory, regulatory and other responsibilities with regard to related party transactions.

Meetings

The Committee shall meet on quarterly basis and the attendance at meetings is given on page 38 of this Annual Report.

The Committee met three times during the year to review proposed related party transactions.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the financial year 2021/22 and the major observations were reported to the Board. All related party transactions entered during the year were of a recurrent, trading nature and which is necessary for day-to-day operations of the Company.

In the opinion of the Committee, terms of these transactions were not more favourable to related parties than to those generally available to the public. The details of related party transactions entered during the year are given in Note 32 to the financial statements on pages 123-125 of this Annual Report.

Policies and Procedures

In order to enhance transparency and good governance, the members of the Board of Directors of the Company have been identified as Key Management Personnel (KMP). In accordance with the Related Party Transactions Policy, declarations were obtained from each KMP for the purpose of identifying any RPTs that were carried out by the Company and to comply with the disclosure requirements, if any.

The Committee's key focus is to review all proposed Related Party Transactions prior to entering into or completion of the transaction according to the procedures laid down by Section 9 of the Listing rules of the Colombo Stock Exchange. In addition, the Accountant is required to report to the Committee the previous quarter's actual related party transactions on a quarterly basis.

Declaration

The committee confirms that the company has complied with the Rules pertaining to Related Party Transactions as stipulated by the Colombo Stock Exchange.



Mrs. S. Wickramasinghe

Chairperson
Related Party Transactions Review
Committee

30 August 2022

FINANCIAL CALENDAR

Year ended 31st March 2022	
Financial year end	31st March 2022
Announcement of results	
1st quarter ended 30th June 2021	14th August 2021
2nd Quarter ended 30th September 2021	13th November 2021
3rd Quarter ended 31st December 2021	15th February 2022
4th Quarter ended 31st March 2022	31st May 2022



OPTIMISING OUR BRILLIANT SOLUTIONS

Financial Statements

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

The Directors of AgStar PLC have pleasure in presenting to members their Report and the Audited Consolidated Financial Statements for the year ended 31st March 2022.

The Financial Statements and the disclosures made herein conform to the requirements of the Companies Act No. 7 of 2007. The Report also includes relevant disclosures required to be made under the Listing Rules of the Colombo Stock Exchange and is guided by the recommended best practices on accounting and corporate governance.

Review of Performance for the Year Ended 31st March, 2022

The operations of the Company and its subsidiaries for the year ended 31st March, 2022 are reviewed in the Chairperson's Report and the Managing Director's review.

AgStar PLC is a public limited liability Company incorporated in Sri Lanka on 25th June 2002 under the Companies Act No. 17 of 1982 and re-registered as required under the provisions of the Companies Act No. 07 of 2007 on 26th December 2007. The Company was listed on the Diri Savi Board with effect from 16th February 2012. The Registered Office of the Company is No. 93, Minuwangoda Road, Ekala, Ja-Ela.

Principal Activities and Group Review

During the year the principal activity of the Company was to carry out the business of importing, blending and marketing of fertilizer products and agriculture machineries.

The Company has eight subsidiaries and their activities are given on page 73 of this Annual Report.

Directors' Responsibility for Financial Reporting

The Directors are responsible for the preparation and presentation of the Financial Statements of the Company and the subsidiaries as to the true and fair view of the State of Affairs of the Company and its subsidiaries.

The Statement of Directors Responsibility for financial reporting is given on Page No. 48.

The financial statements of the Company and the Group are given on pages 68 to 136.

Auditors

The Financial Statements for the year ended 31st March, 2022 have been audited by Messrs. KPMG (Chartered Accountants).

A resolution for the re-appointment of Messrs. KPMG, Chartered Accountants and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The fees paid to the Auditors are disclosed in Note 10 on Page 92 to the Financial Statements.

The Auditors of the Company, Messrs. KPMG do not have any relationship with the Company other than that of Auditors.

Accounting Policies

The accounting policies adopted in preparation of financial statements are given on pages 73 to 89.

The Group has voluntarily changed the accounting policy on Right-Of-Use Assets relating to Lands which meets the definition of a property, plant and equipment from cost model to revaluation model with effect from 31st March 2022.

There were no any other material changes in the accounting policies of the Group during the year under review.

Independent Auditors' Report

The Auditors' Report on the pages Financial Statements is given on pages 64-67 of this Report.

Results and Appropriations

The profit after tax of the parent Company, AgStar PLC was Rs.321.6 million (2021- Rs. 455.2 million), whilst the Group profit attributable to the equity holders of the parent for the year was Rs. 618.9 million (2021- Rs. 476.3 million). Results of the Company and of the Group are given in the Income Statement.

Detailed description of the Group results and appropriation is given below.

Financial Results	31st March 2022	31st March 2021
Operating Profit	1,628,117,435	611,333,319
Finance Cost	(843,990,381)	(73,370,250)
Finance Income	13,273,626	38,489,905
Profit before Tax	797,400,680	576,452,974
Tax Expense	(190,673,806)	(84,077,757)
Profit from continuing operations	606,726,874	492,375,217
Gain /(loss) from discontinued operations (net of tax)	136,103	(17,244,337)
Profit for the Year	606,862,977	475,130,880
Other comprehensive income (net of tax)	(3,660,863)	478,473
Loss available to non-controlling interest	(12,052,893)	(1,128,262)
Profit available to Group's Shareholders	615,255,007	476,737,615
Balance brought forward from previous year	1,622,850,620	1,146,113,005
Amount available for appropriation	2,238,105,627	1,622,850,620
Final dividend	(65,000,000)	-
Balance to be carried forward next year	2,173,105,627	1,622,850,620

Property, Plant and Equipment

An analysis of the Property, Plant and Equipment of the Company and the Group is disclosed in Note 15 to the Financial Statements on pages 98 to 105. The book value of property, plant and equipment as at the reporting date amounted to Rs. 3,299 million (2021-Rs. 2,403 million) and Rs. 2,949 million (2021-Rs. 2,143 million) for the Group and Company respectively.

Stated Capital

The Extra Ordinary General Meeting convened on January 13, 2022 approved the issuance of 153,763,155 voting shares in the proportion of one new ordinary voting share for every two ordinary voting shares held at an issue price of Rs. 5/- per share and 8,736,845 non-voting shares in the proportion of one new non-voting share for every two non-voting shares held at issue price of Rs. 4/- per share by way of a right issue.

Accordingly, the Stated Capital of the Company as at 31st March, 2022 was Rs. 2,007,856,833 comprising 461,289,465 ordinary voting shares and 26,210,535 non-voting shares (2021 - Rs. 1,204,093,678 comprising 307,526,310 ordinary voting shares and 17,473,690 non-voting shares).

Donations

The Company has made Rs.60,000 as donations during the year (2021 – Rs. 6,000)

Capital Commitments

The Capital Expenditure Commitments as at 31st March 2022 is given on page 126.

Revenue Reserves

The revenue reserves as at 31st March 2022 for the Group and Company amounted to Rs. 2,173 million (2021-Rs. 1,623 million) and Rs. 2,343 million (2021-Rs. 2,090 million).

Provision for Taxation

The provision for taxation is computed at the rates as disclosed in Note 11 on pages 92 to 94 of the Financial Statements.

Statutory Payments

The Directors confirm that to the best of their knowledge and belief, all statutory payments in relation to all relevant regulatory and statutory authorities have been paid or adequately provided for in the Financial Statements. A statement of compliance by the Board of Directors in relation to statutory payments is included in the Statement of Directors Responsibility on page 48 of this Report.

Contingent Liabilities

Contingent Liabilities outstanding as at 31st March 2022 are given in Note 34 on page 126 to the Financial Statements.

Events After The Reporting Period

The events occurring after the reporting dates are given in Note 35 on page No. 127 of the report.

Corporate Governance And Internal Controls

The Board of Directors has acknowledged the responsibility to ensure good governance in conducting the Business activities of the Company and confirms that the Company is compliant with section

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

7.10 of the Listing Rules of the Colombo Stock Exchange and has also adopted the relevant Corporate Governance practices recommended by the Securities and Exchange Commission of Sri Lanka and the Institute of Chartered Accountants of Sri Lanka.

An Audit Committee, Remuneration Committee and the Related Party Transactions Review Committee function as Board sub committees with Directors who possess the requisite qualifications and experience. The composition of the said committees is as follows;

Audit Committee

Mr. R.K. Athula Ranaweera
(Independent Non-Executive Director) - Chairman

Dr. (Mrs.) A.D.N. de Zoysa
(Independent Non – Executive Director)

Mrs. S. Wickramasinghe
(Independent Non – Executive Director)

Remuneration Committee

Mr. D.N.N. Lokuge
(Non-Executive Director) – Chairman
(ceased to be a director from 17th March 2022)

Mr. D. S. K. Amarasekera
(Non-Executive Director - Chairman
(appointed wef 15th August 2022)

Mr. R.K. Athula Ranaweera
(Independent Non – Executive Director)

Mrs. S. Wickramasinghe
(Independent Non – Executive Director)

Related party transactions review committee

Mrs. S. Wickramasinghe
(Independent Non – Executive Director) - Chairperson

Mr. R.K. Athula Ranaweera
(Independent Non-Executive Director)

Dr. (Mrs.) A.D.N. de Zoysa
(Independent Non – Executive Director)

Company's compliance with rules on corporate governance are given in corporate governance report on pages 37 to 45. The Audit Committee Report and the Remuneration Committee Report are disclosed in Page No. 63 and Page No. 49 respectively.

The Board of Directors is satisfied with the effectiveness of the systems of internal controls for the year under review and up to the date of the Annual Report.

Compliance With Rules & Regulations

The Company has complied with Tax and other regulations applicable to the Company and has submitted all the returns and the details to the relevant parties by the due dates.

Going Concern

After considering the financial position as at 31st March 2022 and considering the future prospects of the Company and its subsidiaries, the Directors have a reasonable expectation that the Group has adequate resources to continue in operations in foreseeable future. Therefore, the Directors have adopted the assumption of going concern in preparing these Financial Statements.

Employment Policy

The Group policy is to respect the merits of the individuals and provide career opportunities, irrespective of sex, race or religion. The Group's strength of manpower as at 31st March, 2022 was 160 (2021 – 179).

There have been no material issues pertaining to employees and industrial relations of the Company and its subsidiaries.

Equitable Treatment to Stakeholders and Their Interests

The Group has taken all steps to ensure equitable treatment to all stakeholders. The Directors assure that the Group has taken necessary precautions to safeguard the interests of its stakeholders.

Environmental Protection

The Directors have ensured that every possible step has been taken to comply with the relevant environmental laws and regulations in the country. The Group has not engaged in any activity that is harmful or hazardous to the environment.

Directorate

The Directors of the Company during the financial year are as follows:

Mrs. V.G.S. S. Kotakadeniya
(appointed as a Director on 11th March 2022 and as the Chairperson on 17th March 2022)

Mr. D. N. N. Lokuge
(ceased to be a Director/Chairman on 17th March 2022)

Mr. A. P. Weerasekera
(Managing Director)

Mr. W. A. P. Perera
(ceased to be a director from 26th January 2022)

Mr. D. S. K. Amarasekara - Non Executive Director

Mrs. S. Wickramasinghe - Independent Non Executive Director

Mr. R. K. A. Ranaweera - Independent Non Executive Director

Dr. (Mrs.) A. D. N. de Zoysa - Independent Non Executive Director

Mr. W. K. D. T. Abeyrathne - Executive Director
(appointed on 11th March 2022)

Mr. E. A. D. N. J. Perera - Non Executive Director
(appointed on 11th March 2022)

Mrs. T. A. P. Weerasinghe - Non Executive Director
(appointed on 11th March 2022)

Mr. P. Weerasingha - Executive Director
(appointed on 11th March 2022)

Mr. M. S. Gunawardana - Non Executive Director
(appointed on 11th March 2022)

The detailed profiles of the Board of Directors of the Company are given on pages 20 to 25 of this Report.

Rotation/ Re-Election of Directors

1. Dr. (Mrs.) A.D.N. de Zoysa retires by rotation in accordance with Article 23(6) of the Articles of Association of the Company and being eligible, offers herself for re-election.
2. Mr. R. K. A. Ranaweera retires by rotation in accordance with Article 23(6) of the Articles of Association of the Company and being eligible, offers himself for re-election.

3. Mr. A. P. Weerasekera retires by rotation in accordance with Article 23(6) of the Articles of Association of the Company and being eligible, offers himself for re-election.

4. Mrs. V.G.S. S. Kotakadeniya who was appointed to the Board on 11th March 2022 retires in accordance with Article 23(2) of the Articles of Association of the Company and being eligible, offers herself for re-election.

5. Mr. W. K. D. T. Abeyrathne who was appointed to the Board on 11th March 2022 retires in accordance with Article 23(2) of the Articles of Association of the Company and being eligible, offers himself for re-election.

6. Mr. E. A. D. N. J. Perera who was appointed to the Board on 11th March 2022 retires in accordance with Article 23(2) of the Articles of Association of the Company and being eligible, offers himself for re-election.

7. Mrs. T. A. P. Weerasinghe who was appointed to the Board on 11th March 2022 retires in accordance with Article 23(2) of the Articles of Association of

the Company and being eligible, offers herself for re-election.

8. Mr. P. Weerasingha who was appointed to the Board on 11th March 2022 retires in accordance with Article 23(2) of the Articles of Association of the Company and being eligible, offers himself for re-election.

9. Mr. M. S. Gunawardana who was appointed to the Board on 11th March 2022 retires in accordance with Article 23(2) of the Articles of Association of the Company and being eligible, offers himself for re-election.

Directors Interest Register

In terms of the Companies Act No. 07 of 2007 an Interest Register was maintained during the financial year under review.

Directors' Interest In Contracts

The Directors in terms of Section 192 of the Companies Act No. 7 of 2007, have declared their interests in contracts with the Company. The Directors did not have any material interest in any contract of significance in Group's business except those disclosed in Note 32 to the Financial Statements.

Directors' Interest In Shares

Name of The Director	As at 31st March 2022		As at 31st March 2021	
	Ordinary voting shares	Non-voting shares	Ordinary voting shares	Non-voting shares
Mrs. V. G. S. S Kotakadeniya	Nil	Nil	Nil	Nil
Mr. A. P. Weerasekera	11,161,020	8,736,825	7,327,800	5,824,550
Mr. D. S. K. Amarasekara	Nil	Nil	Nil	Nil
Mrs. S.Wickramasinghe	Nil	Nil	Nil	Nil
Mr. R.K.A. Ranaweera	Nil	Nil	Nil	Nil
Dr. (Mrs) A.D.N. de Zoysa	Nil	Nil	Nil	Nil
Mr. W. K. D. T. Abeyrathne	Nil	Nil	Nil	Nil
Mr. E. A. D. N. J. Perera	Nil	Nil	Nil	Nil
Mrs. T. A. P. Weerasinghe	Nil	Nil	Nil	Nil
Mr. P. Weerasingha	Nil	Nil	Nil	Nil
Mr. M. S. Gunawardana	Nil	Nil	Nil	Nil

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

Directors Fees and Remuneration

The amount of the Directors fees and Remuneration paid during the year is given in Note 10 to the Financial Statements on page 92.

Related Party Transactions

The Directors have disclosed the transactions with Related Parties in terms of the Sri Lanka Accounting Standards which are set out in Note 32 to the Financial Statements.

The Related Party Transactions of the Company during the Financial Year have been reviewed by the Related Party Transactions Review Committee and are in compliance with Section 9 of the Listing Rules of the CSE.

In terms of Section 9 of the Listing Rules of the CSE, there were no any related party transactions that required shareholder approval or non-recurrent related party transactions that required immediate market disclosures during the year under review except those which were duly disclosed by way of market announcements via CSE website.

The Directors declare that the Company has complied with Section 9 of the Listing Rules of the CSE.

Shareholders

The market value of an ordinary voting and non-voting share of the Company as at 31st March 2022 was Rs. 6.60 (2021 Rs. 7.00) and Rs. 5.00 (2021- N/A). The number of shareholders as at 31st March 2022 was voting - 2,608 and non-voting - 23 (31st March 2021 voting -1,203 and non-voting-3)

The distribution and analysis of shareholdings were as follows:

Voting

Number of Shares	As at 31st March 2022			As at 31st March 2021		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	1,344	375,118	0.09%	740	179,554	0.06%
1001-10000	762	3,232,329	0.70%	322	1,355,052	0.44%
10001-100000	385	14,186,050	3.07%	106	3,466,072	1.13%
100001-1000000	98	29,798,372	6.46%	22	8,422,289	2.74%
1000001- & Over	19	413,697,596	89.68%	13	294,103,343	95.63%
Total	2,608	461,289,465	100%	1,203	307,526,310	100%

Non-Voting

Number of Shares	As at 31st March 2022			As at 31st March 2021		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	21	2,696	0.01%	1	1,000	0.01%
1000001- & Over	2	26,207,839	99.99%	2	17,472,690	99.99%
Total	23	26,210,535	100%	3	17,473,690	100%

Resident / Non-Resident (Voting)

Resident/Non-Resident	As at 31st March 2022			As at 31st March 2021		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	2,598	460,639,676	99.86%	1,196	307,514,959	99.99%
Non-Resident	10	649,789	0.14%	7	11,351	0.01%
Total	2,608	461,289,465	100%	1,203	307,526,310	100%

Resident / Non Resident (Non-Voting)

Resident/Non-Resident	As at 31st March 2022			As at 31st March 2021		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	23	26,210,535	100%	3	17,473,690	100%
Non-Resident	-	-	-	-	-	-
Total	23	26,210,535	100%	3	17,473,690	100%

Individual/Institution (Voting)

Individual/ Institution	As at 31st March 2022			As at 31st March 2021		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Individual	2,460	74,058,901	16%	1,151	34,106,126	11.11%
Institution	148	387,230,564	84%	52	273,420,184	88.89%
Total	2,608	461,289,465	100%	1,203	307,526,310	100%

Individual/Institution (Non-Voting)

Individual/ Institution	As at 31st March 2022			As at 31st March 2021		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Individual	19	8,739,377	33%	2	5,825,550	33.33%
Institution	4	17,471,158	67%	1	11,648,140	66.67%
Total	23	26,210,535	100%	3	17,473,690	100%

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

List Of 20 Major Shareholders (Voting)

As at 31st March 2022			As at 31st March 2021		
Name of shareholders	Number of shares	Holding %	Name of shareholders	Number of shares	Holding %
Iconic Trust (Private) Limited	201,488,404	43.68%	Sierra Holdings (Pvt) Ltd	97,514,400	31.71%
L O L C Holdings PLC	90,320,250	19.58%	LOLC Holdings PLC	60,213,500	19.58%
Amana Bank PLC/Browns Investments PLC	60,450,000	13.10%	Browns Investments PLC	40,520,061	13.18%
Mr. A.P. Weerasekera	11,161,020	2.42%	Sierra Construction (Pvt) Ltd	37,025,290	12.04%
Mr. N.G.R. Karunaratne / Mrs. S.J Karunaratne	10,657,180	2.31%	P & K Investments (Pvt) Ltd	20,500,000	6.67%
Browns Investments PLC	7,370,057	1.60%	Sampath Bank PLC/ Dr.T.Senthilverl	10,627,982	3.46%
Mr. D.N.N. Lokuge	5,658,969	1.23%	Mr. N.G R.Karunaratne	8,229,310	2.68%
Mr. W.D.N.H. Perera	4,284,500	0.93%	Mr. A.P Weerasekera	7,327,800	2.38%
Mr. W.A.P. Perera	3,393,766	0.74%	FLMC Plantations (Pvt) Ltd	3,150,000	1.02%
F L M C Plantations (Private) Limited	3,150,000	0.68%	Mr. D.N.N Lokuge	3,125,000	1.02%
Deutsche Bank Ag As Trustee To Capital Alliance Quantitative Equity Fund	3,000,000	0.65%	Mr. W.A.P Perera	3,120,000	1.01%
Mr. G.B.D. Tilakaratne	2,131,191	0.46%	Mrs. A.C.P Irugalbandara / Mrs. J M A Irugalbandara	1,500,000	0.49%
Mrs. A.C.P. Irugalbandara / Mrs. J.M.A Irugalbandara	1,773,000	0.38%	Mr. S Karunaratna	1,250,000	0.41%
Hatton National Bank PLC/ JN Lanka Holdings Company (Pvt) Ltd	1,552,366	0.34%	Mrs. G.S.M Irugalbandara	1,000,000	0.33%
Mrs. N.K. Samaraweera	1,530,533	0.33%	Mrs. A.C.P Irugalbandara	1,000,000	0.33%
Mr. G.S.N. Peiris	1,500,000	0.33%	Sierra Engineering And Construction (Private) Limited	843,589	0.27%
Seylan Bank PLC/ K.S. Balasuriya	1,500,000	0.33%	Mr. M.S.S Ghazaly	745,000	0.24%
DFCC Bank PLC/JN Lanka Holdings Company (Pvt) Ltd	1,426,360	0.31%	Hatton National Bank PLC/ Mr.Gerad Shamil Niranjana Peris	500,000	0.16%
Ventura Crystal Investments Ltd	1,350,000	0.29%	Mr. F A W Irugalbandara	499,967	0.16%
DFCC Bank PLC/Fazlur Rahman Muzammil	1,000,000	0.22%	Mrs. S H Sardakhan	499,000	0.16%
Total	414,697,596	89.91%		299,190,899	97.29%

List Of 3 Major Shareholders (Non-Voting)

As at 31st March 2022			As at 31st March 2021		
Name of shareholders	Number of shares	Holding %	Name of shareholders	Number of shares	Holding %
Iconic Trust (Private) Limited	17,471,014	66.66%	Sierra Holdings (Pvt) Ltd	11,648,140	66.66%
Mr. A.P. Weerasekera	8,736,825	33.33%	Mr. A.P. Weerasekera	5,824,550	33.33%
Mr. A.B. Weerasekera	1,000	0.004%	Mr. A.B. Weerasekera	1,000	0.01%
Total	26,208,839	99.99%		17,473,690	100.00%

Public Shareholding

The percentage of public holding in voting and non-voting shares as at 31st March 2022 were,

	Public holding %	No. of Shareholders	Float adjusted market capitalisation
-Voting Shares	19.56%	2,601	Rs. 568.44 Mn
-Non-Voting Shares	0.01%	21	Rs. 0.013 Mn

Float Adjusted Market Capitalisation

The float adjusted market capitalization of the Company falls under option-2 as per section 7.14.1 (b) of the Listing Rules of Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

Parent, Subsidiaries and Sub-Subsidiaries Companies And Its Directors

The Directors of parent, subsidiaries, and sub-subsidiaries as at 31st March 2022 are given below,

Ultimate Parent Company

LOLC Holdings PLC	Mr. I. C. Nanayakkara
	Mr. W. D. K. Jayawardena
	Mrs. K. U. Amarasinghe
	Dr. R. A. Fernando
	Mr. M. D. D. Peiris
	Mr. C. Dias

Parent Company

Iconic Trust (Pvt) Ltd	Mr. I.C. Nanayakkara
	Mr. W.D.K. Jayawardena (Alt. Director to Mr. I C Nanayakkara)
	Mr. D.S.K. Amarasekara
	Mrs. V.G.S.S. Kotakadeniya
	Mr. K.A.K.P. Gunawardena
	Mr. P. Weerasingha
	Mrs. T.A.P Weerasinghe
	Mr. E.A.D.N.J. Perera

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

Subsidiaries

Company	Name of the Director
AgStar Cropcare (Pvt) Ltd	Mr. A.P. Weerasekera
	Mr. D.N.N. Lokuge
AgStar Exports (Pvt) Ltd	Mr. A.P. Weerasekera
	Mr. D.N.N. Lokuge
AgStar Seeds (Pvt) Ltd	Mr. A.P. Weerasekera
Prith Seeds (Pvt) Ltd	Mr. A.P. Weerasekera
	Mr. D.N.N. Lokuge
Mahaweli Agro Trading (Pvt) Ltd	Mr. A.P. Weerasekera
	Mr. D.N.N. Lokuge
AgStar Grains (Pvt) Ltd	Mr. A.P. Weerasekera
	Mr. D.N.N. Lokuge
Euro Asia Tea (Pvt) Ltd	Mr. A.P. Weerasekera
	Mr. D.N.N. Lokuge
	Ms. S Kharlamova
	Mr. W.A.P Perera
Royal Seed Company (Pvt) Ltd	Mr. A.P. Weerasekera
	Mr. D.N.N. Lokuge

Annual Report

The Board of Directors approved the Company Financial Statements together with the reviews which forms part of the Annual Report on 30 August 2022. The appropriate number of copies will be submitted to the Colombo Stock Exchange, Sri Lanka Accounting and Auditing Standard Monitoring Board and the Registrar of Companies within the time frame.

Annual General Meeting

The Annual General Meeting will be held on 30th September 2022 at 2.00 p.m. at LOLC Holdings PLC, No.100/1, Sri Jayawardenapura Mawatha, Rajagiriya. The notice of Annual General Meeting is given on page no.138.

On behalf of the Board of Directors.



Mrs. S. Kotakadeniya

Chairperson



Mr. A. P. Weerasekera

Managing Director



LOLC Corporate Services (Private) Limited

Secretaries
Colombo

30 August 2022

AUDIT COMMITTEE REPORT

Purpose of the Committee

The committee is vested with the responsibility to assist the Board of Directors in the oversight of the effectiveness of the internal controls over financial reporting, including the integrity of the financial statements of the company and the group. The committee ensures the qualifications and the independence of the external auditors and monitors the performances of the internal auditors. The oversight of compliance with the legal and regulatory requirements is also a key purpose of the committee.

Composition

The committee appointed by the Board of Directors consists of three Independent Non-Executive Directors. The committee is headed by Mr. R.K. Athula Ranaweera who is a fellow member of the Institute of Chartered Accountants of Sri Lanka. Committee member Dr. (Mrs) A.D.N. de Zoysa holds a Ph.D. Degree in Agricultural Economics and committee member Mrs. S Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka.

The Chairman and Managing Director attend the Committee meetings by invitation.

Meetings

There were three meetings of the committee held during the year under review and details of attendance are stated on page 38 of this Annual Report.

Financial Reporting

The committee assists the Board of Directors in fulfilling its oversight responsibility to the shareholders and other stakeholders relating to the Company's financial statements and the financial reporting process. Further, the committee is vested with the responsibility for reviewing the internal audit function of the company as well as the risk management system and the statutory audit of the financial statements of the company and the group.

The recommendation of the quarterly and annual financial statements to the Board as well as ensuring company's compliance with legal and regulatory affairs of the company is a key responsibility of the committee. The committee ensures the reliability and consistency of the accounting policies and methods adopted in preparing the financial statements and their compliance with the Sri Lanka Financial Reporting Standards and the adequacy of disclosures required by other applicable laws, rules and guidelines.

External Audit

The committee has recommended to the Board of Directors that Messer's KPMG be re-appointed as the auditors of the company for the year ending 31st March 2023 subject to the approval of the shareholders at the Annual General Meeting.

The Audit committee is satisfied that the independence of the external auditors has not been adversely influenced by any event or service that could result in a conflict of interest. Due consideration has been given to the level of audit and non-audit fees received by the external auditors from the company.

The Audit committee has recommended to the Board Directors on the fees payable to the auditors for approval.



Mr. R.K. Athula Ranaweera

Chairman
Audit Committee
Colombo.

30 August 2022

INDEPENDENT AUDITORS' REPORT



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel : +94 - 11 542 6426
Fax : +94 - 11 244 5872
+94 - 11 244 6058
Internet : www.kpmg.com/lk

TO THE SHAREHOLDERS OF AGSTAR PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of AgStar PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at March 31st, 2022, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements including a summary of significant accounting policies and other explanatory information set out on pages 68 to 136 of the Annual Report

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view

of the financial position of the Company and the Group as at 31st March, 2022, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

KPMG, a Sri Lankan Partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee.

P.Y.S. Perera FCA	C.P. Jayatilake FCA	T.J.S. Rajakarier FCA
W.J.C. Perera FCA	Ms. S. Joseph FCA	Ms. S.M.B. Jayasekara FCA
W.K.D.C. Abeyrathne FCA	S.T.D.L. Perera FCA	G.A.U. Karunaratne FCA
R.M.D.B. Rajapakse FCA	Ms. B.K.D.T.N. Rodrigo FCA	R.H. Rajan FCA
M.N.M. Shameel FCA	Ms. C.T.K.N. Perera ACA	A.M.R.P. Alahakoon ACA
Ms. P.M.K.Sumanasekara FCA		

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, W.A.A. Weerasekara CFA, ACMA, MRICS

Valuation of Land and Building

(Refer to Note 3.5 significant accounting policies and explanatory Note 15 to the financial statements).

Description	Our response
As at reporting date 31st March 2022, Net book value of land and building carried at fair value and classified as Property Plant and Equipment amounted to Rs. 2,548 Million. The Group has engaged an independent professional Valuer with appropriate expertise to determine the fair value of these properties in accordance with recognized industry standards. The fair values of Land and Building are dependent on the significant estimate such as per perch price and value per square foot. We identified valuation of land and building as a key audit matter due to the determination of the fair values involves significant judgment and estimation and the magnitude of the amounts involved.	Our audit procedures included, - Assessing the objectivity, independence, competence and qualifications of the external valuer. - Involving our own valuation specialist and assessing the key assumptions applied and conclusions made in deriving the fair value of the properties and comparing the fair value of properties with evidence of current market values. In addition, evaluating the valuation methodologies with reference to recognized industry standards. - Evaluating the adequacy of disclosures made in the financial statements in relation to fair value of freehold land and building in accordance with the relevant accounting standards.

Impairment assessment on the Goodwill and Exclusive Dealership

(Refer to Note 3.8 significant accounting policies and explanatory Note 18 to the financial statements).

Risk Description	Our response
The Goodwill in the consolidated financial statements attributed to Prith Seeds (Pvt) Ltd amounted to Rs. 56 Million as at 31st March 2022. Additionally, AgStar Seeds (Pvt) Ltd, a subsidiary company, acquired the exclusive dealership of Tohoku Seed in Sri Lanka for a sum of Rs.50 Million and thereby the right to import, distribute and sell hybrid vegetable seeds from Tohoku Japan as explained in Note 18 to the financial statements. The Management of the Group performed impairment assessments of the goodwill and the exclusive dealership of Tohoku Seed recorded in the consolidated financial statements as at 31st March 2022. In performing the impairment assessments, the management of the Group compared the carrying value of each of the separately identifiable cash generating units ("CGUs") (to which Goodwill and the exclusive dealership of Tohoku Seed had been allocated) with their respective value in use based on discounted cash flow forecasts, to determine if any impairment loss should be recognized. The preparation of discounted cash flow forecasts for the purpose of assessing potential impairment of goodwill involves estimating growth rates, discount rates and future cash flows, inclusive of the impact of the ongoing macro-economic environment, which can be inherently judgmental. We identified the assessment of potential impairment of goodwill and the exclusive dealership of Tohoku Seed a key audit matter because the year-end impairment assessment performed by the management of the Group contain judgmental assumptions which could be subject to management bias.	Our audit procedures included, - Assessing the appropriateness of the Group's accounting policy for impairment testing of goodwill and exclusive dealership and compliance with the relevant accounting policy as referred to in the financial statements. - Assessing the Group budgeting review and approval procedures upon which the cash flow forecasts are based. - Testing the mathematical accuracy of the underlying calculations in the Group's discounted cash flow valuation models. - Challenging the reasonableness of the key assumptions in the cash flow models, long term growth rates and discount rates. - Assessing the impact of the prevailing uncertain and volatile macro-economic environment in Sri Lanka on the assessment of impairment of goodwill, and exclusive dealership. - Evaluating the adequacy of the disclosures in the financial statements, including the description and appropriateness of the inherent degree of subjective and key assumptions.

INDEPENDENT AUDITORS' REPORT



Carrying value of inventories

(Refer to Note 3.9 significant accounting policies and explanatory Note 20 to the financial statements).

Description	Our response
As of the reporting date, the Group carried inventories amounting to Rs. 2,298 Million as at 31st March 2022 as disclosed in Note 20. The carrying value of inventories was a key audit matter due to; - the existence of diverse industry specific types/forms of Inventories and the magnitude of the inventory balance (represented 23% of the Group's total assets). - the use of significant management judgement over identifying inventories requiring write down to NRV, including consideration of nature of inventories, future inventory demand and quality/grading assessments, and - the existence of significant management estimates applied in the determination of NRV, considering expected sales prices and allowance policies based on historical sales.	- Obtaining an understanding and testing the design, implementation, and operating effectiveness of relevant manual control including testing the completeness and accuracy of operation of control that addresses process risk points related to Inventory with a risk of material misstatement. - On sample basis, physically verify the inventories as at reporting date. - obtaining an understanding of the types and form of inventories maintained by industry segments, together with key processes and controls relating to the recording and measurement of inventories. - assessing the reasonableness of judgements applied in the identification and recording of inventories at NRV, including allowances recorded considering among others, the age of inventories, historical sales trends, subsequent prices secured, product life cycles and the outlook of the industry segments; and - testing the accuracy and completeness of inventory ageing reports used in the estimation of allowances.

Recoverability of Subsidy Receivable

(Refer to Note 3.17 significant accounting policies and explanatory Note 22 to the financial statements).

Risk Description	Our response
The subsidy receivable comprises government subsidies given on fertilizer operations. Specific conditions are generally attached to the subsidies which are subject to formal evaluation and approval procedures. The Group has subsidy receivable of Rs. 3,038 Million as at 31st March 2022. The Subsidy receivables represent 31% of the total assets as at 31st March 2022. The Management of the Group evaluates whether the Group has complied with the relevant methodologies to calculate subsidies and whether reasonable assurance has been obtained that subsidies will be received on a periodic basis. We identified the recoverability of subsidy receivable as a key audit matter due to the magnitude of the amounts involved and the judgements involved in determining the recoverability of the asset.	Our audit procedures included, - Challenging the reasonableness of any assumptions and estimates made by management and management's judgment on the recoverability of the outstanding balance as at the reporting date. - Assessing the classification of subsidies with reference to the terms of the underlying documentation. - Assessing the confirmations of the calculations received by the Group on the balances of subsidy receivables. - Assessing settlements received by the Group during the year and subsequently to the financial statement date on sample basis. - Inspecting documentation relating to the subsidies given by government authorities and identifying the calculation used by the Group to calculate subsidies.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional w throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to

those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditors' report is 3544.



Chartered Accountants

Colombo, Sri Lanka

30 August 2022

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

(All amounts in Sri Lankan Rupees)

		Group		Company	
For the year ended 31 March	Notes	2022	2021	2022	2021
Continuing operations					
Revenue	6	5,992,282,135	3,611,145,274	4,408,781,500	2,894,569,434
Cost of sales		(3,883,737,356)	(2,606,943,689)	(3,028,020,189)	(2,141,367,070)
Gross profit		2,108,544,779	1,004,201,585	1,380,761,311	753,202,364
Other income	7	57,202,154	25,513,247	209,597,803	89,572,644
Selling and distribution expenses		(169,925,715)	(128,725,535)	(119,333,677)	(88,142,123)
Administrative expenses		(366,163,034)	(289,655,978)	(252,566,283)	(216,257,147)
Other expenses	8	(1,540,749)	-	-	(7,800,000)
Operating profit		1,628,117,435	611,333,319	1,218,459,154	530,575,738
Finance income		13,273,626	38,489,905	5,517,620	39,609,525
Finance costs		(843,990,381)	(73,370,250)	(829,741,447)	(66,674,228)
Net finance income costs	9	(830,716,755)	(34,880,345)	(824,223,827)	(27,064,703)
Profit before taxation	10	797,400,680	576,452,974	394,235,327	503,511,035
Income tax expense	11	(190,673,806)	(84,077,757)	(72,639,333)	(48,265,094)
Profit from continuing operations		606,726,874	492,375,217	321,595,994	455,245,941
Discontinued operations					
Gain /(loss) from discontinued operations, net of tax	12	136,103	(17,244,337)	-	-
Profit for the year		606,862,977	475,130,880	321,595,994	455,245,941
Other comprehensive income					
Items that will not be reclassified to profit or loss					
Revaluation of right of use assets	17.1	36,841,747	-	21,230,106	-
Revaluation of property, plant and equipment	15	737,596,753	89,793,559	643,990,240	77,341,093
Deferred tax impact on revaluation of assets	29.2	(127,033,829)	54,737,764	(107,374,562)	56,979,208
Actuarial gain/(loss) on defined benefit obligations	27	(4,465,602)	583,504	(4,450,093)	589,114
Deferred tax impact on actuarial loss	29	804,739	(105,031)	801,017	(106,041)
Other comprehensive income, net of tax		643,743,808	145,009,796	554,196,708	134,803,374
Total comprehensive income for the year		1,250,606,785	620,140,676	875,792,702	590,049,315
Profit attributable to:					
Owners of the Company		618,915,870	476,259,142	321,595,994	455,245,941
Non-controlling interests		(12,052,893)	(1,128,262)	-	-
Profit for the year		606,862,977	475,130,880	321,595,994	455,245,941
Total comprehensive income attributable to:					
Owners of the Company		1,262,659,678	621,268,938	875,792,702	590,049,315
Non-controlling interests		(12,052,893)	(1,128,262)	-	-
Total comprehensive income for the year		1,250,606,785	620,140,676	875,792,702	590,049,315
Earnings per share					
Basic earnings per share (Rs.)	13	1.52	1.19	0.79	1.14

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

STATEMENT OF FINANCIAL POSITION

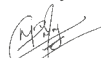
(All amounts in Sri Lankan Rupees)

		Group		Company	
As at 31st March,	Notes	2022	2021	2022	2021
Assets					
Non-current assets					
Property, plant and equipment	15	3,299,488,138	2,403,079,573	2,949,093,202	2,142,650,394
Investment property	16	-	-	211,590,000	165,325,651
Right of use asset	17.1	75,915,998	7,182,264	23,000,000	1,829,386
Intangible assets and goodwill	18	110,743,794	111,335,305	3,880,751	4,591,102
Investments in subsidiaries	19	-	-	184,779,088	184,779,088
Deferred tax assets	29.1	4,191,349	8,434,405	-	-
Total non-current assets		3,490,339,279	2,530,031,547	3,372,343,041	2,499,175,621
Current assets					
Inventories	20	2,298,276,227	892,594,197	1,962,696,917	379,487,194
Trade and other receivables	21	362,621,453	396,164,178	235,005,857	231,928,630
Subsidy receivable	22	3,038,363,195	4,020,419,536	2,844,393,846	4,020,419,536
Amounts due from related companies	23.1	-	-	602,609,958	456,975,675
Current tax receivable		2,976,659	1,688,376	1,688,376	1,688,376
Cash and cash equivalents	24	409,412,907	428,140,287	72,158,123	343,907,697
		6,111,650,441	5,739,006,574	5,718,553,077	5,434,407,108
Assets as held for sale	12	180,817,627	180,740,206	-	-
Total current assets		6,292,468,068	5,919,746,780	5,718,553,077	5,434,407,108
Total assets		9,782,807,347	8,449,778,327	9,090,896,118	7,933,582,729
Equity					
Stated capital	25	2,007,856,833	1,204,093,678	2,007,856,833	1,204,093,678
Revaluation reserve		1,466,387,384	818,982,713	888,879,949	331,034,165
Retained earnings		2,173,105,627	1,622,850,620	2,343,099,572	2,090,152,654
Equity attributable to the owners of the Company		5,647,349,844	3,645,927,011	5,239,836,354	3,625,280,497
Non-controlling interests	26	30,645,084	42,697,977	-	-
Total equity		5,677,994,928	3,688,624,988	5,239,836,354	3,625,280,497
Liabilities					
Non-current liabilities					
Employee benefits	27	42,559,785	33,846,451	42,480,727	33,801,012
Deferred income	28	-	656,102	-	656,102
Deferred tax liabilities	29.2	546,637,646	346,427,360	491,419,461	312,206,583
Loans and borrowings	31	151,000,000	60,955,000	151,000,000	57,000,000
Lease Liability	17.2	24,516,635	6,597,678	2,015,130	1,983,512
Total non-current liabilities		764,714,066	448,482,591	686,915,318	405,647,209
Current liabilities					
Trade and other payables	30	3,043,449,393	3,563,546,081	2,880,235,665	3,265,010,733
Loans and borrowings	31	180,402,423	714,447,528	176,283,481	635,819,588
Amounts due to related companies	23.2	-	-	54,645,386	-
Lease Liability	17.2	8,896,700	80,396	25,602	22,360
Current tax payable		47,549,921	10,007,927	-	-
Bank overdrafts	24	59,528,345	24,098,378	52,954,312	1,802,342
		3,339,826,782	4,312,180,310	3,164,144,446	3,902,655,023
Liabilities directly associated with assets held for sale	12	271,571	490,438	-	-
Total current liabilities		3,340,098,353	4,312,670,748	3,164,144,446	3,902,655,023
Total liabilities		4,104,812,419	4,761,153,339	3,851,059,764	4,308,302,232
Total equity and liabilities		9,782,807,347	8,449,778,327	9,090,896,118	7,933,582,729

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

I certify that the financial statements of the Company comply with the requirements of the companies Act No. 07 of 2007.



Mr. M.R.M. Rizny

Accountant

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board;



Mrs. S. Kotakadeniya

Chairperson



Mr. A. P. Weerasekera

Managing Director

30 August 2022

AGSTAR PLC
Annual Report
2021/22

STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

Balance as at 31st March 2020	Notes	Stated capital	Revaluation reserve	Retained earnings	Total
Profit for the year			-	455,245,941	455,245,941
Other comprehensive income		-	134,320,301	483,073	134,803,374
Excess of the investment merger with fully own subsidiary		-	-	510,628,733	510,628,733
Total comprehensive income		-	134,320,301	966,357,747	1,100,678,048
Balance as at 31st March 2021		1,204,093,678	331,034,165	2,090,152,654	3,625,280,497
Profit for the year				321,595,994	321,595,994
Other comprehensive income		-	557,845,784	(3,649,076)	554,196,708
Total comprehensive income		-	557,845,784	317,946,918	875,792,702
Contribution by and distribution to owners					
Right issue	25	803,763,155			803,763,155
Dividend	14			(65,000,000)	(65,000,000)
		803,763,155	-	(65,000,000)	738,763,155
Balance as at 31st March 2022		2,007,856,833	888,879,949	2,343,099,572	5,239,836,354

Revaluation reserve relates to the revaluation of land, buildings and motor vehicles.

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Notes	Stated Capital	Revaluation reserve	Retained earnings	Total	Non-controlling interests	Total equity
Balance as at 01st April 2020		1,204,093,678	674,451,390	1,146,113,005	3,024,658,073	-	3,024,658,073
Transactions with owners of the company							
Acquisition of subsidiary with NCI	26	-	-	-	-	43,826,239	43,826,239
		-	-	-	-	43,826,239	43,826,239
Profit for the year		-	-	476,259,142	476,259,142	(1,128,262)	475,130,880
Other comprehensive income		-	144,531,323	478,473	145,009,796	-	145,009,796
Total comprehensive income		-	144,531,323	476,737,615	621,268,938	(1,128,262)	620,140,676
Balance as at 31st March 2021		1,204,093,678	818,982,713	1,622,850,620	3,645,927,011	42,697,977	3,688,624,988
Profit for the year		-	-	618,915,870	618,915,870	(12,052,893)	606,862,977
Other comprehensive income		-	647,404,671	(3,660,863)	643,743,808	-	643,743,808
Total comprehensive income		-	647,404,671	615,255,007	1,262,659,678	(12,052,893)	1,250,606,785
Contribution by and distribution to owners							
Right issue	25	803,763,155	-	-	803,763,155		803,763,155
Dividend	14	-	-	(65,000,000)	(65,000,000)	-	(65,000,000)
		803,763,155	-	(65,000,000)	738,763,155	-	738,763,155
Balance as at 31st March 2022		2,007,856,833	1,466,387,384	2,173,105,627	5,647,349,844	30,645,084	5,677,994,928

Revaluation reserve relates to the revaluation of land, buildings and motor vehicles.

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

STATEMENT OF CASH FLOWS

(All amounts in Sri Lankan Rupees)

		Group		Company	
For the year ended 31st March,	Notes	2022	2021	2022	2021
Cash flow from operating activities					
Profit before tax from continuing operations		797,400,680	576,452,974	394,235,327	503,511,035
Profit/(loss) before tax from discontinued operations		136,103	(16,274,357)	-	-
Adjustment for:					
Depreciation	15	69,345,820	48,074,332	54,987,382	37,570,253
Amortisation on intangible assets	18	1,503,511	1,396,160	1,460,351	749,134
Amortisation on right-of-use asset	17.1	10,932,991	1,294,816	59,492	16,059,492
Interest income	9	(13,273,626)	(5,578,959)	(5,517,620)	(4,416,310)
Interest expenses	9/12.1	17,928,457	73,370,250	13,061,820	66,674,228
Provision of impairment of investments in subsidiaries	7/8	-	-	-	7,800,000
Impairment of property,plant and equipments	12.1	-	9,850,000	-	-
Trade receivables write off	10	677,036	13,737,179	79,895	7,250,355
Change in fair value of investment property	7	-	-	(46,264,349)	(6,354,623)
Amortisation of deferred income	28	(656,102)	(1,494,432)	(656,102)	(1,494,432)
Dividend income	7	-	-	(99,999,980)	(49,999,992)
Subsidy write off	22	14,543,437	-	14,543,437	-
Impairment of trade receivables	21.2/12.1	(6,336,651)	3,199,559	(4,308,204)	(4,162,789)
Impairment loss on inventory	20.1	422,078	2,554,719	-	-
Provision for retirement gratuity	27	7,185,617	6,627,139	7,167,507	6,615,615
Operating profit before working capital changes		899,809,351	713,209,380	328,848,956	579,801,966
Changes in:					
Increase in inventories		(1,406,104,108)	(530,449,609)	(1,583,209,723)	(172,249,691)
Decrease/ (increase) in trade and other receivables		38,065,234	(70,703,456)	975,824	(15,683,211)
(Increase)/decrease in subsidy receivable		967,512,904	(1,147,863,393)	1,161,482,253	(1,147,863,393)
Increase in amounts due from related companies		-	-	(145,634,283)	(65,350,677)
(Decrease)/ increase in trade and other payables		(520,315,555)	2,576,179,711	(384,775,068)	2,298,008,190
Increase in amounts due to related companies		-	-	54,645,386	-
Cash (used in)/ generated from operating activities		(21,032,174)	1,540,372,633	(567,666,655)	1,476,663,184
Interest expense paid					
		(14,260,974)	(75,495,173)	(12,776,960)	(68,882,306)
Income tax paid					
		(75,165,669)	(11,752,580)	-	-
Employee benefit paid					
	27	(2,937,885)	(2,020,167)	(2,937,885)	(1,910,517)
Net cash flow (used in)/ generated from operating activities		(113,396,702)	1,451,104,713	(583,381,500)	1,405,870,361
Cash flows from investing activities					
Interest income received		13,380,559	6,265,146	5,692,878	5,097,939
Dividend income received		-	-	99,999,980	49,999,992
Formation of subsidiary		-	-	-	(51,000,000)
Fund transferred for capital work-in-progress		-	-	-	(72,000,000)
Acquisition of property, plant and equipment	15/12.2.1	(50,149,095)	(139,832,182)	(39,271,227)	(13,739,790)
Addition to work in progress	15	(178,168,723)	(214,396,201)	(178,168,723)	(243,820,061)
Acquisition of intangible assets	18	(912,000)	(50,000,000)	(750,000)	-
Net cash used in investing activities		(215,849,259)	(397,963,237)	(112,497,092)	(325,461,920)
Cash flows from financing activities					
Proceeds from loans and borrowings	31.1/31.2	5,425,381,795	3,007,111,761	5,036,328,245	2,707,550,175
Repayment of loans and borrowings	31.1/31.2	(5,869,381,900)	(3,706,295,679)	(5,401,864,352)	(3,449,325,071)
Repayment of lease liabilities	17.2/12.2.2	(19,757,200)	(1,663,200)	(250,000)	(500,000)
Dividend paid	14	(65,000,000)	-	(65,000,000)	-
Net proceeds from Rights issue		803,763,155	-	803,763,155	-
Net cash from / (used in) financing activities		275,005,850	(700,847,118)	372,977,048	(742,274,896)
Net cash increase/(decrease) in cash and cash equivalents					
		(54,240,111)	352,294,358	(322,901,544)	338,133,545
Cash and cash equivalents from the amalgamated Company					
		-	-	-	(16,417,412)
Cash and cash equivalents at the beginning of the year					
		405,119,822	52,825,464	342,105,355	20,389,222
Cash and cash equivalents at 31st March	24	350,879,711	405,119,822	19,203,811	342,105,355

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 Reporting entity

Agstar PLC, ("the Company") is a public limited liability Company incorporated and domiciled in Sri Lanka. The ordinary shares of the Company are listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 09, Bawa Place, Colombo 8.

The consolidated financial statements of the Company as at, and for the year ended 31st March 2022 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities").

The principal activities of the Company and the other entities consolidated with it are as follows:

- AgStar PLC – Business of importing, blending, and marketing of fertilizer products and agri machineries.
- AgStar Cropcare (Private) Limited – Business of importing formulating and marketing of chemicals, fertilizers, and specialty products.
- AgStar Seeds (Private) Limited – Business of producing, trading, and marketing of seeds and planting materials.
- AgStar Grains (Private) Limited – Business of procurement, processing and marketing of rice and other grains. (Discontinued operation)
- Mahaweli Agro Trading (Private) Limited (previously named as Mahaweli Rice

Processing Industries (Private) Limited) – Company was carrying out business of procurement, processing, and marketing of rice (Discontinued operation). Currently carrying on the business of trading fertilizer.

- AgStar Exports (Private) Limited – Business of exporting agriculturally based products and marketing of consumer goods.
- Prith Seeds (Private) Limited - Business of importing, producing, trading, and marketing of seeds and planting materials.
- Euro Asia Tea (Private) Limited - manufacture, export and market tea bags and packets.

In the opinion of the Board of Directors, the Group's immediate parent company is Iconic Trust (Pvt) Ltd and ultimate parent undertaking and controlling party as at the date of financial position is LOLC Holdings PLC.

2. BASIS OF PREPARATION

2.1 Statement of compliance

The consolidated financial statements of the Group and the separate financial statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs), laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the requirements of the Companies Act No. 07 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995.

2.2 Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the Financial Statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "certification on the Statement of Financial Position".

2.3 Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2022 were approved and authorised for issue by the Board of Directors on the 30 August 2022. These financial statements include the following components:

- a Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review. Refer page 68;
- a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end. Refer page 69;
- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company. Refer pages 70 to 71;
- a Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and utilization of those cash flows. Refer page 72;

NOTES TO THE FINANCIAL STATEMENTS

- Notes to the financial statements comprising significant accounting policies and other explanatory information. Refer pages 73 to 136.

2.4 Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis, except for land and buildings, investment properties and motor vehicles measured at fair value and the retirement benefit obligations are measured at the present value of the defined benefit obligation as explained in the respective Notes to the financial statements.

2.5. Functional currency

The financial statements are presented in Sri Lankan Rupees, which is the Group's functional currency. There was no change in the Group's presentation and functional currency during the year under review.

2.6. Current versus non-current classification

The Group presents assets and liabilities in the statement of financial position based on current/non-current classification.

An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading.

Or

Is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period.

Or

There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

2.7. Use of materiality and offsetting

2.7.1 Materiality and aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of a dissimilar nature or function are presented separately, unless they are immaterial.

Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.7.2 Offsetting

Assets and liabilities or income and expenses, are not offset unless required or permitted by Sri Lanka Accounting Standards

2.8. Use of estimates and judgments

The preparation of financial statements of the Group and the Company in conformity with Sri Lanka Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of policies and reported values of assets, liabilities, income, and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation, uncertainty, and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements, is provided below:

2.8.1 Judgment

Going concern

The Directors have made an assessment of the Group's ability to continue as a going concern, and being satisfied that it has the resources to continue in business for the foreseeable future confirm that they do not intend either to

liquidate or to cease operations of any business unit of the Group other than those disclosed in the notes to the financial statements. Furthermore, when determining the basis of preparing the financial statements for the year ended 31st March 2022.

2.8.2 Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the Financial Statements is included in the following notes:

- Depreciation – Note 3.5.4
- Leases – Note 3.7
- Intangible assets – Note 3.8
- Impairment – Note 3.10
- Employee benefit – Note 3.12
- Provisions – Note 3.13
- Commitments and contingencies – Note 3.21
- Taxation – Note 3.18
- Property plant and equipment – Note 3.5
- Investment properties – Note 3.6

Estimation uncertainty in preparation of financial statements

The current economic standing of the country, uncertainty and volatility in macro- economic environment and COVID -19 pandemic have increased the estimation uncertainty in the preparation of these Financial Statements. The estimation uncertainty is associated with:

- The extent and duration of disruption to business arising from the actions by government, businesses and consumers to contain the spread of the virus;
- The extent and duration of the expected economic downturn (and forecasts for economic factors including GDP and inflation). This includes the disruption to capital markets, deteriorating credit, liquidity concerns, impact of unemployment and decline in consumer discretionary spending.
- The effectiveness of government and the Central Bank measures that have and will be put in place to support businesses and consumers through this disruption and economic downturn.

Measurement of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows,

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability either directly (i.e. as

prices) or indirectly (i.e. derived from prices)

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability
- Or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when

NOTES TO THE FINANCIAL STATEMENTS

pricing the asset or liability, if market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

3. SIGNIFICANT ACCOUNTING POLICIES

Changes in significant policies

The Group and the Company have consistently applied the Accounting Policies as set out in Notes 3.1 to 3.23 to all periods presented in these Financial Statements except for following policies,

Revaluation of Right of Use Assets

The Group has changed the accounting policy on Right-Of-Use Assets relating to Lands which meets the definition of a property, plant and equipment from cost model to revaluation model from the financial year ended 31st March 2022, by carrying out a valuation by an independent valuer who holds a recognized and relevant professional qualification and has recent experience in the location and category of the lands being

valued. This was done to provide more reliable and more relevant information by reflecting the Fair market value of Right-Of-Use Assets and to be in line with the group accounting policy.

The change in accounting policy from cost model to revaluation model has not led for a retrospective restatement due to the exemption available in the Paragraph 17 of LKAS 8 "Accounting Policies, Change in Accounting Estimates and Errors". As per Paragraph 17 of LKAS 8, the initial application of a policy to revalue assets in accordance with LKAS 16 "Property, Plant and Equipment" is a change in an accounting policy to be dealt with as a revaluation in accordance with LKAS 16, rather than in accordance with LKAS 8. LKAS 16 provides that when an item of property, Plant and equipment is revalued, the carrying amount of that asset is adjusted to the revalued amount at the date of revaluation.

Refer to note 17 for the impact to the financial statements from the change in the accounting policy.

3.1 Basis of consolidation

3.1.1 Business combinations and goodwill

The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and

substantive process and whether the acquired set has the ability to produce inputs.

The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

The Group measures goodwill at the acquisition date, as excess of aggregate fair value of the consideration transferred; the recognised amount of any non-controlling interests in the acquiree. If the business combination is achieved in stages, the fair value of the pre-existing interest in the acquiree; and the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed measured at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is

not re-measured, and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. Goodwill is tested for impairment annually as at 31 March and when circumstances indicate that the carrying value may be impaired. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquire are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of

the operation disposed of and the portion of the cash generating unit retained.

3.1.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; The contractual arrangement with the other vote holders of the investee, Rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income, and expenses of a

subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the Company are also treated as subsidiaries of the Company.

The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

3.1.3 Non-controlling interest

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non – controlling interests" in the Consolidated Statement of Profit or Loss and Other Comprehensive Income. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading

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"Non-controlling interests" in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with the equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Changes to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.4 Loss of control

On the loss of control, the Group immediately derecognises the assets including goodwill and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit and loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, it is accounted for as an equity-accounted investee or as a FVTOCI financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5 Reporting date

All the Group's subsidiaries have same reporting period as the parent Company, which is 31st March.

3.1.6 Intra-group transactions

Pricing policies of all intra-group sales are identical to those adopted for normal trading transactions, which are at market prices. Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties.

3.1.7 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign currencies

3.2.1. Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of the Group at the exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined.

Non-monetary assets and liabilities which are measured in terms of historical cost in a foreign currency are translated using exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of gain or loss on the change in fair value of the item (i.e., translation differences on items of which fair value gain or loss is recognised in OCI or Profit or Loss are also recognised in OCI or Profit or Loss, respectively).

3.3 Financial instruments

3.3.1 Recognition and initial measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Trade receivables and debt securities issued are initially recognized when they are originated. All other financial assets and financial liabilities are initially recognized when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade

receivable without a significant financing component is initially measured at the transaction price.

3.3.2 Classification and subsequent measurement

3.3.2.1 Financial Assets

(a) Classification

On initial recognition, a financial asset is classified as measured at amortised cost, fair value through other comprehensive income (OCI) and fair value through profit or loss.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designed as at FVTPL:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.
- This assessment is referred to as the SPPI test and it is performed at an instrument level. The Company's financial assets classified under amortised cost includes trade and other receivable and cash and cash equivalents

- A debt investment is measured at FVOCI if it meets both of the following conditions:
- It is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by investment basis. All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

(b) Business model assessment

The Group assesses the objective of the business model in which a financial asset is held at a portfolio levels because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realizing cash flows through the sale of the assets;

- how the performance of the portfolio is evaluated and reported to the Company's management,
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed,
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume, and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Company's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

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(c) *Assessment whether contractual cash flows are solely payments of principal and interest*

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows,
- terms that may adjust the contractual coupon rate, including variable-rate features,
- prepayment and extension features; and
- Terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable

additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual paramount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

(d) *Subsequent measurement and gains and losses*

Financial assets at FVTPL
These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognized in profit or loss.

Financial assets at amortized cost
These assets are subsequently measured at amortized cost using the effective interest method. The amortized cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognized in profit or loss. Any gain or loss on derecognition is recognized in profit or loss.

Debt investments at FVTOCI
These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognized in profit or loss. Other net gains and losses are recognized in OCI. On derecognition. Gains and losses accumulated in OCI are reclassified to profit or loss.

Equity investments at FVTOCI
These assets are subsequently measured at fair value. Dividends are recognized as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognized in OCI and are never reclassified to profit or loss.

(e) *Impairment*

Trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

In certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

ECL are discounted at the effective interest rate of the financial asset.

(f) *Presentation of allowance for ECL in the statement of financial position*

Loss allowances for financial assets measured at amortized cost are deducted from the gross carrying amount of the trade receivables.

(g) *Write-offs*

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. However financial assets that written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

3.3.3 *Stated capital*

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

3.4 *Assets held for sale and discontinued operations*

(i) *Assets held for sale*

Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable, and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not

recognised in excess of any cumulative impairment loss. Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortised.

(ii) *Discontinued operations*

A discontinued operation is a component of the Group's business, the operations, and cash flows of which can be clearly distinguished from the rest of the Group and which:

- represents a separate major line of business or geographical area of operations,
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to re-sale,

Classification as a discontinued operation occurs on disposal or when the operation meets the criteria to be classified as held for sale, if earlier.

When an operation is classified as a discontinued operation, the comparative statement of comprehensive income is represented as if the operation had been discontinued from the start of the comparative year.

3.5 *Property, plant & equipment*

3.5.1 *Recognition and measurement*

Items of property, plant, and equipment other than land and buildings and motor vehicles are measured at cost less accumulated depreciation and accumulated impairment losses.

The cost of an item of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self-constructed assets includes the cost of materials, direct labour, and any other costs directly attributable to bringing the asset to the working condition for its intended use and borrowing costs if the recognition criteria are met. This also includes cost of dismantling and removing the items and restoring them in the site on which they are located.

All items of property, plant and equipment are recognised initially at cost.

The Group subsequently recognises land, building and motor vehicles owned by it in the statement of financial position at their re-valued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land and building does not change other than by an insignificant amount at each reporting period, the Group will revalue such land and buildings and motor vehicles every 3 years.

Any revaluation increase arising on the revaluation of such land is recognised in other comprehensive income and accumulated in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in the income statement, in which case the increase is credited to the income statement to the

NOTES TO THE FINANCIAL STATEMENTS

extent of the decrease previously expensed. A decrease in the carrying amount arising on a revaluation of land is recognised in the income statement to the extent that it exceeds the balance, if any, held in the property's revaluation reserve relating to a previous revaluation of the same land.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not considered in arriving at the gain or loss on disposal.

3.5.2 Significant components of property, plant & equipment

When parts of an item of property, plant and equipment have different useful lives than the underlying asset, they are identified and accounted separately as major components of property, plant and equipment and depreciated separately based on their useful life.

3.5.3 Subsequent cost

The Group recognises in the carrying amount of property, plant and equipment the cost of replacing a part of an item, when it is probable that the future economic benefits embodied in the item will flow to the Group and the cost of the item can be measured reliably. The carrying amounts of the parts that are replaced are derecognised from the cost of the asset. The cost of day-to-day servicing of property, plant and equipment are recognised in the income statement as and when incurred.

3.5.4 Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight-line basis over the estimated useful lives of each component of an item of property, plant, and equipment. Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

Buildings	10-20 years
Plant and machinery	05-10 years
Motor vehicles	5 years
Furniture and fittings	05-10 years
Computer hardware / software	3 years
Office equipment	5-10 years
Pallets	3-5 years
Factory equipment's	10 years
Solar panels	25 years

3.5.5 Reclassification to investment property

When the use of property changes from owner occupied to investment property, the property is remeasured to fair value and reclassified accordingly. Any gain arising on this remeasurement is recognized in profit or loss to the extent that is reverse a previous impairment loss on the specific property, with any remaining gain recognised OCI and presented in the revaluation reserve.

Any loss is recognised in profit or loss. However, to the extent that an amount is included in the revaluation surplus for that property, the loss is recognized in OCI and reduced the revaluation surplus within equity.

3.6 Investment properties

3.6.1 Recognition and measurement

Properties held to earn rental income and properties held for capital appreciation has been classified as investment property.

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are stated at fair value, which reflect market conditions at the reporting date.

Gains or losses arising from changes in fair value are included in the statement of profit or loss in the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer. Rental income from investment property is recognised as other income on straight line basis over the term of lease.

Investment properties are de-recognised when disposed, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on de-recognition or disposal are recognised in the Income Statement in the year of de-recognition or disposal. Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property or inventory, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property or inventory, the group accounts for such property in accordance with the policy stated under property, plant, and equipment up to the date of change in use. Where group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant, and equipment in the consolidated financial statements, and accounted using Group accounting policy for property, plant, and equipment. When investment property previously classified under Property Plant and Equipment is sold, any related amount included in the revaluation reserve is transferred to retained earnings.

3.7 Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period in exchange for consideration.

As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component based on its relative stand-alone prices. However, for the lease of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payment made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the

same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rate from various external financing sources and make certain adjustment to reflect the term of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following.

- Fixed payments, including in-substance fixed payments
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date.
- Amounts expected to be payable under a residual value guarantee; and
- The exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early

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termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments from a change in an index or a rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in 'property, plant, and equipment and lease liabilities in loans and borrowings in the statement of financial position.

3.8 Intangible assets

3.8.1 Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial

recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

3.8.2 Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

3.8.3 Subsequent measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.8.4 Intangible assets recognized by the Group

3.8.4.1 Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets. (Note 18)

Goodwill is subsequently measured at cost less accumulated impairment losses.

3.8.4.2 Computer software

All computer software costs incurred and licensed for use by the Group, which do not

form an integral part of related hardware, and can be clearly identified and reliably measured with the probability of leading to future economic benefits, are capitalised under intangible assets

In accordance with 3.8.3 above, the Group companies assess the useful life of each computer software that has a finite useful life. Based on this assessment the Group companies amortise computer software over approximately 3 to 5 years.

3.8.4.3 *Tohoku exclusive dealership*

Intangible assets include trademarks and exclusive dealership acquired by the Group. The Tohoku Seed exclusive dealership of the Company is expected to have an indefinite life and the Group tests the exclusive dealership with an indefinite life for impairment by comparing its recoverable value with its carrying value annually or whenever there is an indication that the intangible assets may be impaired.

3.8.5 *Subsequent measurement*

Goodwill is measured at cost less accumulated impairment losses.

3.8.6 *De-recognition*

Intangible assets are de-recognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as difference between the net disposal proceeds and the carrying amount of the asset.

3.8.7 *Amortization*

Amortization is recognized in the income statement on a straight-

line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows.

Brand distribution agency 10 years

Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

3.9 *Inventories*

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on a weighted average cost. The cost includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. In the case of manufactured inventories, cost includes an appropriate share of factory overheads.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses based on normal operating capacity.

3.10 *Impairment – Non-financial assets*

The carrying amounts of the Group's non-financial assets, other than inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the recoverable amounts of such assets are estimated.

The recoverable amount of goodwill is estimated at each reporting date, or as and when an indication of impairment is identified.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

Impairment losses recognised in respect of cash-generating units on acquisition of subsidiaries are allocated first to reduce the carrying amount of any goodwill allocated to the unit, and then to reduce the carrying amount of the other assets in the unit (or group of units) on a pro rata basis.

3.10.1 *Calculation of recoverable amount*

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

3.10.2 *Reversal of impairment*

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

NOTES TO THE FINANCIAL STATEMENTS

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are recognised in the income statement.

3.11 Liabilities and provisions

Liabilities classified as current liabilities in the statement of financial position are those which fall due for payment on demand of the creditor or within one year of the reporting date. Non-current liabilities are those balances that become repayable after one year from the reporting date.

All known liabilities have been accounted for in preparing the financial statements.

3.12 Employee benefits

3.12.1 Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee, and the obligation can be measured reliably.

3.12.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays a fixed employee benefit contribution into a separate entity and will have no further legal or constructive obligations

to pay any additional amounts. Obligations for contributions to a defined contribution plan are recognised as an employee benefit expense in the income statement in the periods during which services are rendered by employees.

3.12.2.1 Employee provident fund and Employee trust fund

The Group contributes a sum not less than 12% of the gross emoluments of employees employed in Sri Lanka as provident fund benefits and 3% as trust fund benefits.

3.12.2.2 Defined benefit plan - retiring gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date.

The defined benefit obligation is calculated annually using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to

an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Remeasurements of the defined benefit liability actuarial gains and losses are recognized immediately in OCI. When the benefits of the plan are changed or when a plan is curtailed, the resulting change in benefit that related to past service or the gain or loss on curtailment is recognized immediately in profit or loss. The Group recognizes gains and losses on resettlement of a defined plan when the settlement occurred.

3.13 Provisions

A provision is recognised if, as a result of past events, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.14. Revenue

a) Sale of goods

The Group is engaged in the business of importing, blending, and marketing of fertilizer products, formulating and marketing of chemicals, producing, trading, and marketing of seeds, planting materials and other grains, import and trading

Agri machineries and in exporting agriculturally based products.

The Group shall recognize revenue when (or as) the entity satisfies a performance obligation by transferring a promised good to a customer. An asset is transferred when (or as) the customer obtains control of that asset.

b) *Interest Income*

Interest income is recognized on a time-proportion basis using the effective interest method.

c) *Dividend income*

Dividend income is recognized in the income statement on the date that the Group's right to receive payment is established, which is generally when the dividend is declared

d) *Rental income*

Rental income is recognized on a straight-line basis over the period of rental contracts. When the customer initially enters into a rental contract, the Group usually receives an advance or a deposit or both which is recognized as a liability. The advance is recognized as revenue with the passage of time while deposit is refunded to the customer in accordance with the rental contract on termination.

e) *Others*

Other income is recognized on an accrual basis.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a Company of similar transactions which

are not material, are aggregated, reported, and presented on a net basis.

3.15 **Expenditure**

All expenditure incurred in the running of the business and in maintaining the capital assets in a state of efficiency are recognised in the statement of profit or loss on an accrual basis.

3.16 **Finance income /(expenses)**

Finance income comprises interest income on funds invested, net changes in fair value of financial assets classified as fair value through profit or loss and gains on the disposal of interest generating investments whether classified under fair value through profit or loss.

Finance expenses comprise interest expense on borrowings and leases, and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in the income statement using the effective interest method.

3.17 **Government grants and subsidies**

Government grants are recognised where there is reasonable assurance that the grant will be received, and all attached conditions will be complied with.

When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the costs, which it is intended to compensate, are expensed.

Grants and subsidies which intend to compensate an expense or loss already incurred or received for the purpose of immediate financial support with no future related costs, are recognised in the income statement in the period in which the grant becomes receivable.

Grants and subsidies related to assets are immediately recognised in the statement of financial position as deferred income and recognised in the income statement on a systematic and rational basis over the useful life of the asset.

When the Group receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and recognised in the income statement over the expected useful life in a pattern of consumption of the benefit of the underlying asset.

When loans or similar assistance are provided by governments or related institutions with an interest rate below the applicable market rate, the effect of this favourable interest is regarded as a government grant.

3.18 **Income tax expenses**

Income tax expense comprises of current and deferred tax. The income tax expense is recognised in the income statement except to the extent that it relates to the items recognised directly in the statement of other comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

NOTES TO THE FINANCIAL STATEMENTS

The Company has determined that interest and penalties related to income taxes including uncertain tax treatments, do not meet the definition of income taxed, and therefore accounted for them under LKAS 37 Provisions, contingent liabilities, and contingent assets.

3.18.1 Current tax

The current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.18.2 Deferred taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and the differences relating to investments in subsidiaries and jointly controlled

entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

3.18 Movement of reserves

Movements of reserves are disclosed in the statement of changes in equity.

3.19 Statement of Cash flows

The statement of cash flows is reported based on the "indirect method".

3.20 Earnings per share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary

shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.21 Commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control.

Commitments and Contingent liabilities are disclosed in note 33 and 34 to the financial statements.

3.22 Events occurring after the reporting date

All material events after the reporting date have been considered, disclosed, and adjusted where applicable.

4. STANDARD ISSUED BUT NOT YET EFFECTIVE

The Institute of Chartered Accountants of Sri Lanka has issued following new Sri Lanka Accounting Standards (SLFRSs/ LKASs) which will become applicable for financial periods beginning on or after 1st January 2022. Accordingly, the Company has not applied the following new standards in preparing these Financial Statements.

The following amended standards and interpretations are not expected to have a significant impact on the Company's financial statements.

A. Onerous contracts – Cost of Fulfilling a Contract (Amendments to LKAS 37)

The amendments specify which costs an entity includes in determining the cost of fulfilling a contract for the purpose of assessing whether the contract is onerous. The amendments apply/ for annual reporting periods beginning on or after 1st January 2022 to contracts existing at the date when the amendments are first applied. At the date of initial application, the cumulative effect of applying the amendments is recognized as an opening balance adjustment to retained earnings or other components of equity, as appropriate.

B. Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to LKAS 12)

The amendments narrow the scope of the initial recognition exemption to exclude transactions that give rise to equal and offsetting temporary differences – e.g. leases and decommissioning liabilities. The amendments apply for annual reporting periods beginning on or after 1st January 2023. For leases and decommissioning liabilities, the associated deferred tax asset and liabilities will need to be recognized from the beginning of the earliest comparative period presented, with any cumulative effect recognized as an adjustment to retained earnings or other components of equity at that date. For all other transactions, the amendments apply to transactions that occur after the beginning of the earliest period presented.

C. Other Standards

The following new and amended standards are not expected to have a significant impact on the Company's financial statements.

- LKAS 41 Agriculture – Taxation in fair value measurements
- SLFRS 1 First-time Adoption of Sri Lanka Financial Reporting Standards – Subsidiary as a first-time adopter
- Property, Plant and Equipment: Proceeds before Intended Use (Amendments to LKAS 16).
- Amendments to SLFRS 3 Business Combinations: Updating a reference to conceptual framework
- SLFRS 9 Financial Instruments – Fees in the '10 per cent' test for derecognition of financial liabilities
- Disclosure of Accounting Policies (Amendments to LKAS 1 and SLFRS Practice Statement 2).
- Definition of Accounting Estimates (Amendments to LKAS 8).

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

5 SEGMENT INFORMATION

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorized under this.

Processing - This segment includes the items which are further processed at the Company before sold.

	2022			2021		
	Trading	Processing	Total	Trading	Processing	Total
Total external segment revenue	2,048,149,050	3,944,133,085	5,992,282,135	1,662,253,930	1,948,891,344	3,611,145,274
Cost of sales	(1,302,218,911)	(2,581,518,445)	(3,883,737,356)	(1,303,328,188)	(1,303,615,501)	(2,606,943,689)
Gross profit	745,930,139	1,362,614,640	2,108,544,779	358,925,742	645,275,843	1,004,201,585
Unallocated income and expenses						
Other income			57,202,154			25,513,247
Selling and distribution expenses			(169,925,715)			(128,725,535)
Administrative expenses			(366,163,034)			(289,655,978)
Other expenses			(1,540,749)			-
Operating profit			1,628,117,435			611,333,319
Net finance costs			(830,716,755)			(34,880,345)
Profit before tax			797,400,680			576,452,974
Income tax expense			(190,673,806)			(84,077,757)
Profit for the year from continuing operations			606,726,874			492,375,217

Since the information on expenses, profit before tax, total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided.

6 REVENUE

	Group		Company	
	2022	2021	2022	2021
Sale of goods	5,992,282,135	3,611,145,274	4,408,781,500	2,894,569,434
Profit for the year from continuing operations	5,992,282,135	3,611,145,274	4,408,781,500	2,894,569,434

Revenue of the Company consist of local sales of fertilizers and agri machineries, which have been disclosed net of taxes and the revenue of the Group includes sale of seeds, cropcare products and other local sales.

7 OTHER INCOME

		Group		Company	
	Note	2022	2021	2022	2021
Dividend income	7.1	-	-	99,999,980	49,999,992
Change in fair value of investment property	16	-	-	46,264,349	6,354,623
Amortization of deferred income	28	656,102	1,494,432	656,102	1,494,432
Used bag sales		7,582,434	15,084,809	7,582,434	15,084,809
Solar power income		37,108,684	3,958,656	35,152,746	3,864,078
Reversal of trade receivable written off		2,282,004	3,350,280	456,500	3,178,630
Rent income		-	-	13,566,000	9,258,000
Sundry income		9,572,930	1,625,070	5,919,692	338,080
Total of other income		57,202,154	25,513,247	209,597,803	89,572,644

7.1 Dividend income

- Unquoted	-	-	99,999,980	49,999,992
	-	-	99,999,980	49,999,992

8 OTHER EXPENSES

	Group		Company	
	2022	2021	2022	2021
Buildings demolished	-	-	-	-
Provision for impairment of investment in AgStar Exports (Private) Limited	-	-	-	7,800,000
Impairment/ write off of other receivables	1,540,749	-	-	-
Total	1,540,749	-	-	7,800,000

9 NET FINANCE COSTS

Finance income

Interest income on FCBU	938,981	795,823	-	-
Interest income on deposits	6,420,632	3,864,398	4,656,002	3,694,668
Interest income on Repo investment	5,914,013	918,738	861,618	721,642
Gain on translation of foreign currency	-	32,910,946	-	35,193,215
Total finance income	13,273,626	38,489,905	5,517,620	39,609,525

Finance costs

Interest expense on long term loans	11,663,737	416,552	11,273,707	-
Interest expense on short term loans	160,207,141	70,997,326	145,107,799	65,601,479
Interest expense on bank overdraft	2,597,237	1,365,403	1,503,253	792,054
Interest expense on lease liability	3,667,483	590,969	284,860	280,695
Loss on translation of foreign currency	665,854,783	-	671,571,828	-
Total finance costs	843,990,381	73,370,250	829,741,447	66,674,228
Net finance costs recognized in profit or loss	(830,716,755)	(34,880,345)	(824,223,827)	(27,064,703)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

10 PROFIT BEFORE TAX FROM CONTINUING OPERATIONS

Stated after charging all expenses including the following :

For the year ended 31st March,	Note	Group		Company	
		2022	2021	2022	2021
Directors' emoluments		28,952,952	24,014,952	28,952,952	24,014,952
Auditors' remuneration - Statutory audit		1,326,500	1,200,000	627,000	580,000
Employee benefit expenses	10.1	239,345,734	209,159,624	149,844,773	148,770,214
Depreciation	15	69,345,820	48,074,332	54,987,382	37,570,253
Amortisations of intangible assets	18	1,503,511	1,396,160	1,460,351	749,134
Amortisations of right of use assets	17.1	10,932,991	1,294,816	59,492	16,059,492
Impairment loss on inventory	20.1	422,078	2,554,719	-	-
Donation		60,000	6,000	60,000	6,000
Inventory write off		956,267	-	-	-
Subsidy write off	22	14,543,437	-	14,543,437	-
Trade receivable write off		677,036	13,737,179	79,895	7,250,355
Impairment reversal on trade receivables	21.2	(5,939,901)	(366,195)	(4,308,204)	(4,162,789)
Legal expenses		13,928,896	10,347,336	11,374,721	6,397,983

10.1 Employee benefit expenses

Salaries, wages and other related cost		212,156,091	185,798,931	123,419,601	125,421,045
Contributions to defined contribution plans		20,004,026	16,733,554	19,257,665	16,733,554
Provision for retirement benefit obligations	27.1	7,185,617	6,627,139	7,167,507	6,615,615
Total of employee benefit expenses		239,345,734	209,159,624	149,844,773	148,770,214
Number of employees		160	179	159	178

11 INCOME TAX EXPENSE

For the year ended 31st March,	Note	Group		Company	
		2022	2021	2022	2021
Current tax expense - continued operation					
Taxation on profit for the year	11.1	106,839,894	22,458,459	-	-
Economic service charge not recoverable written off		1,030,174	738,756	-	-
(Over)/under provision in respect of previous year		4,579,486	(24,515)	-	-
		112,449,554	23,172,700	-	-
Deferred tax expense					
Origination of temporary differences	29.1/29.2	78,224,252	101,161,707	72,639,333	93,392,261
Reduction in tax rate	29.1/29.2	-	(40,256,650)	-	(45,127,167)
Income tax expense on continuing operation		190,673,806	84,077,757	72,639,333	48,265,094
Current tax expense - discontinued operation					
Economic service charge not recoverable written off		-	969,980	-	-
Income tax expense on discontinued operation		-	969,980	-	-

11.1 Reconciliation between current tax expense and the accounting profit

For the year ended 31st March,	Note	Group		Company	
		2022	2021	2022	2021
Profit/(loss) before taxation - continuing operations		797,400,680	576,452,974	394,235,327	503,511,035
Profit/(loss) before taxation - discontinuing operations	12.1	136,103	(16,274,357)	-	-
Consolidation adjustments		151,595,958	54,486,500	-	-
Adjusted profit before tax		949,132,741	614,665,117	394,235,327	503,511,035
Non business income		(206,739,991)	(63,402,975)	(196,098,738)	(62,265,357)
Aggregate disallowable expense		643,743,538	203,711,731	616,461,188	171,149,041
Aggregate allowable expense		(120,401,150)	(232,064,953)	(79,770,183)	(206,404,030)
Subsidy adjustment	11.3	1,176,025,690	(1,147,863,393)	1,176,025,690	(1,147,863,393)
Tax loss of group companies for the year		42,242,883	754,818,382	-	-
Statutory income / (loss) from business		2,484,003,711	129,863,909	1,910,853,284	(741,872,704)
Non-business income liable to tax		154,332,594	55,553,920	149,178,287	54,416,302
Tax loss claimed during the year		(2,120,169,254)	(68,448,173)	(2,060,031,571)	(54,416,302)
Taxable income		518,167,051	116,969,656	-	(741,872,704)
Income Tax @ 14%		-	18,489	-	-
Income Tax @ 18%		52,560,594	16,803,159	-	-
Income Tax @ 24%		54,279,300	5,636,811	-	-
Tax on profit for the year		106,839,894	22,458,459	-	-
Current tax expense on discontinued operations		-	-	-	-
Current tax expense on continuing operations		106,839,894	22,458,459	-	-
		106,839,894	22,458,459	-	-
Tax loss reconciliation: Continuing operations					
Tax loss brought forward		3,679,092,203	2,766,170,180	3,382,304,931	2,694,846,111
Adjustment to tax loss brought forward		587,300	1,763,910	522,560	2,418
Loss incurred during the year		45,653,123	749,535,876	-	741,872,704
Loss utilised during the year		(2,119,313,328)	(61,684,999)	(2,060,031,571)	(54,416,302)
Tax loss carried forward		1,606,019,298	3,455,784,967	1,322,795,920	3,382,304,931
Tax loss reconciliation: Discontinued operations					
Tax loss brought forward		-	228,380,178	-	-
Adjustment to tax loss brought forward		-	894,408	-	-
Loss incurred during the year		-	-	-	-
Loss utilised during the year - continuing operation		-	(6,763,174)	-	-
Tax loss carried forward		-	222,511,412	-	-

Tax status of companies in the Group which are enjoying income tax exemptions are given in note 11.2

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

11. INCOME TAX EXPENSE CONTD.

11.2 Companies exempt from income tax

Company	Statute	Statute
AgStar Grains (Pvt) Ltd	Section 17 of BOI Law No. 4 of 1978	6 years ending 2023/2024

11.3 The company records subsidy receivable on cash basis in the computation of income tax

12. DISCONTINUED OPERATIONS

In March 2017, The Directors resolved to discontinue the rice processing operations carried out by Mahaweli Agro Trading (Private) Limited (previously named as Mahaweli Rice Processing Industries (Private) Limited) and AgStar Grains (Private) Limited. The management is committed to the plan to sell and is engaged in active marketing to sell the disposal group at a reasonable price in relation to the fair value of assets and liabilities.

The results of aforesaid operations for the year are presented below:

12.1 Loss after tax from discontinued operations

For the year ended 31st March,	Note	Group		Company	
		2022	2021	2022	2021
Revenue		-	-	-	-
Cost of sales		-	-	-	-
Gross loss		-	-	-	-
Other income		-	-	-	-
Selling and distribution expenses		-	-	-	-
Administrative expenses		(260,647)	(846,883)	-	-
Reversal/(provision) of impairment of receivables		396,750	(3,565,754)	-	-
Inventory write off		-	(2,011,720)	-	-
Impairment of property, plant and equipment's		-	(9,850,000)	-	-
Operating profit /(loss)		136,103	(16,274,357)	-	-
Finance income		-	-	-	-
Finance costs		-	-	-	-
Net finance costs		-	-	-	-
Profit/(loss) before tax from discontinued operations		136,103	(16,274,357)	-	-
Tax expense:					
Current tax	11	-	(969,980)	-	-
Deferred tax		-	-	-	-
Profit/ (loss) for the year from discontinued operations		136,103	(17,244,337)	-	-
Other comprehensive income					
Revaluation of property, plant and equipment		-	-	-	-
Actuarial gain/(loss) on defined benefit obligations		-	-	-	-
Total comprehensive income		136,103	(17,244,337)	-	-

12.2 Major Classes of Assets and Liabilities

For the year ended 31st March,	Note	Group 2022	Group 2021	Company 2022	Company 2021
Classified as Held for Sale					
Assets					
Property, plant and equipment	12.2.1	174,996,283	174,836,098	-	-
Right of use asset	12.2.2	-	-	-	-
Inventories		4,826,195	4,826,195	-	-
Cash in hand and cash at bank		995,149	1,077,913	-	-
Assets classified as held for sale		180,817,627	180,740,206	-	-
Liabilities					
Trade and other payables		271,571	490,438	-	-
Lease liabilities	12.2.2	-	-	-	-
Liabilities directly associated with assets held for sale		271,571	490,438	-	-
Net assets directly associated with disposal group		180,546,056	180,249,768	-	-

12.2.1 Movement in property, plant and equipment held for sales

For the year ended 31st March,	Note	Group 2022	Group 2021	Company 2022	Company 2021
Net carrying amount as at 31st March 2021		174,836,098	502,546,483	-	260,832,550
Assets transferred to property, plant and equipment		-	(317,860,385)	-	(260,832,550)
Additions		160,185	-	-	-
Impairment		-	(9,850,000)	-	-
Net carrying amount as at 31st March 2022		174,996,283	174,836,098	-	-

12.2.2 Lease arrangements

Right of use asset					
As at the beginning of the year		-	1,951,109	-	-
Transferred out from assets held for sales		-	(1,951,109)	-	-
Balance as at end of the year		-	-	-	-
Lease liability					
As at the beginning of the year		-	1,956,743	-	-
Transferred out from liabilities held for sales		-	(1,956,743)	-	-
Balance as at end of the year		-	-	-	-

12.3 Cash flows generated from/(used in) discontinued operations

Net cash flow (used in)/ from operating activities	(82,764)	(1,016)	-	-
Net cash used in investing activities	-	-	-	-
Net cash from / (used in) financing activities	-	(563,200)	-	-
Net cash (outflow) /inflow	(82,764)	(564,216)	-	-

12.4 Earnings per share - discontinued operations

Earnings / (loss) per share for the year	0.0003	(0.05)	-	-
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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

12. DISCONTINUED OPERATIONS CONTD.

12.5 Measurement of fair values

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2022	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Plant and machineries	-	-	173,379,667	173,379,667
	-	-	173,379,667	173,379,667

31st March 2021	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Plant and machineries	-	-	173,219,482	173,219,482
	-	-	173,219,482	173,219,482

Assets and liabilities measured at fair value - Recurring

Property	Property	Significant unobservable inputs	
		Estimated value	Correlation to fair value
Plant and machineries	- Market comparable method	Rs. 173,379,667	Positive

Market comparison technique : The valuation model considers market prices for similar items when they are available, and depreciated replacement cost when appropriate. Depreciated replacement cost reflects adjustments for physical deterioration as well as functional and economic obsolescence.

13 BASIC EARNINGS PER SHARE

Basic earnings per share is calculated, based on the net profit attributable to ordinary shareholders and weighted average number of ordinary shares outstanding. Basic earnings for an ordinary share is as follows.

For the year ended 31st March,	Group		Company	
	2022	2021 (Restated)	2022	2021 (Restated)
Basic earnings per share is calculated as follows:				
Profit attributable to ordinary shareholders (Rs.)	618,915,870	476,259,142	321,595,994	455,245,941
Weighted average number of ordinary shares				
Issued ordinary shares at the beginning of the year (Nos)	325,000,000	325,000,000	325,000,000	325,000,000
Effect of Rights issue (Nos)	82,420,256	76,023,354	82,420,256	76,023,354
Weighted average number of ordinary shares in issue (Nos)	407,420,256	401,023,354	407,420,256	401,023,354
Earnings per share (Rs.)	1.52	1.19	0.79	1.14

There were no potentially dilutive ordinary shares at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

14 DIVIDEND PER SHARE

		Group/Company	
For the year ended 31st March,	No of shares	2022	2021
Final dividend paid			
Voting shares	307,526,310	61,505,262	-
Non-voting (Class X) shares	17,473,690	3,494,738	-
	325,000,000	65,000,000	-
Dividend per share (Rs.)		0.20	-

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

15 PROPERTY, PLANT AND EQUIPMENT- COMPANY

Cost / valuation	Land	Building on lease hold land	Building	Plant and machinery
Balance as at 1st April 2020	214,000,000	26,800,000	82,200,000	97,244,361
On amalgamation of fully own subsidiary	846,700,000	-	240,500,000	317,334
Additions during the year	-	-	-	621,000
Surplus on revaluation	-	-	-	-
Adjustments on revaluation	-	-	-	-
Revaluation of assets transfer to investment property	-	-	2,934,399	-
Adjustment at transfer from held for sale	26,200,000	-	12,727,450	-
Transfer from held for sale	63,800,000	-	197,032,550	-
Reclassification to investment property	(71,000,000)	-	(87,971,028)	-
Disposals / write off	-	-	-	-
Balance as at 31st March 2021	1,079,700,000	26,800,000	447,423,371	98,182,695
Additions during the year	-	-	888,492	6,986,111
Transfer from capital work-in-progress	-	-	153,693,585	-
Surplus on revaluation	297,124,000	17,880,000	253,139,990	-
Adjustments on revaluation	-	(2,680,000)	(32,195,438)	-
Reclassification to investment property	-	-	-	-
Disposals / write off	-	-	-	-
Balance as at 31st March 2022	1,376,824,000	42,000,000	822,950,000	105,168,806
Accumulated Depreciation				
Balance as at 1st April 2020	-	-	-	73,912,400
Charge for the year	-	1,340,000	9,149,441	6,537,941
Adjustments on revaluation	-	-	-	-
Disposals / write off	-	-	-	-
Balance as at 31st March 2021	-	1,340,000	9,149,441	80,450,341
Charge for the year	-	1,340,000	23,045,997	5,988,884
Adjustments on revaluation	-	(2,680,000)	(32,195,438)	-
Reclassification to investment property	-	-	-	-
Disposals / write off	-	-	-	-
Balance as at 31st March 2022	-	-	-	86,439,225
Net carrying amount as at 31st March 2022	1,376,824,000	42,000,000	822,950,000	18,729,581
Net carrying amount as at 31st March 2021	1,079,700,000	25,460,000	438,273,930	17,732,354

Motor vehicles	Furniture and fitting	Factory equipment	Pallets	Office and computer equipments	Solar power	Capital work-in-progress	Total
70,598,136	17,853,057	4,779,913	3,399,112	38,362,210	-	5,271,401	560,508,190
-	-	-	-	359,230	-	256,801,736	1,344,678,300
10,050,000	-	74,401	441,250	2,553,139	126,451,476	117,368,585	257,559,851
35,479,244	-	-	-	-	-	-	35,479,244
(39,927,380)	-	-	-	-	-	-	(39,927,380)
-	-	-	-	-	-	-	2,934,399
-	-	-	-	-	-	-	38,927,450
-	-	-	-	-	-	-	260,832,550
-	-	-	-	-	-	-	(158,971,028)
-	-	-	-	(1,128,495)	-	-	(1,128,495)
76,200,000	17,853,057	4,854,314	3,840,362	40,146,084	126,451,476	379,441,722	2,300,893,081
4,875,000	23,682,264	87,000	-	2,752,360	-	178,168,723	217,439,950
-	-	-	-	-	-	(153,693,585)	-
75,846,250	-	-	-	-	-	-	643,990,240
(22,921,250)	-	-	-	-	-	-	(57,796,688)
-	-	-	-	-	-	-	-
-	-	-	-	(1,078,466)	-	-	(1,078,466)
134,000,000	41,535,321	4,941,314	3,840,362	41,819,978	126,451,476	403,916,860	3,103,448,117
33,479,228	15,235,498	4,023,558	3,124,411	31,953,214	-	-	161,728,309
13,398,152	662,723	377,376	313,351	4,362,006	1,429,263	-	37,570,253
(39,927,380)	-	-	-	-	-	-	(39,927,380)
-	-	-	-	(1,128,495)	-	-	(1,128,495)
6,950,000	15,898,221	4,400,934	3,437,762	35,186,725	1,429,263	-	158,242,687
15,971,250	621,937	280,200	200,058	2,480,997	5,058,059	-	54,987,382
(22,921,250)	-	-	-	-	-	-	(57,796,688)
-	-	-	-	-	-	-	-
-	-	-	-	(1,078,466)	-	-	(1,078,466)
-	16,520,158	4,681,134	3,637,820	36,589,256	6,487,322	-	154,354,915
134,000,000	25,015,163	260,180	202,542	5,230,722	119,964,154	403,916,860	2,949,093,202
69,250,000	1,954,836	453,380	402,600	4,959,359	125,022,213	379,441,722	2,142,650,394

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

15 PROPERTY, PLANT AND EQUIPMENT - GROUP

Cost / valuation	Land	Building on lease hold land	Building	Improvements on lease hold Building	Plant and machinery
Balance as at 1st April 2020	1,060,700,000	26,800,000	322,700,000	854,735	122,176,078
From formation of subsidiary	-	-	-	2,578,190	20,271,977
Additions during the year	-	-	-	-	671,500
Surplus on revaluation	-	-	-	-	-
Adjustments on revaluation	-	-	-	-	-
Adjustments at transfer from held for sale	26,200,000	17,387,202	10,727,113	-	-
Transfer from held for sale	63,800,000	56,623,135	197,032,550	-	-
Disposals / write off	-	-	-	-	-
Balance as at 31st March 2021	1,150,700,000	100,810,337	530,459,663	3,432,925	143,119,555
From formation of subsidiary	-	-	-	-	-
Additions during the year	-	-	888,492	-	14,974,211
Transfer from capital work-in-progress	-	-	153,693,585	-	-
Surplus on revaluation	322,124,000	41,899,663	297,726,840	-	-
Adjustments on revaluation	-	(6,470,000)	(44,228,580)	-	-
Disposals / write off	-	-	-	-	-
Balance as at 31st March 2022	1,472,824,000	136,240,000	938,540,000	3,432,925	158,093,766
Accumulated Depreciation					
Balance as at 1st April 2020	-	-	-	539,026	96,101,518
Charge for the year	-	1,340,000	16,815,730	133,173	8,357,595
Disposals / write off	-	-	-	-	-
Adjustments on revaluation	-	-	-	-	-
Balance as at 31st March 2021	-	1,340,000	16,815,730	672,199	104,459,113
Charge for the year	-	5,130,000	27,412,850	348,021	9,016,597
Disposals / write off	-	-	-	-	-
Adjustments on revaluation	-	(6,470,000)	(44,228,580)	-	-
Balance as at 31st March 2022	-	-	-	1,020,220	113,475,710
Net carrying amount as at 31st March 2022	1,472,824,000	136,240,000	938,540,000	2,412,705	44,618,056
Net carrying amount as at 31st March 2021	1,150,700,000	99,470,337	513,643,933	2,760,726	38,660,442

Motor vehicles	Furniture and fitting	Factory equipment	Pallets	Office and computer equipments	Solar power	Capital work-in-progress	Total
70,598,136	19,876,446	5,122,107	3,571,012	41,564,553	-	165,045,521	1,839,008,589
7,138,000	206,000	4,762,025	2,170,760	1,275,800	-	-	38,402,752
2,912,000	-	110,940	441,250	2,771,128	132,925,364	214,396,201	354,228,383
35,479,244	-	-	-	-	-	-	35,479,244
(39,927,380)	-	-	-	-	-	-	(39,927,380)
-	-	-	-	-	-	-	54,314,315
-	-	-	-	-	-	404,700	317,860,385
-	-	-	-	(1,128,495)	-	-	(1,128,495)
76,200,000	20,082,446	9,995,072	6,183,022	44,482,986	132,925,364	379,846,422	2,598,237,793
-	-	-	-	-	-	-	-
4,875,000	23,942,905	2,229,542	27,500	3,051,260	-	178,168,723	228,157,633
-	-	-	-	-	-	(153,693,585)	-
75,846,250	-	-	-	-	-	-	737,596,753
(22,921,250)	-	-	-	-	-	-	(73,619,830)
-	-	-	-	(1,078,466)	-	-	(1,078,466)
134,000,000	44,025,351	12,224,614	6,210,522	46,455,780	132,925,364	404,321,560	3,489,293,882
33,479,228	16,324,998	4,365,753	3,296,313	34,032,929	-	-	188,139,763
13,398,152	875,141	491,288	433,937	4,735,314	1,494,002	-	48,074,332
-	-	-	-	(1,128,495)	-	-	(1,128,495)
(39,927,380)	-	-	-	-	-	-	(39,927,380)
6,950,000	17,200,139	4,857,041	3,730,250	37,639,748	1,494,002	-	195,158,220
15,971,250	890,907	1,125,703	927,239	3,206,239	5,317,014	-	69,345,820
-	-	-	-	(1,078,466)	-	-	(1,078,466)
(22,921,250)	-	-	-	-	-	-	(73,619,830)
-	18,091,046	5,982,744	4,657,489	39,767,521	6,811,016	-	189,805,744
134,000,000	25,934,305	6,241,870	1,553,033	6,688,259	126,114,348	404,321,560	3,299,488,138
69,250,000	2,882,307	5,138,031	2,452,772	6,843,238	131,431,362	379,846,422	2,403,079,573

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

15 PROPERTY, PLANT AND EQUIPMENT CONTD.

15.1 Information on the land and buildings of the Group

Location	Revalued Date	Land extent (Perches)	Building (Square feet)	No. of Buildings	Cost or revaluation of land (Rs)	Cost or revaluation of buildings (Rs)	Total value (Rs)	Accumulated depreciation (Rs)	Net book value of the buildings (Rs)	Total net book value (Rs)
Land and building held under company and group										
Borella	31st March 2022	16.32	6,460	1 building	195,840,000	37,160,000	233,000,000	-	37,160,000	233,000,000
Bawa Place, Colombo 08										
Dambulla	31st March 2022	63.75	10,165	4 buildings	25,500,000	32,500,000	58,000,000	-	32,500,000	58,000,000
Ihalakatupotha Watta, Pannampitiya Village, Lenadora										
Ekala	31st March 2022	1,419.55	101,449	11 buildings	1,135,640,000	574,800,000	1,710,440,000	-	574,800,000	1,710,440,000
No 93, Minuwangoda Road, Ekala										
Anuradhapura	31st March 2022	579.22	59,864	10 buildings	115,844,000	294,080,000	409,924,000	-	294,080,000	409,924,000
Puliyankulama										
Building on lease hold land										
Polonnaruwa	31st March 2022	-	7,970	1 building	-	42,000,000	42,000,000	-	42,000,000	42,000,000
Ambalamkele										
Sandunpura, Dehiattakandiya	31st March 2022	-	41,600	9 buildings	-	94,240,000	94,240,000	-	94,240,000	94,240,000
					1,472,824,000	1,074,780,000	2,547,604,000	-	1,074,780,000	2,547,604,000

The lands and buildings at Borella, Anuradapura, Dambulla and Ekala belong to AgStar PLC and valued by an Independent valuer Mr. W. M Chandrasena, a member of the Institute of Valuers of Sri Lanka in determining the fair value of the land and buildings as at 31st March 2022. The Valuer considered the market evidences and trends in determining the fair value of the property. The building constructed on the land has been measured initially at its cost. After initial recognition, the Company adopts fair value model for Property, Plant and Equipment as per the Sri Lanka Accounting Standard LKAS 16.

The Group have not pledged any property, plant and equipment as security for liabilities or have temporary idle assets as at 31st March 2022

15 PROPERTY, PLANT AND EQUIPMENT CONTD.

15.2 Motor vehicles

The Group has revalued its motor vehicles as at 31st March 2022 by a professional independent valuer.

Type of the vehicle	No of vehicles	Revalued Date	Cost / Revalued amount (Rs.)	Accumulated depreciation (Rs)	Net book value of the buildings (Rs)
Motor vehicle held under company and group					
Motor cars	7	31st March 2022	115,000,000	-	115,000,000
Cab	1	31st March 2022	2,400,000	-	2,400,000
Van	1	31st March 2022	12,000,000	-	12,000,000
Lorry	1	31st March 2022	4,600,000	-	4,600,000
Motor vehicles under discontinued operations					
Tractor	1	-	425,000	241,493	183,507

15.3 The carrying amount of revalued land, buildings and motor vehicles if they were carried at cost less depreciation, would be as follows;

For the year ended 31st March,	Group		Company	
	2022	2021	2022	2021
Cost				
Land	949,714,240	949,714,240	949,714,240	949,714,240
Buildings	726,936,703	572,354,627	658,024,025	503,441,950
Motor vehicles	85,523,137	80,648,137	85,523,137	80,648,137
	1,762,174,080	1,602,717,004	1,693,261,402	1,533,804,327
Accumulated depreciation				
Buildings	(112,077,231)	(82,706,306)	(82,272,385)	(56,347,093)
Motor vehicles	(63,391,622)	(46,931,376)	(63,391,622)	(46,931,376)
	(175,468,853)	(129,637,682)	(145,664,007)	(103,278,469)
Carrying value	1,586,705,227	1,473,079,322	1,547,597,395	1,430,525,858

15.4 Fully depreciated but still in use

The cost of fully depreciated property, plant and equipment of the Group and the Company which are still in use amounted to.

For the year ended 31st March,	Group		Company	
	2022	2021	2022	2021
Fully depreciated property, plant and equipment	149,485,655	117,134,532	136,677,154	105,692,779

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

15 PROPERTY, PLANT AND EQUIPMENT CONTD.

15.5 Property, plant and equipment under construction

The board has approved to construct an additional 85,000sq.ft. of warehousing space in Ekala. The Group has started construction and costs incurred up to 31st March 2022 totalled Rs. 366.4 Mn. Including in this amount are capitalised borrowing costs related to the construction of the warehouse of Rs. 43.88 Mn, calculated using a average capitalisation rate of 8.5%.

The Board also approved to construct a warehouse building with lab in Polannaruwa (8,900 Sq.ft), renovation of bag store and workshop building (3,895 Sq.ft) and modification of Ekala new entrance and car park.

15.6 Fair value measurement

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2022	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	2,547,604,000	2,547,604,000
Motor vehicles			134,000,000	134,000,000
	-	-	2,681,604,000	2,681,604,000

31st March 2021	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	1,763,814,270	1,763,814,270
Motor vehicles			69,250,000	69,250,000
	-	-	1,833,064,270	1,833,064,270

Fair value measurement hierarchy

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Freehold land and building				
Borella	- Market comparable method	Rs. 12,000,000	Rs. 8,500	Positive
Dambulla	- Market comparable method	Rs. 400,000	Rs. 3,750 - Rs. 5,000	Positive
Ekala	- Market comparable method	Rs. 800,000	Rs. 2,500 - Rs. 20,000	Positive
Building on lease hold land				
Polonnaruwa	- Market comparable method	-	Rs. 3,900 - Rs. 8,000	Positive
Property	Method of valuation	Significant unobservable inputs		
		Estimated price per square foot	Correlation to fair value	
Motor vehicles				
Motor cars	- Market comparable method	Rs. 9,000,000 to Rs.20,000,000	Positive	
Cab	- Market comparable method	Rs. 2,400,000	Positive	
Van	- Market comparable method	Rs. 12,000,000	Positive	
Lorry	- Market comparable method	Rs. 4,600,000	Positive	

Market comparison technique : The valuation model considers market prices for similar items when they are available, and depreciated replacement cost when appropriate. Depreciated replacement cost reflects adjustments for physical deterioration as well as functional and economic obsolescence.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

16 INVESTMENT PROPERTY

For the year ended 31st March,	Group		Company	
	2022	2021	2022	2021
Balance at the beginning of the year	-	-	165,325,651	-
Reclassification from property plant and equipment	-	-	-	158,971,028
Change in fair value during the year	-	-	46,264,349	6,354,623
Balance at the end of the year	-	-	211,590,000	165,325,651

	Land	Buildings	Total
Balance at the beginning of the year	71,000,000	94,325,651	165,325,651
Change in fair value during the year	25,000,000	21,264,349	46,264,349
Balance at the end of the year	96,000,000	115,590,000	211,590,000

The Company has rented out part of the land and building at Anuaradhapura and Ekala respectively to other companies in the Group for operation purposes and reclassified to property, plant and equipment in the Group. The income generated from these investment properties are disclosed under note no 7 as 'Rent income' and there are no any direct operating expenses identified related to generating rental income.

16.1 Measurement of fair value

a) Fair value hierarchy

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

31st March 2022	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	211,590,000	211,590,000
	-	-	211,590,000	211,590,000

31st March 2021	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	165,325,651	165,325,651
	-	-	165,325,651	165,325,651

b) Valuation technique and significant unobservable inputs

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Ekala	- Market comparable method	Rs. 800,000	Rs. 2,500 - Rs. 7,200	Positive
Anuradhapura	- Market comparable method	Rs. 200,000	Rs. 6,500 - Rs. 7,000	Positive

Market comparison technique : The valuation model considers market prices for similar items when they are available, and depreciated replacement cost when appropriate. Depreciated replacement cost reflects adjustments for physical deterioration as well as functional and economic obsolescence.

17 LEASE ARRANGEMENTS

		Group		Company	
For the year ended 31st March,		2022	2021	2022	2021
17.1	Right of use asset				
	Land and buildings - cost/revaluation				
	Balance at the beginning of the year	9,552,520	4,596,266	65,948,370	65,948,370
	Transferred from assets held for sales	-	1,951,109		
	Additions during the year	42,824,978	-	-	-
	Revaluation surplus	36,841,747		21,230,106	
	Adjustment on remeasurement of lease liability	-	3,005,145	-	-
	Balance as at end of the year	89,219,245	9,552,520	87,178,476	65,948,370
	Accumulated amortisation				
	Balance at the beginning of the year	2,370,256	1,075,440	64,118,984	48,059,492
	Amortisation recognised in the statement of profit or loss	10,932,991	1,294,816	59,492	16,059,492
	Balance as at end of the year	13,303,247	2,370,256	64,178,476	64,118,984
	Carrying amount	75,915,998	7,182,264	23,000,000	1,829,386

Details of revalued right of use lands - Group

Entity name	Location	Land extent	Carrying value	Revalued date
AgStar PLC	Polonnaruwa	320 perch	23,000,000	31st March 2022
Mahaweli Agro Trading (Pvt) Ltd	Dehiattakandiya	174 perch	20,200,000	31st March 2022

17.2 Lease liabilities

Balance at the beginning of the year	6,678,074	2,788,417	2,005,872	2,225,177
Transferred from assets held for sales	-	1,956,743		
Additions during the year	42,824,978	-		
Adjustment on remeasurement of lease liability	-	3,005,145	-	-
	49,503,052	7,750,305	2,005,872	2,225,177
Interest amortised recognised in the Statement of Profit or Loss	3,667,483	590,969	284,860	280,695
Payment recognised in the Statement of Cash Flows	(19,757,200)	(1,663,200)	(250,000)	(500,000)
Balance as at end of the year	33,413,335	6,678,074	2,040,732	2,005,872

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

17 LEASE ARRANGEMENTS CONTD.

For the year ended 31st March,	Group		Company	
	2022	2021	2022	2021
Maturity analysis of lease liabilities - contractual undiscounted cash flows				
Less than one year	11,369,700	569,700	262,500	262,500
One to five years	22,899,101	3,010,755	1,378,781	1,351,875
More than five year	17,854,279	18,512,325	8,428,894	8,718,300
	52,123,080	22,092,780	10,070,175	10,332,675
Lease liabilities included in the statement of financial position				
Current	8,896,700	80,396	25,602	22,360
Non-current	24,516,635	6,597,678	2,015,130	1,983,512
	33,413,335	6,678,074	2,040,732	2,005,872

18 INTANGIBLE ASSETS

For the year ended 31st March,	Note	Group		Company	
		2022	2021	2022	2021
Gross Value					
Balance at the beginning of the year		114,098,790	63,775,186	5,349,194	430,000
Balance transferred on amalgamation		-	-	-	4,919,194
Additions during the year		912,000	50,000,000	750,000	
From formation of subsidiary		-	323,604		
Balance at the end of the year		115,010,790	114,098,790	6,099,194	5,349,194
Amortisation					
Balance at the beginning of the year		2,763,485	1,367,325	758,092	8,958
Amortisation during the year		1,503,511	1,396,160	1,460,351	749,134
From formation of subsidiary		-		-	-
Balance at the end of the year		4,266,996	2,763,485	2,218,443	758,092
Carrying Value		110,743,794	111,335,305	3,880,751	4,591,102

Summary of intangible assets - Group	Software and Website	Exclusive Dealership - Tohoku Seed	Goodwill	Total
Gross Value				
Balance at the beginning of the year	7,672,798	50,000,000	56,425,992	114,098,790
Additions during the year	912,000	-	-	912,000
Balance at the end of the year	8,584,798	50,000,000	56,425,992	115,010,790
Amortisation				
Balance at the beginning of the year	2,763,485	-	-	2,763,485
Amortisation during the year	1,503,511	-	-	1,503,511
Balance at the end of the year	4,266,996	-	-	4,266,996
Carrying Value	4,317,802	50,000,000	56,425,992	110,743,794

Software and website

Software includes SAGE 300 accounting package, order taking system and the websites developed by the Group Companies

Exclusive Dealership - Tohoku Seed

The AgStar Seeds (Pvt) Ltd, acquired the exclusive dealership of Tohoku Seed in Sri Lanka and thereby the rights to import, distribute and sell the varieties of hybrid vegetable seeds, supplied by Tohoku, to Sri Lanka and rights to do all other activities ancillary and/or consequential thereto, including trials, demonstrations, communications, promotions, marketing, collections, use of Intellectual Property and other material. The management is of the opinion that the aforementioned dealership has an indefinite useful life as their associated brand awareness and recognition and the company intends to utilise the Tohoku dealership for the foreseeable future. There are no legal, regulatory, contractual, competitive, economic or other factors that may limit its useful life and accordingly, the carrying amount of this exclusive dealership is determined after testing for impairment annually. Following assumptions are made to test for any impairment as at 31st March 2022.

	2022	2021
Annual sales growth for next five years	19%	5%
Gross margin	10% - 16%	10% - 16%
Discount rate	21%	10%
Terminal growth rate	1%	1%

Goodwill on acquisition (Unimpaired)

Goodwill has arisen from the acquisition of Prith Seeds (Private) Limited.

The recoverable amount of CGU is determined based on value-in-use calculations. This calculation use discounted cash flow projections based on financial budgets approved by management covering five year periods. A long-term growth rate into perpetuity is applied immediately at the end of the five year forecast period and is based on the lower of the nominal GDP growth rate forecasts for the country of operations and the long-term compound annual EBITDA growth rate estimated by management.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

18 INTANGIBLE ASSETS CONTD.

The projected EBITDA was calculated based on past performance and was adjusted every two years to account for expected revenue growth. The discount rate was a pre-tax measure calculated using the rate of a five year government treasure bond issued in the relevant market and in the same currency as the cash flows, by adding an appropriate risk premium.

The key assumptions in the calculation of value in use were given as follows.

	2022	2021
Projected EBITDA growth rate (average of next five years)	6%	8%
Discount rate	21%	10%
Terminal growth rate	1%	1%

19 INVESTMENTS IN SUBSIDIARIES

As at 31st March,	Company/ Group holding		No of shares		Cost as at 31st March	
	2022	2021	2022	2021	2022	2021
AgStar Cropcare (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	37,999,990	37,999,990
AgStar Seeds (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	500,000	500,000
AgStar Grains (Pvt) Ltd.	100%	100%	34,000,000	34,000,000	340,000,000	340,000,000
Mahaweli Agro Trading (Pvt) Ltd.	100%	100%	19,550,000	19,550,000	172,700,000	172,700,000
AgStar Exports (Pvt) Ltd.	100%	100%	4,500,000	4,500,000	45,000,000	45,000,000
Prith Seeds (Pvt) Ltd.	100%	100%	10,000	10,000	80,229,098	80,229,098
Euro Asia Tea (Pvt) Ltd	53.78%	53.78%	51,000,000	51,000,000	51,000,000	51,000,000
			119,060,000	119,060,000	727,429,088	727,429,088
Provision for fall in value of investments (Note 19.1)					(542,650,000)	(542,650,000)
					184,779,088	184,779,088

- 19.1 The Company has made provisions against the investments in Mahaweli Agro Trading (Pvt) Limited, AgStar Grains (Pvt) Limited and AgStar Exports (Pvt) Limited of Rs.172.7 million (2021 - Rs.172.7 million), Rs.340 million (2021 - Rs.340 million) and Rs. 29.95 million (2021 - Rs.29.95 million) respectively based on their net asset values as at 31st March 2022.

20 INVENTORIES

For the year ended 31st March,	Note	Group		Company	
		2022	2021	2022	2021
Raw materials and consumables		725,127,526	283,187,166	611,564,824	127,508,442
Finished goods		587,405,245	230,271,045	373,353,133	100,245,400
Spare parts		4,284,073	1,650,643	4,284,073	1,650,643
Goods in transit		982,792,619	381,820,631	973,494,887	150,082,709
		2,299,609,463	896,929,485	1,962,696,917	379,487,194
Provision for impairment of inventories	20.1	(1,333,236)	(4,335,288)	-	-
		2,298,276,227	892,594,197	1,962,696,917	379,487,194

20.1 Provision for impairment of inventories

Balance at the beginning of the year		4,335,288	2,068,220	-	-
(Reversal)/ provision during the year		422,078	2,554,719	-	-
Write - offs		(3,424,130)	(287,651)	-	-
Balance at end of the year		1,333,236	4,335,288	-	-

21 TRADE AND OTHER RECEIVABLES

Trade receivables		198,843,771	307,719,919	61,777,392	168,406,253
Tax recoverable	21.1	35,868,309	40,724,736	30,780,281	30,780,281
Other receivables		13,123,082	9,681,282	2,427,370	-
Deposits and prepayments		17,697,830	32,600,847	10,972,896	11,685,907
Prepayments to suppliers		139,886,321	57,766,238	126,974,177	22,501,314
Advances		21,830,811	19,347,643	21,830,811	19,347,643
Interest receivable		2,894,437	3,001,370	2,728,074	2,903,332
Staff loan		2,646,012	5,743,260	2,646,012	5,743,260
		432,790,573	476,585,295	260,137,013	261,367,990
Provision for impairment of trade receivables	21.2	(60,487,838)	(70,739,835)	(25,131,156)	(29,439,360)
Provision for impairment of other receivables	21.3	(9,681,282)	(9,681,282)	-	-
Total of trade and other receivables		362,621,453	396,164,178	235,005,857	231,928,630

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

21 TRADE AND OTHER RECEIVABLES CONTD.

21.1 Tax recoverable

For the year ended 31st March,	Note	Group		Company	
		2022	2021	2022	2021
Withholding tax recoverable		687,652	696,262	331,071	331,071
Economic service charge recoverable		16,638,454	17,668,628	15,995,847	15,995,847
Value added tax recoverable		22,076,379	25,894,022	14,323,916	14,323,916
Nation building tax recoverable		440,824	440,824	129,447	129,447
Provision for Value added tax recoverable		(3,975,000)	(3,975,000)	-	-
Total tax receivables		35,868,309	40,724,736	30,780,281	30,780,281

21.2 Provision for impairment of trade receivables

Balance at the beginning of the year	70,739,835	83,620,169	29,439,360	33,602,149
Provision/ (reversal) during the year	(5,939,901)	(366,195)	(4,308,204)	(4,162,789)
Write - offs	(4,312,096)	(12,514,139)	-	-
Balance at end of the year	60,487,838	70,739,835	25,131,156	29,439,360

Trade receivables amount of Rs. 4.3 Mn written off during the year are still subject to enforcement activity.

21.3 Provision for impairment of other receivables

Balance at the beginning of the year	9,681,282	9,681,282	-	-
(Reversal)/ provision during the year	-	-	-	-
Write - offs	-	-	-	-
Balance at end of the year	9,681,282	9,681,282	-	-

22 SUBSIDY RECEIVABLE

Balance at the beginning of the year	4,020,419,536	2,872,556,143	4,020,419,536	2,872,556,143
Additions during the year	290,986,222	3,524,750,340	97,016,873	3,524,750,340
Receipt during the year	(1,258,499,126)	(2,376,886,947)	(1,258,499,126)	(2,376,886,947)
Written off during the year	(14,543,437)	-	(14,543,437)	-
Balance at end of the year	3,038,363,195	4,020,419,536	2,844,393,846	4,020,419,536

23 RELATED PARTY RECEIVABLES AND PAYABLES

		Group		Company	
For the year ended 31st March,	Note	2022	2021	2022	2021
23.1	Amounts due from related companies				
	AgStar Cropcare (Pvt) Ltd.	-	-	-	58,989,850
	AgStar Seeds (Pvt) Ltd.	-	-	46,521,910	73,341,474
	AgStar Grains (Pvt) Ltd.	-	-	237,958,823	237,958,823
	Mahaweli Agro Trading (Pvt) Ltd	-	-	376,068,022	154,882,067
	AgStar Exports (Pvt) Ltd.	-	-	27,620,985	11,598,604
	Prith Seeds (Pvt) Ltd.	-	-	547,588	6,326,723
	Euro Asia Tea (Pvt) Ltd	-	-	2,165,630	2,151,134
		-	-	690,882,958	545,248,675
	Provision for receivable from AgStar Grains (Pvt) Ltd.	-	-	(88,273,000)	(88,273,000)
		-	-	602,609,958	456,975,675
23.2	Amounts due to related companies				
	AgStar Cropcare (Pvt) Ltd.	-	-	54,645,386	-
	Balance at end of the year	-	-	54,645,386	-

24 CASH AND CASH EQUIVALENTS

		Group		Company	
As at 31st March,	Note	2022	2021	2022	2021
Short term deposits	24.1	77,501,429	63,464,691	48,190,549	44,847,109
Cash in hand		3,100,981	1,099,510	919,261	555,410
Cash at Bank		328,810,497	363,576,086	23,048,313	298,505,178
Cash and cash equivalents in the statements of financial position		409,412,907	428,140,287	72,158,123	343,907,697
Bank overdraft for cash management purposes		(59,528,345)	(24,098,378)	(52,954,312)	(1,802,342)
Cash and cash equivalents classified as held for sale -net	12.2	995,149	1,077,913	-	-
Cash and cash equivalents for the purpose of cash flow statements		350,879,711	405,119,822	19,203,811	342,105,355

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

24 CASH AND CASH EQUIVALENTS CONTD.

24.1 Short term deposits

	Group		Company	
	2022	2021	2022	2021
Fixed deposits - HNB	31,712,701	29,228,296	31,712,701	29,228,296
Fixed deposits - People's Bank	16,477,848	15,618,813	16,477,848	15,618,813
Foreign currency fixed deposits - Sampath Bank	29,310,880	18,617,582	-	-
	77,501,429	63,464,691	48,190,549	44,847,109

Security details on bank overdraft facilities

Bank	Currency	Facility Value	Facility Period	Nature of assets pledge
Commercial Bank of Ceylon PLC	LKR	25m	1 Year	General terms & conditions
Hatton National Bank PLC	LKR	25m	1 Year	Rs.20 Mn Fixed deposit
MCB Bank	LKR	25m	1 Year	Paripasu mortgage bond

25 STATED CAPITAL

	Group / Company	
As at 31st March,	2022	2021
Stated Capital	2,007,856,833	1,204,093,678
Issue and fully paid		
Ordinary shares	487,500,000	325,000,000

The EGM convened on January 13, 2022 approved the issuance of 153,763,155 voting shares in the proportion of one new ordinary voting share for every two ordinary voting shares held at issue price of Rs. 5/- per share and 8,736,845 non-voting shares in the proportion of one new non-voting share for every two non-voting shares held at issue price of Rs. 4/- per share by way of a right issue.

The holders of ordinary shares are entitled to receive dividend as declared from time to time and are entitled to one vote per individual present at meetings of the shareholders or one vote per share in the case of a poll.

26 NON-CONTROLLING INTEREST

(a) Movements in non-controlling interest (NCI) during the period ended 31st March

	Group	
	2022	2021
Balance at the beginning of the year	42,697,977	-
NCI on net asset at the time of formation	-	43,826,239
Share of net profit of subsidiaries	(12,052,893)	(1,128,262)
Share of other comprehensive income of subsidiaries	-	-
Dividend paid	-	-
Balance at the end of the year	30,645,084	42,697,977

(b) NCI Percentage for the period ended 31st March

	Ownership interest held by NCI	
Company name	2022	2021
Euro Asia Tea (Pvt) Ltd	46.22%	46.22%

(c) Summarised Financial Statements of Euro Asia Tea (Pvt) Ltd

	Group	
	31st March 2022	25th January 2021
Statement of Financial Position		
Non-current assets	64,084,445	38,726,356
Current assets	38,252,280	56,099,882
Non-current liabilities	18,499,764	-
Current liabilities	17,530,608	-
Net assets	66,306,353	94,826,238
Carrying amount of NCI	30,645,084	43,826,239
Statement of Profit or Loss and Other Comprehensive Income		
Revenue	59,279,668	-
Loss for the year	(26,078,682)	(2,441,205)
Other comprehensive (expense) / income for the year, net of tax	-	-
Total Comprehensive Income	(26,078,682)	(2,441,205)
Loss attributable to NCI	(12,052,893)	(1,128,262)
Other comprehensive (expenses) / income attributable to NCI, net of tax	-	-
Total comprehensive income attributable to NCI	(12,052,893)	(1,128,262)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

27 EMPLOYEE BENEFITS

27.1 Movement in net defined benefit obligation

	Group		Company	
As at 31st March,	2022	2021	2022	2021
Balance at the beginning of the year	33,846,451	29,822,983	33,801,012	29,685,028
Include in profit or loss				
Past service cost	(2,534,519)	-	(2,534,519)	-
Current service cost	7,009,239	3,507,775	6,997,945	3,498,687
Interest cost	2,710,897	3,119,364	2,704,081	3,116,928
	7,185,617	6,627,139	7,167,507	6,615,615
Include in other comprehensive income				
Actuarial loss/(gain)	4,465,602	(583,504)	4,450,093	(589,114)
	45,497,670	35,866,618	45,418,612	35,711,529
Other				
Benefits paid	(2,937,885)	(2,020,167)	(2,937,885)	(1,910,517)
Balance at end of the year	42,559,785	33,846,451	42,480,727	33,801,012

The provision for retirement benefit obligations for the year is based on the actuarial valuation carried out by professionally qualified actuaries, Messrs. Actuarial & Management Consultant (Pvt) Ltd, as at 31st March 2022. The actuarial present value of the promised retirement benefit as at 31st March 2022 amounted to Rs.42,480,727/- (2021- Rs.33,801,012/-) for the Company and Rs.42,559,785 (2021- Rs.33,846,451) for the Group. The liability is not externally funded.

27.2 Defined benefit obligation - The following were the principal actuarial assumptions at the reporting date.

	2022	2021
Actuarial assumptions		
Discount rate	15%	8%
Future salary growth	12.5%	5%
Retirement age	60 years	55 years
Mortality	A 1967/70 mortality table issued by the Institute of Actuaries, London.	

It is also assumed that the Company will continue in business as a going concern.

Duration of the liability (Expected future working life) as at March 31, 2022 is 7.19 years and yield of the matching Government bonds for the given duration is approximately 15%. Duration of the liability (Expected future working life) as at March 31, 2021 was 4.68 years and the yields of the matching Government bonds for the given duration was approximately 8%. Hence the reason for the change in the discount rate from 8% to 15%.

27.3 Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible changes at the reporting date in the key assumptions employed with all other variables held constant in the employment benefit liability measurement. The sensitivity of the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the employment benefit obligation for the year.

	Group		Company	
	2022	2021	2022	2021
Discount rate				
1% increase	(2,411,669)	(1,431,262)	(2,395,734)	(1,420,927)
1% decrease	2,679,156	1,563,406	2,659,001	1,549,886
Future salary growth rate				
1% increase	2,872,760	1,731,286	2,852,305	1,717,474
1% decrease	(2,622,489)	(1,609,923)	(2,606,112)	(1,599,243)

Although the analysis does not take accounts of the distribution of full cash flows expected under the plan, it does provide approximation of sensitivity of the assumption given.

27.4 Maturity analysis of the payments

The following payments are expected on employee benefit liabilities in future years

	Group		Company	
	2022	2021	2022	2021
Less than one year	2,621,032	5,352,692	2,621,032	5,352,692
Between 1-2 years	5,707,467	2,804,872	5,707,467	2,804,872
Between 3-5 years	5,127,427	16,499,033	5,127,427	16,499,033
Beyond 5 years	29,103,859	9,189,854	29,024,801	9,144,415
Total expected payments	42,559,785	33,846,451	42,480,727	33,801,012
Weighted average duration (years) of define benefit obligation	7.19	4.68	7.19	4.68

28 DEFERRED INCOME

	Group		Company	
	2022	2021	2022	2021
Balance at the beginning of the year	656,102	2,150,534	656,102	2,150,534
Additions during the year	-	-	-	-
Recognised during the year	(656,102)	(1,494,432)	(656,102)	(1,494,432)
Balance as at end of the year	-	656,102	-	656,102

Deferred income represents the gain on disposal of motor vehicles to staff for loan consideration. The deferred income is amortised to profit or loss over the period when the corresponding loan due from staff is charged to profit or loss as an employee benefit.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

29 DEFERRED TAX (ASSETS)/LIABILITIES

29.1 Deferred tax assets

As at 31st March,	Group		Company	
	2022	2021	2022	2021
Movement in deferred tax assets				
Balance at the beginning of the year	(8,434,405)	(13,666,218)	-	-
Origination/(reversal) of temporary differences				
Recognised in statement of profit or loss				
Continuing operations	4,246,778	352,031	-	-
Reduction in tax rate	-	4,880,792	-	-
Origination/(reversal) of temporary differences				
Recognised in other comprehensive income				
Deferred tax on actuarial gain/(loss)	(3,722)	(1,010)	-	-
Balance at the end of the year	(4,191,349)	(8,434,405)	-	-
Composition of deferred tax assets				
Property, plant and equipment	(332,532)	(126,446)	-	-
Right-of-use assets	(7,920)	(102,960)	-	-
	(340,452)	(229,406)	-	-
Retirement benefit obligation	18,974	8,179	-	-
Tax losses carried forward	1,768,627	5,533,761	-	-
Provision for inventories	271,854	609,649	-	-
Provision for bad debts	2,472,346	2,512,222	-	-
	4,531,801	8,663,811	-	-
	4,191,349	8,434,405	-	-

29.2 Deferred tax liabilities

As at 31st March,	Group		Company	
	2022	2021	2022	2021
Movement in deferred tax liabilities				
Balance at the beginning of the year	346,427,360	345,386,849	312,206,583	120,522,229
Balance transferred on amalgamation	-	-	-	200,292,427
Origination/(reversal) of temporary differences				
Recognised in statement of profit or loss				
Continuing operations	73,977,474	109,575,186	72,639,333	93,392,261
Reduction in tax rate	-	(53,902,952)	-	(45,127,167)
Origination/(reversal) of temporary differences				
Recognised in other comprehensive income				
Deferred tax on revaluation surplus	127,033,829	14,711,732	107,374,562	12,470,288
Deferred tax on actuarial gain/(loss)	(801,017)	106,041	(801,017)	106,041
Reduction in tax rate	-	(69,449,496)	-	(69,449,496)
Balance at the end of the year	546,637,646	346,427,360	491,419,461	312,206,583
Composition of deferred tax liabilities				
Property, plant and equipment	(184,825,554)	(107,435,294)	(132,169,041)	(72,016,309)
Right-of-use assets	(12,392,876)	(1,189,847)	(4,140,000)	(329,289)
Subsidy receivable	(511,990,892)	(723,675,516)	(511,990,892)	(723,675,516)
Revaluation surplus on land	(192,642,566)	(134,660,246)	(192,642,566)	(134,660,246)
	(901,851,888)	(966,960,903)	(840,942,499)	(930,681,360)
Retirement benefit obligation	7,646,531	6,084,182	7,646,531	6,084,182
Lease liabilities	5,016,361	1,202,053	367,332	361,057
Tax losses carried forward	238,103,266	608,814,888	238,103,266	608,814,888
Provision for inventories	-	170,703	-	-
Unrealised foreign currency exchange loss	100,201,257	-	100,201,257	-
Provision for bad debts	4,246,827	4,261,717	3,204,652	3,214,650
	355,214,242	620,533,543	349,523,038	618,474,777
	(546,637,646)	(346,427,360)	(491,419,461)	(312,206,583)

Based on the provision in the new Inland Revenue Act No.24 of 2017, the Company and the Group have recognized deferred tax on revaluation gain on land.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

29 DEFERRED TAX (ASSETS)/LIABILITIES CONTD.

29.3 Movement in deferred tax balances

	Net balance as at 01 April 2021	Recognized in profit/(loss)	Recognized in OCI	Net balance as at 31st March 2022	Deferred tax assets	Deferred tax liabilities
Group - 2022						
Property, plant and equipment	(107,561,740)	(15,176,351)	(62,419,995)	(185,158,086)	(332,532)	(184,825,554)
Right-of-use assets	(1,292,807)	(4,476,475)	(6,631,514)	(12,400,796)	(7,920)	(12,392,876)
Subsidy receivable	(723,675,516)	211,684,624	-	(511,990,892)	-	(511,990,892)
Revaluation surplus on land	(134,660,246)	-	(57,982,320)	(192,642,566)	-	(192,642,566)
Retirement benefit obligation	6,092,361	768,405	804,739	7,665,505	18,974	7,646,531
Lease liabilities	1,202,053	3,814,308	-	5,016,361	-	5,016,361
Tax losses carried forward	614,348,649	(374,476,756)	-	239,871,893	1,768,627	238,103,266
Provision for inventories	780,352	(508,498)	-	271,854	271,854	-
Unrealised foreign currency exchange loss	-	100,201,257	-	100,201,257	-	100,201,257
Provision for bad debts	6,773,939	(54,766)	-	6,719,173	2,472,346	4,246,827
Net tax assets/(liabilities)	(337,992,955)	(78,224,252)	(126,229,090)	(542,446,297)	4,191,349	(546,637,646)
Company - 2022						
Property, plant and equipment	(72,016,309)	(10,081,909)	(50,070,823)	(132,169,041)	-	(132,169,041)
Right-of-use assets	(329,289)	10,708	(3,821,419)	(4,140,000)	-	(4,140,000)
Subsidy receivable	(723,675,516)	211,684,624	-	(511,990,892)	-	(511,990,892)
Revaluation surplus on land	(134,660,246)	(4,500,000)	(53,482,320)	(192,642,566)	-	(192,642,566)
Retirement benefit obligation	6,084,182	761,332	801,017	7,646,531	-	7,646,531
Lease liabilities	361,057	6,275	-	367,332	-	367,332
Tax losses carried forward	608,814,888	(370,711,622)	-	238,103,266	-	238,103,266
Unrealised foreign currency exchange loss	-	100,201,257	-	100,201,257	-	100,201,257
Provision for bad debts	3,214,650	(9,998)	-	3,204,652	-	3,204,652
Net tax assets/(liabilities)	(312,206,583)	(72,639,333)	(106,573,545)	(491,419,461)	-	(491,419,461)

29.4 Unrecognized deferred tax assets

Deferred tax assets have not been recognized in respect of the temporary differences arising from tax losses of the following subsidiaries as it is not probable that sufficient future taxable profit will be available against which the Group can use the benefits there from.

	Temporary differences		Deferred tax asset	
	2022	2021	2022	2021
AgStar Exports (Pvt) Ltd	39,758,864	37,992,079	7,156,596	6,838,574
Mahaweli Agro Trading (Pvt) Ltd	190,644,543	227,256,254	34,316,018	40,906,126
	230,403,407	265,248,333	41,472,614	47,744,700

29.5 Tax loss carried forward

Tax losses arisen from AgStar PLC can be carried forward as follows;

Balance period	Value (Rs.)
6 years	-
5 years	741,872,704
4 years	580,923,216
	1,322,795,920

30 TRADE AND OTHER PAYABLES

	Note	Group		Company	
		2022	2021	2022	2021
Trade payables		2,873,440,960	3,467,043,971	2,750,466,249	3,181,947,901
Other payables		163,572,364	94,387,351	129,769,416	83,062,832
Advance received		6,436,069	2,114,759	-	-
Total of trade and other payables		3,043,449,393	3,563,546,081	2,880,235,665	3,265,010,733

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

31 LOANS AND BORROWINGS

		Group		Company	
	Note	2022	2021	2022	2021
Non-current liabilities					
Long term loans	31.1	151,000,000	60,955,000	151,000,000	57,000,000
		151,000,000	60,955,000	151,000,000	57,000,000
Current liabilities					
Current portion of long term loans	31.1	174,355,000	70,620,000	170,400,000	60,000,000
Short term loans	31.2	6,047,423	643,827,528	5,883,481	575,819,588
		180,402,423	714,447,528	176,283,481	635,819,588

Terms and repayment schedule of secured loans

The terms and conditions of Group's outstanding loans as follows.

				31st March 2022		31st March 2021	
	Currency	Nominal interest rate	Term	Face value	Carrying amount	Face value	Carrying amount
Import demand loan	LKR	AWPLR+1%	On demand	6,047,423	6,047,423	643,827,528	643,827,528
Covid loans	LKR	4%	24 months	3,955,000	3,955,000	14,575,000	14,575,000
Long term loan - 1	LKR	5.5%	36 months	264,400,000	264,400,000	117,000,000	117,000,000
Long term loan - 2	LKR	AWPLR+1.5%	24 months	57,000,000	57,000,000	-	-
				331,402,423	331,402,423	775,402,528	775,402,528

31.1 Long term loan movement during the year

	Group		Company	
	2022	2021	2022	2021
Balance at the beginning of the year	131,575,000	-	117,000,000	-
Obtained during the year	340,000,000	141,000,000	340,000,000	122,000,000
Repayment during the year	(146,220,000)	(9,425,000)	(135,600,000)	(5,000,000)
Balance at the end of the year	325,355,000	131,575,000	321,400,000	117,000,000
Loans and borrowings included in the statement of financial position				
Current	174,355,000	70,620,000	170,400,000	60,000,000
Non-current	151,000,000	60,955,000	151,000,000	57,000,000
	325,355,000	131,575,000	321,400,000	117,000,000

31.2 Short term loan movement during the year

	Group		Company	
	2022	2021	2022	2021
Balance at the beginning of the year	643,827,528	1,474,586,446	575,819,588	1,434,594,484
Obtained during the year	5,085,381,795	2,866,111,761	4,696,328,245	2,585,550,175
Repayment during the year	(5,723,161,900)	(3,696,870,679)	(5,266,264,352)	(3,444,325,071)
Balance at the end of the year	6,047,423	643,827,528	5,883,481	575,819,588

32 RELATED PARTY DISCLOSURES

(a) Identification of related parties

The Company has a related party relationship with its subsidiaries and other group Companies and with its Directors.

(b) Transactions with key management personnel

Key management personnel comprise all the members of the Board of Directors of the Company having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly.

(c) Loans to directors

No loans have been granted to the Directors of the Company.

(d) Key management personnel compensation

No compensation was paid to directors during the period under review, other than what is mentioned in Note 10

(e) Related party transactions

The following transactions were carried out with related parties during the year ended 31st March 2022.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

32 RELATED PARTY DISCLOSURES CONTD.

32.1 Recurrent related party transactions

The Group entered into the recurrent related party transactions for the year 2021/22 as follows:

Transactions with subsidiaries and other related parties

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to)/ from as at 31/3/2022	Balance due (to)/ from as at 31/3/2021
AgStar Cropcare (Pvt) Ltd	Subsidiaries	Recovery of related party receivable	(114,100,818)		
		Funds transferred	(90,000,000)		
		Cropcare purchases	(11,519,152)		
		Fertilizer Sales	86,660,568		
		Packing material transferred	847,584		
		Expenses incurred by parent	22,026,343		
		Salaries and allowance	28,619,283		
		Set off against customer deposits	(36,169,044)	(54,645,386)	58,989,850
AgStar Exports (Pvt) Ltd	Subsidiaries	Purchases	(433,543)		
		Funds received	9,500,000		
		Expenses incurred by parent	877,848		
		Salaries and allowance	6,078,075	27,620,985	11,598,604
AgStar Grains (Pvt) Ltd	Subsidiaries	Funds received	18,811,032		
		Set off against solar income	(18,811,032)	237,958,823	237,958,823
		Provision made	-	(88,273,000)	(88,273,000)
AgStar Seeds (Pvt) Ltd	Subsidiaries	Recovery of related party receivable	(49,000,000)		
		Expenses incurred by parent company	7,568,959		
		Salaries and allowance	14,611,477	46,521,910	73,341,474

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to)/ from as at 31/3/2022	Balance due (to)/ from as at 31/3/2021
Mahaweli Agro Trading (Pvt) Ltd	Subsidiaries	Expenses incurred by parent	1,900,954		
		Fund transferred	291,600,000		
		Solar income to be transferred	9,389,501		
		Salaries and allowance	6,572,552		
		Recovery of related party receivable	(88,277,053)	376,068,022	154,882,067
		Fertilizer sales	30,344,630		
		Settlements	(87,350,956)	-	57,006,326
Prith Seeds (Pvt) Ltd	Subsidiaries	Recovery of related party receivable	(14,659,882)		
		Salaries and allowance	6,730,342		
		Expenses incurred by parent	2,150,405	547,588	6,326,723
Euro Asia Tea (Pvt) Ltd	Subsidiaries	Recovery of related party receivable	(26,012,517)		
		Expenses incurred by parent	3,061,298		
		Salaries and allowance	22,965,715	2,165,630	2,151,134

(f) The receivables from related companies and payables to related companies on sale, purchase of goods and services are unsecured, interest free and have no fixed repayment terms.

(g) The subsidiary companies utilise certain facilities of the Company free of charge and part of the accounting and administrative functions of the subsidiary companies are also performed by the Company for which no charges are made.

(h) **Terms and Conditions for recurrent transactions with related parties**

All related party transactions are carried out in the ordinary course of business and transacted at normal business terms. The sales to and purchases from related parties are made in terms of equivalent to those that prevail in arm's length transactions and comparable with those that would have been charged from unrelated companies. All related party outstanding balances at the year-end are unsecured and are to be settled in cash. The Group does not have any material commitments to related parties.

32.2 Non-recurrent related party transactions

The Company has not entered into any non-recurrent related party transactions during the year, which exceeds 10% of the equity or 5% of the total assets, whichever is lower, as per the Colombo Stock Exchange Section Listing rule 9.3.2.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

33 COMMITMENTS

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below.

Capital Commitments

Description	Estimated cost	Sq.ft	Completion %
Construction of new warehouse in Ekala	Rs. 380 Mn	85,000	95%
Renovation of bag store and workshop building in Ekala	Rs. 11 Mn	3,895	50%
Modifications on admin building entrance and parking	Rs. 8.6 Mn	-	50%
Construction of warehouse with lab in Polannaruwa	Rs. 35.3 Mn	8,900	35%

34 CONTINGENT LIABILITIES

There were no any material contingent liabilities outstanding as at the reporting date that require adjustments in the financial statements.

34.1 Corporate guarantee issued by AgStar PLC

Name of the Company	Type of the facility	Name of the bank	Amount (Rs.)
AgStar Seeds (Pvt) Ltd	LC/IDL	Commercial	48,000,000
	Overdraft	Commercial	19,000,000
	Short term loan facility	Commercial	60,000,000
	LC/IDL	HNB	25,000,000
	Overdraft	HNB	5,000,000
	Term Loan (Series of Loan)	BOC	60,000,000
AgStar Cropcare (Pvt) Ltd	LC/IDL	Commercial	60,000,000
	Overdraft	Commercial	19,000,000
	LC/IDL	HNB	100,000,000
	LC/IDL	DFCC	120,000,000
	LC/IDL	NDB	50,000,000
AgStar Grains (Pvt) Ltd	Short Term Loan	Commercial	10,000,000
	Short Term Loan	Commercial	150,000,000
	Short Term Loan	DFCC	200,000,000
	Short Term Loan	BOC	500,000,000
Mahaweli Agro Trading (Pvt) Ltd	Short Term Loan	BOC	150,000,000
	Short Term Loan	NDB	50,000,000

34.2 Bank Guarantees

Name of the Company	Type of the facility	Name of the bank	Amount (Rs.)
Lanka Phosphate Limited		Commercial	11,000,000
Department of Customs		Commercial	187,000
Secretary Production, Supply and Regulation of Organic Fertilizer		Commercial	500,000

35 EVENTS OCCURRING AFTER THE REPORTING DATE

There were no material events occurred after the reporting date that require adjustments to, or disclosure in the financial statements except the following;

Surcharge Tax Act No 14 of 2022

The Surcharge Tax Act No 14 of 2022 (Act) was certified by the Speaker and published as a Supplement to Part II of the Gazette of the Democratic Socialist Republic of Sri Lanka on 08 April 2022. As per the said Act, Surcharge Tax is payable by company or each company of a group of companies (holding and subsidiaries) subject to the taxable income threshold specified in the Act. The Group of companies will meet the chargeability threshold when the aggregate taxable income of all subsidiaries and holding company (excluding the companies with nil taxable income due to losses or unrelieved losses) exceed Rs.2 Bn for Y/A commencing from 1 April 2020. Such Group of companies will be liable for Surcharge tax at a rate of 25% on the taxable income of each subsidiary and holding company excluding gains and profits from dividends received from a subsidiary which is part of such taxable income for Y/A commencing from 1 April 2020. AgStar PLC/ Group is not liable to pay surcharge tax as the group not meet the chargeability threshold referred to above.

Value added tax

According to the Gazette No 2282/26 enacted on 31st May 2022, Value Added Tax (VAT) charged based on the Value Added Tax Act No 14 of 2002 as amended by Act No 6 of 2005, has been increased from 8% to 12% effective from 1st June 2022.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

36 IMPACT DUE TO UNCERTAIN AND VOLATILE MACRO- ECONOMIC CONDITION

Due to the economic recession and decrease in foreign currency reserves, the Central Bank of Sri Lanka made several policy decisions, including floating the rupee on March 10, 2022, resulting in a rapid depreciation of the rupee against major foreign currencies and steep increases in the prices of raw materials and other inputs, including freight costs applicable to both direct and indirect imports. Policy interest rates rose by 700 basis points in April 2022 to target price stability in the economy, with the AWPLR nearing 22% in June 2022.

The Sri Lankan government has been unable to pay for essential imports such as fuel, food, gas, and medicine due to a severe lack of foreign currency, which has heavily impacted day to day business operations, including production and transportation of goods due to lack of fuel and power outages. Sri Lanka's NCPI based headline inflation recorded at 58.9% on year-on-year basis in June 2022 and 21.5% in March 2022.

Impact on business activities of the Group

The majority of the Group's businesses fall into essential category. The Group evaluates the strength of its businesses by evaluating excess cash, potential funding sources, foreign currency receipts, and profitability. Due to the scarcity of USD, imports are made after careful financial planning and consideration of due settlement dates. Inventory levels are also carefully managed in order to mitigate the impact of any unanticipated events.

Since there is a risk of customer default, the Group has taken a systematic approach to optimize collection through a strict credit control management process. Due to the high demand for fertilizer and chemical products, the group did not extend credit terms and the majority of sales were made on a cash basis.

Furthermore, the Group has negotiated better terms with its suppliers and to avoid unnecessary delays, production plans and distribution routes were restructured. As the transport is carried out by outsourced parties, it is managed to the best of their abilities. The business operations are continuing under the business continuity plan, allowing operations to continue through alternative working arrangements.

Due to the current economic downturn, the government's overdue fertilizer subsidy has been further delayed, and the outstanding amount now stands at Rs. 3 billion. This payment delay has had a significant impact on the Group's cash flows, as subsidy accounts for approximately 70% of the Group's cash inflows. However, Company has received Rs. 1,074 Mn between the reporting date and the authorized date of the financial statements, and management is confident that the entire balance will be received over time.

Management will continue to monitor the situation and take appropriate mitigating actions as needed to reduce the impact of these macroeconomic factors. The business operations will continue uninterrupted while ensuring the health and safety of the employees as well as the satisfaction of the stakeholders.

37 COMPARATIVE INFORMATION

The comparative information has been rectified according to the current year classification wherever necessary to ensure comparability and better presentation.

38 FINANCIAL INSTRUMENTS

- (a) The following tables shows the carrying amounts of financial assets and financial liabilities. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

38.1 Accounting classification and fair value

Company	Note	Financial assets at amortised cost	Other financial liabilities	Total carrying amount
As at 31st March 2022				
Financial assets not measured at fair value				
Trade and other receivables *	21	44,447,692	-	44,447,692
Subsidy receivable	22	2,844,393,846	-	2,844,393,846
Amounts due from related companies	23.1	602,609,958	-	602,609,958
Cash and cash equivalents	24	72,158,123	-	72,158,123
		3,563,609,619	-	3,563,609,619
Financial liabilities not measured at fair value				
Trade and other payables	30	-	2,880,235,665	2,880,235,665
Loans and borrowings	31	-	327,283,481	327,283,481
Amounts due to related companies	23.2	-	54,645,386	54,645,386
Bank overdraft	24	-	52,954,312	52,954,312
		-	3,315,118,844	3,315,118,844
As at 31st March 2021				
Financial assets not measured at fair value				
Trade and other receivables *	21	147,613,485	-	147,613,485
Subsidy receivable	22	4,020,419,536	-	4,020,419,536
Amounts due from related companies	23.1	456,975,675	-	456,975,675
Cash and cash equivalents	24	343,907,697	-	343,907,697
		4,968,916,393	-	4,968,916,393
Financial liabilities not measured at fair value				
Trade and other payables	30	-	3,265,010,733	3,265,010,733
Loans and borrowings	31	-	692,819,588	692,819,588
Bank overdraft	24	-	1,802,342	1,802,342
		-	3,959,632,663	3,959,632,663

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs. 190,558,165 (2021 - Rs. 84,315,145) have been excluded as they are not financial instruments

The fair value of the loan and receivables and other financial liabilities is not significantly different from the carrying amount stated above.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

38 FINANCIAL INSTRUMENTS CONTD.

38.2 Accounting classification and fair value

Trade and other receivables and trade and other payables classified as held for sales are not included in the table below. Their carrying amount is a reasonable approximation of fair value.

Group	Note	Financial assets at amortised cost	Other financial liabilities	Total carrying amount
As at 31st March 2022				
Financial assets not measured at fair value				
Trade and other receivables*	21	147,338,182	-	147,338,182
Subsidy receivable	22	3,038,363,195	-	3,038,363,195
Cash and cash equivalents	24	410,408,056	-	410,408,056
		3,596,109,433	-	3,596,109,433
Financial liabilities not measured at fair value				
Trade and other payables**	30	-	3,037,013,324	3,037,013,324
Loans and borrowings	31	-	331,402,423	331,402,423
Bank overdraft	24	-	59,528,345	59,528,345
		-	3,427,944,092	3,427,944,092
As at 31st March 2021				
Financial assets not measured at fair value				
Trade and other receivables*	21	245,724,714	-	245,724,714
Subsidy receivable	22	4,020,419,536	-	4,020,419,536
Cash and cash equivalents	24	429,218,200	-	429,218,200
		4,695,362,450	-	4,695,362,450
Financial liabilities not measured at fair value				
Trade and other payables**	30	-	3,561,431,322	3,561,431,322
Loans and borrowings	31	-	775,402,528	775,402,528
Bank overdraft	24	-	24,098,378	24,098,378
			4,360,932,228	4,360,932,228

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs. 215,283,271 (2021 - Rs. 150,439,464) have been excluded as they are not financial instruments

** Advances amounting to Rs. 6,436,069 (2021 - Rs. 2,114,759) has been excluded as it is not a financial instruments

39 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group has exposure to the following risk arising from financial instruments:

- Liquidity risk
- Credit risk
- Market risk

Risk management framework

The Company's board of directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The group is responsible for develop and monitor the group's risk management policies. The group risk management policies are established to identify and analysis the risk faced by the Group, to set appropriate risk limits and controls and monitor risks and adherence to limits.

Risk management policies and system are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain disciplined and constructive controls environment in which all employees understand their roles and obligations.

The Group audit committee overseas how management, monitors compliance with the Group's risk management policies and procedures, and review the adequacy of the risk management framework in relation to the risks faced by the Group.

39.1 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meets its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damages to the Group's reputation.

Exposure to liquidity risk

The following are the remaining contractual maturities of financial liabilities at the reporting date. The amounts are gross and undiscounted.

Group	As at 31st March 2022					Total
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	
Non-derivative financial liabilities						
Trade and other payables	3,037,013,324	3,037,013,324	-	-	-	3,037,013,324
Loans and borrowings	331,402,423	58,947,546	50,272,291	92,018,430	157,499,630	358,737,897
Lease liabilities	33,413,335	-	-	11,369,700	40,753,380	52,123,080
Bank overdraft	59,528,345	59,528,345	-	-	-	59,528,345
	3,461,357,427	3,155,489,215	50,272,291	103,388,130	198,253,010	3,507,402,646

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

39 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES CONTD.

Group	As at 31st March 2021					Total
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	
Non-derivative financial liabilities						
Trade and other payables	3,561,431,322	3,561,431,322	-	-	-	3,561,431,322
Loans and borrowings	775,402,528	661,482,528	17,655,000	35,310,000	60,955,000	775,402,528
Lease liabilities	6,678,074	-	-	569,700	21,523,080	22,092,780
Bank overdraft	24,098,378	24,098,378	-	-	-	24,098,378
	4,367,610,302	4,247,012,228	17,655,000	35,879,700	82,478,080	4,383,025,008

Company	As at 31st March 2022					
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	Total
Non-derivative financial liabilities						
Trade and other payables	2,880,235,665	2,880,235,665	-	-	-	2,880,235,665
Amounts due to related companies	54,645,386	54,645,386	-	-	-	54,645,386
Loans and borrowings	327,283,481	48,483,481	42,600,000	85,200,000	151,000,000	327,283,481
Lease liabilities	2,040,732	-	-	262,500	9,807,675	10,070,175
Bank overdraft	52,954,312	52,954,312	-	-	-	52,954,312
	3,317,159,576	3,036,318,844	42,600,000	85,462,500	160,807,675	3,325,189,019

Company	As at 31st March 2021					Total
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	
Non-derivative financial liabilities						
Trade and other payables	3,265,010,733	3,265,010,733	-	-		3,265,010,733
Loans and borrowings	692,819,588	590,819,588	15,000,000	30,000,000	57,000,000	692,819,588
Lease liabilities	2,005,872	-	-	262,500	10,070,175	10,332,675
Bank overdraft	1,802,342	1,802,342	-	-	-	1,802,342
	3,961,638,535	3,857,632,663	15,000,000	30,262,500	67,070,175	3,969,965,338

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amount.

39.1 Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet the its contractual obligations, and arise principally from the Group's receivable from customers.

The finance division manages the risk arising from investments made in financial institutions in accordance with the policy direction provided by the Board. The transactions are carried out only with a limited number of institutions all of which have stable credit ratings from internationally recognised rating providers.

The Carrying amount of financial assets represents the maximum credit exposure. Impairment losses on financial assets recognized in profit and loss were as follows,

	Group		Company	
	2022	2021	2022	2021
Impairment loss on trade receivables	5,939,901	366,195	4,308,204	4,162,789

The Group's exposure to credit risk influenced mainly by the individual characteristics of each customer. However, management also consider the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customer operate.

The Group limits its exposure to credit risk from trade receivable by establishing a maximum period of one and two months for customers. The Group does not require collateral in respect of trade and other receivables.

Cash and cash equivalents

The Group held cash and cash equivalents of Rs. 410 Mn at 31 March 2022 (2021 - Rs. 429 Mn) which represents its maximum credit exposure on these assets.

Details of the counter parties in which the Company has short term deposits are as follows,

Bank	Bank	2021
People's Bank	16,477,848	AA-(Ika)
Hatton National Bank PLC	31,712,701	AA- (Ika)
Sampath Bank PLC	29,310,880	AA- (Ika)
	77,501,429	

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

39 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES CONTD.

(a) Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows.

	Note	Group		Company	
		2022	2021	2022	2021
Trade and other receivables *	21	147,338,182	245,724,714	44,447,692	147,613,485
Subsidy receivable	22	3,038,363,195	4,020,419,536	2,844,393,846	4,020,419,536
Amounts due from related companies	23.1	-	-	602,609,958	456,975,675
Cash at bank	24	406,311,926	427,040,777	71,238,862	343,352,287
		3,592,013,303	4,693,185,027	3,562,690,358	4,968,360,983
The ageing of trade receivables and impairment as at the reporting date were as:					
Gross value					
Not past due		15,605,242	132,247,928	6,044,467	101,180,577
Past due 1-60 days		47,425,272	27,413,670	43,856,912	22,945,156
Past due 61-120 days		68,481,128	30,173,258	1,997,092	204,759
Past due more than 120 days		67,332,129	117,885,063	9,878,921	44,075,761
		198,843,771	307,719,919	61,777,392	168,406,253
Impairment loss					
Past due 1-60 days		13,823	63,209	-	-
Past due 61-120 days		80,737	549,703	-	-
Past due more than 120 days		60,393,278	70,126,923	25,131,156	29,439,360
		60,487,838	70,739,835	25,131,156	29,439,360
Net trade receivables		138,355,933	236,980,084	36,646,236	138,966,893

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances of the Company and Group amounting to Rs. 190,558,165 (2021 - Rs. 84,315,145) and Rs. 215,283,271 (2021 - Rs. 150,439,464) respectively have been excluded as they are not financial instruments.

39.2 Market risk

Market risk is the risk that changes in market prices will affect the Group's income or the value of its holding financial instruments. The objective of market risk management is to manage and control market risk exposure within acceptable parameters, while optimizing the return. The Group uses derivative to manage market risks. All such transactions are carried out within the guidance set by the Group.

Market risk comprise of the following types of risk:

- (a) Currency risk
- (b) Interest rate risk
- (c) Equity price risk

(a) **Currency risk**

The Group is exposed to transactional foreign currency risk to the extent that there is a mismatch between the currencies in which sales, purchases, receivables and borrowing are denominated and the respective functional currencies of Group companies. The functional currencies of Group companies are primarily LKR. The currencies in which these transactions are primarily denominated is US dollar.

The free floating of the USD on March 10, 2022, caused a sharp depreciation of the LKR and severely impacted the Group, resulting in an unrealized foreign currency exchange loss of Rs. 557 Mn.

Exposure to currency risk

The following significant exchange rates has been applied,

	Highest Level		Lowest Level		Year end rate	
	Buying	Selling	Buying	Selling	Buying	Selling
USD/LKR	288.75	299.00	187.93	191.97	288.75	299.00

Source : CBSL

Balance as at 31st March	2022	2021
Total outstanding receivables in USD	156,252	19,993,973
Total outstanding payable in USD	5,975,480	15,849,419

Sensitivity analysis

A reasonably possible strengthening (Weakening) of the LKR against US dollar against at 31st March 2022 would have affected the measurement of financial instruments denominated by foreign currency and affected profit or loss by the amounts shown below. The analysis assumes that all other variables, in particular interest rates, remain constant.

	As at 31st March 2022		As at 31st March 2021	
	Strengthening profit/loss	Weakening profit/loss	Strengthening profit/loss	Weakening profit/loss
USD to LKR (15% movement)	260,992,367	(260,992,367)	(4,144,554)	4,144,554

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

39 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES CONTD.

(b) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group mainly borrows in the short term to fund its working capital requirement which are linked to floating interest rates. The Group utilizes various financial instruments to manage exposures to interest rate risks.

Policy interest rates increased by 700 basis points in April 2022 targeting price stability in the economy.

At the reporting date, the Group's interest-bearing financial instruments were as follows:

	Group		Company	
	2022	2021	2022	2021
Variable rate instruments				
Long term loans	325,355,000	131,575,000	321,400,000	117,000,000
Import demand loans	6,047,423	643,827,528	5,883,481	575,819,588
Bank overdraft	59,528,345	24,098,378	52,954,312	1,802,342

The finance division continuously monitors the interest rate environment to advise Strategic Business Units (SBUs) on the most suitable strategy with regard to borrowings. The Group's borrowings are usually negotiated during troughs in the interest rate cycle in order to extend the favourable impact to future reporting periods.

Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of loans and borrowings affected. With all other variables held constant, the Group's profit before tax is affected through the impact on floating rate borrowings as follows:

Year	Increase/ decrease in base point	Group	Company
		Effect on profit before tax Rs.	Effect on profit before tax Rs.
2022	+700	(23,198,170)	(22,909,844)
	-700	23,198,170	22,909,844
2021	+100	(7,754,025)	(6,928,196)
	-100	7,754,025	6,928,196

(c) Equity price risk

The Group has adopted that its investment in subsidiaries companies are recorded at cost as per LKAS 27 standards and therefore scoped out from SLFRS 09 - Financial Instruments.

40 CAPITAL MANAGEMENT

The board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and sustain future development of the business. Capital consist of ordinary share capital, reserves, retained earnings and non-controlling interest of the Group. The Board of Directors monitors the return on capital as well as the level of dividends to ordinary share holders.

DECADE AT A GLANCE

For the year ended 31st March,

31st March	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Rs.'000										
Group Revenue	5,992,282	3,611,145	1,734,841	2,478,165	3,317,020	2,784,899	1,728,683	2,100,071	1,725,717	1,757,847
Net Finance Expense	(830,717)	(34,880)	(54,327)	(6,307)	(34,790)	(38,460)	2,912	(110,695)	(230,675)	(100,275)
Profit Before Tax	797,401	576,453	205,496	321,024	156,039	244,104	363,440	332,676	58,399	287,031
Tax Expense	(190,674)	(84,078)	(63,977)	(75,805)	(65,731)	(76,717)	(126,023)	(119,701)	(28,785)	(69,482)
Profit After Tax (continuing Operations)	606,727	492,375	141,519	245,219	90,308	167,387	237,417	212,975	29,614	217,549
Profit/(loss) After Tax (Discontinued Operations)	136	(17,244)	(3,530)	(18,850)	(63,717)	(189,853)	(290,293)	-	-	-
Attributable To:										
Equity Holders of the parent	618,916	476,259	137,989	226,369	26,591	(22,466)	(52,876)	217,681	43,094	217,552
Non Controlling Interest	(12,053)	(1,128)	-	-	-	-	-	(5,088)	(13,480)	(3)
	606,863	475,131	137,989	226,369	26,591	(22,466)	(52,876)	212,593	29,614	217,549
FINANCIAL POSITION										
Stated Capital	2,007,857	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094
Reserves	3,639,493	2,441,833	1,820,564	1,681,855	1,430,353	1,198,298	1,283,362	1,316,551	875,680	868,234
	5,647,350	3,645,927	3,024,658	2,885,949	2,634,447	2,402,392	2,487,456	2,520,645	2,079,774	2,072,328
Non Controlling Interest	30,645	42,698	-	-	-	-	-	-	21,117	34,597
Net Assets	5,647,350	3,645,927	3,024,658	2,885,949	2,634,447	2,402,392	2,487,456	2,520,645	2,079,774	2,072,328
Non Current Liabilities	764,714	448,483	379,366	286,998	191,621	66,436	178,314	229,502	288,566	276,105
	6,442,709	4,137,108	3,404,024	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147	2,389,457	2,383,030
Represented By:										
Property Plant & Equipment (PPE)	3,299,488	2,403,080	1,650,869	1,527,367	1,417,703	1,029,492	1,041,158	929,074	1,212,319	948,891
Non Current Assets (Excluding PPE)	190,851	126,952	79,595	56,626	57,205	212,451	150,056	76,687	5,849	5,696
- Current Assets	6,292,468	5,919,747	4,178,890	3,765,141	3,483,081	3,140,495	4,292,951	4,367,607	3,351,805	3,445,393
- Current Liabilities	(3,340,098)	(4,312,671)	(2,505,330)	(2,176,187)	(2,131,921)	(1,913,610)	(2,818,394)	(2,623,220)	(2,180,516)	(2,016,950)
Net Current Assets	2,952,370	1,607,076	1,673,560	1,588,954	1,351,160	1,226,884	1,474,557	1,744,387	1,171,289	1,428,443
	6,442,709	4,137,108	3,404,024	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147	2,389,457	2,383,030
KEY INDICATORS										
Annual Revenue growth (%)	65.94	108.15	(29.99)	(25.29)	19.11	61.10	(17.68)	21.69	(1.83)	(2.62)
Basic earning per share (Rs.)	1.52	1.19	0.42	0.70	0.08	(0.07)	(0.16)	0.67	0.13	0.67
Net Profit to net revenue (%)	10.13	13.16	7.95	9.13	0.80	(0.81)	(3.06)	10.14	1.70	12.38
Dividend per share - proposed (Rs.)	-	0.20	-	0.20	0.10	-	0.20	0.20	0.10	0.10
Return on Equity (%)	10.96	13.06	4.56	7.84	0.95	(0.94)	(2.13)	8.45	1.40	10.33
Net Assets per share (Rs.)	11.58	11.22	9.31	8.88	8.59	7.39	7.65	7.76	6.46	6.48
Debt to Equity Ratio (%)	6.89	21.67	49.81	34.69	0.61	16.71	58.44	53.84	61.90	31.85
Current ratio(Times)	1.88	1.37	1.67	1.73	1.63	1.64	1.52	1.66	1.54	1.71

NOTICE OF ANNUAL GENERAL MEETING

AGSTAR PLC REG NO. PV1618PBPQ

NOTICE IS HEREBY GIVEN THAT THE 20TH ANNUAL GENERAL MEETING of the Company will be held on Friday, 30th September 2022 at 2.00 p.m. as an on-line audio-visual meeting with arrangements for the on-line meeting platform made at LOLC Holdings PLC, No.100/1, Sri Jayawardenapura Mawatha, Rajagiriya.

The business to be brought before the meeting will be:

1. To receive and consider the Report of the Directors and Statement of Accounts of the Company for the Financial Year ended 31st March 2022 with the Auditors' Report thereon.
2. To re-elect Dr. (Mrs) A D N de Zoysa as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.
3. To re-elect Mr. R K A Ranaweera as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.
4. To re-elect Mr. A P Weerasekara as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.
5. To re-elect Mrs. V G S S Kotakadeniya as a Director who retires in terms of Article 23(2) of the Articles of Association of the Company.
6. To re-elect Mr. W K D T Abeyrathne as a Director who retires in terms of Article 23(2) of the Articles of Association of the Company.
7. To re-elect Mr. E A D N J Perera as a Director who retires in terms of Article 23(2) of the Articles of Association of the Company.
8. To re-elect Mrs. T A P Weerasinghe as a Director who retires in terms of Article 23(2) of the Articles of Association of the Company.
9. To re-elect Mr. P Weerasingha as a Director who retires in terms of Article 23(2) of the Articles of Association of the Company.
10. To re-elect Mr. M S Gunawardana as a Director who retires in terms of Article 23(2) of the Articles of Association of the Company.
11. To re-appoint M/s KPMG, Chartered Accountants as the auditors for the ensuing financial year at a remuneration to be fixed by the Directors.
12. To approve in terms of Companies (Donations) Act No. 26 of 1951 the making of donations by the Directors as determined by them for the current Financial Year and until the next Annual General Meeting of the Company.

By order of the Board
AGSTAR PLC



L O L C Corporate Services (Private)
Limited

Secretaries

30 August 2022
Colombo

FORM OF PROXY

AGSTAR PLC
Reg No. PV1618PBPQ

I/ We of
.....
being a member/ members of the above named Company hereby appoint;
..... of
..... whom failing

Mrs. V G S S Kotakadeniya	or failing her
A K P Weerasekara	or failing him
D S K Amarasekara	or failing him
P Weerasingha	or failing him
W K D T Abeyrathne	or failing him
M S Gunawardena	or failing him
Mrs. T A P Weerasinghe	or failing her
E A D N J Perera	or failing him
Mrs. S N Wickramasinghe	or failing her
Dr. (Mrs.) A D N de Zoysa	or failing her
R K A Ranaweera	

as my/our proxy to represent me/us and vote on my/our behalf at the Twentieth Annual General Meeting of the Company to be held as an online meeting on 30th September 2022 at 2.00 p.m. and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid Meeting.

	For	Against
1. To adopt the Annual Report of the Board of Directors and the Statement of Accounts for the Financial Year Ended 31st March 2022 with the report of the Auditors thereon.	☐	☐
2. To re-elect as a Director Dr. (Mrs) A D N de Zoysa who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.	☐	☐
3. To re-elect as a Director Mr. R K A Ranaweera who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.	☐	☐
4. To re-elect as a Director Mr. A P Weerasekara who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.	☐	☐
5. To re-elect as a Director Mrs. V G S S Kotakadeniya who retires in terms of Article 23(2) of the Articles of Association of the Company.	☐	☐
6. To re-elect as a Director Mr. W K D T Abeyrathne who retires in terms of Article 23(2) of the Articles of Association of the Company.	☐	☐
7. To re-elect as a Director Mr. E A D N J Perera who retires in terms of Article 23(2) of the Articles of Association of the Company.	☐	☐
8. To re-elect as a Director Mrs. T A P Weerasinghe who retires in terms of Article 23(2) of the Articles of Association of the Company.	☐	☐
9. To re-elect as a Director Mr. P Weerasingha who retires in terms of Article 23(2) of the Articles of Association of the Company.	☐	☐
10. To re-elect as a Director Mr. M S Gunawardena who retires in terms of Article 23(2) of the Articles of Association of the Company.	☐	☐
11. To re-appoint as auditors M/s KPMG, Chartered Accountants for the ensuing financial year at a remuneration to be fixed by the Directors.	☐	☐
12. To authorize Directors to make donations.	☐	☐

dated this day of Two Thousand and Twenty Two.

.....
Signature of Shareholder

FORM OF PROXY

Notes:

- 1 Please return the completed Form of Proxy after filling in legibly your full name and address, signing on the space provided and filling in the date of signature.
- 2 The Proxy shall:
 - a) in the case of an individual, be under the hand of the shareholder or his or her attorney, and if signed by an attorney, a notarially certified copy of the Power of Attorney should be attached to the completed Form of Proxy if it has not already been registered with the Company.
 - b) if the shareholder is a company or a corporation, be either under its common seal or under the hand of an officer or attorney authorized by such organization in that behalf in accordance with its Articles of Association or Constitution.
- 3 Please indicate with an 'X' how the proxy should vote on each Resolution. If no indication is given, the proxy shall exercise his/her discretion and vote as he/she thinks fit.
- 4 The completed Form of Proxy should be deposited at LOLC Corporate Services (Private) Limited, Secretaries to AgStar PLC, 4th Floor, No. 34, Sir Mohamed Macan Markar Mawatha, Colombo 03 or scanned and emailed to corporateservices@lolc.com with the email subject titled "AGSTAR AGM PROXY" not less than 48 hours before the time appointed for the holding of the Meeting.

CORPORATE INFORMATION

The Company

AgStar PLC

Legal Form

AgStar PLC is a public limited liability Company incorporated in Sri Lanka on 25th June 2002 under the Companies Act No. 17 of 1982 and re-registered as required under the provisions of the Companies Act No. 07 of 2007 on 26th December 2007. The Company was listed on the Diri Savi Board with effect from 16th February 2012.

Company Registration No.

PV1618 PB/PQ

Registered Office

AgStar PLC
No.93, Minuwangoda Road,
Ekala, Ja-Ela.
Tel: +94 11 4812424
Fax: +94 11 4810706
E-mail: info@agstaragri.com
Website: www.agstaragri.lk

Board of Directors

Mrs. V. G. S. S Kotakadeniya
Chairperson/ Non Executive Director
Mr. A.P. Weerasekera
Managing Director
Mr. D.S.K. Amarasekera
Non Executive Director
Mr. R.K. Athula Ranaweera
Independent Non Executive Director
Dr. (Mrs) A.D.N. de Zoysa
Independent Non Executive Director
Mrs. S. Wickramasinghe
Independent Non Executive Director
Mr. W. K. D. T. Abeyrathne
Executive Director
Mr. E. A. D. N. J. Perera
Non Executive Director
Mrs. T. A. P. Weerasinghe
Non Executive Director
Mr. P. Weerasingha
Executive Director
Mr. M. S. Gunawardana
Non Executive Director

Secretaries

LOLC Corporate Services
(Private) Limited
100/1, Sri Jayawardenapura Mawatha,
Rajagiriya
Tel: +94 115 063 000
Fax: +94 112 307 380

Registrars

SSP Corporate Services
(Private) Limited
101, Inner Flower Road, Colombo 03
Tel: +94 112 573 894
Fax: +94 112 573 609

Auditors

KPMG
P O Box 186
32A, Sir Mohamed Macan Markar
Mawatha, Colombo 03
Tel: +94 115 426 426
Fax: +94 112 445 872

Bankers

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
MCB Bank Limited
Nations Trust Bank PLC
NDB Bank PLC
Peoples' Bank
Public Bank
Sampath Bank PLC
Seylan Bank PLC

